

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **A new lawsuit against** Bank of America over its ties to Jeffrey Epstein accuses the bank of maintaining a relationship with the convicted sex offender and failing to report suspicious activities until after his death. **B1**
- ◆ **Banks including JPMorgan, Bank of America and Goldman Sachs** reported third-quarter earnings and revenue that outpaced analysts' expectations. **B1**
- ◆ **The Nasdaq and the S&P 500** advanced 0.7% and 0.4%, respectively, while the Dow lost 17 points. **B11**
- ◆ **Blackstone is launching** a business unit devoted to tapping the market for what are called defined-contribution retirement plans. **B1**
- ◆ **Walmart is forming** a partnership with OpenAI to let shoppers buy its products directly within ChatGPT, the AI chatbot. **B1**
- ◆ **BlackRock's new AI** infrastructure consortium has struck its first deal, agreeing to acquire Aligned Data Centers from Macquarie Asset Management. **B1**
- ◆ **ASML posted** better-than-expected orders of its chip-making equipment for the third quarter. **B4**
- ◆ **S&P Global struck** a deal to buy markets data and analytics firm With Intelligence for \$1.8 billion, expanding its data coverage and reach across private markets. **B11**
- ◆ **Oracle's new dual CEOs** defended the company's new investment in data centers, saying it will offer computing firepower and a suite of bundled services that will make AI useful for businesses. **B10**

World-Wide

- ◆ **The Trump administration** is preparing sweeping changes at the IRS that would allow it to pursue criminal inquiries of left-leaning groups more easily. **A1**
- ◆ **The Supreme Court** signaled an openness to scaling back protections against racial discrimination in redistricting, in a case that could further weaken a landmark voting-rights law. **A1**
- ◆ **A federal judge** temporarily blocked the Trump administration from moving ahead with mass firings of federal employees while the government is shut down. **A2**
- ◆ **Israel and Hamas** began negotiating the second phase of a plan outlined by President Trump to end the war in Gaza, as debates continued about the militant group's failure to return all the bodies of dead hostages. **A6**
- ◆ **Governors across 15** states including New York, California and North Carolina are forming a public-health alliance to detect and respond to disease threats. **A5**
- ◆ **Trump has authorized** the CIA to conduct covert action in Venezuela, while also floating the idea of land strikes, in a campaign against alleged drug trafficking. **A7**
- ◆ **The Trump administration** is assembling a \$20 billion private finance facility that could act as a backstop for Argentina's debt. **A7**
- ◆ **U.S. officials say** criminal organizations operating out of China have used scam text messages to make more than \$1 billion over the last three years. **A3**

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Israelis Bury a Hostage as Pace of Handover Stalls



MOURNERS: A funeral is held in Israel Wednesday for Guy Illouz, a hostage whose body was returned by Hamas under the cease-fire deal. The militants have handed over the bodies of nine of the 28 dead hostages, and mediators are seeking the release of more. **A6**

Trump Team to Overhaul IRS To Probe Left-Leaning Groups

Effort would install ally at criminal unit who has made list of targets to investigate

The Trump administration is preparing sweeping changes at the Internal Revenue Service that would allow the

By *Brian Schwartz, Richard Rubin and Joel Schectman*

agency to pursue criminal inquiries of left-leaning groups more easily, people familiar with the matter said.

A senior IRS official in-

volved in the effort has drawn up a list of potential targets that includes major Democratic donors, some of the people said.

The undertaking aims to install allies of President Trump at the IRS criminal investigative division, or IRS-CI, to exert firmer control over the unit and weaken the involvement of IRS lawyers in criminal probes, officials said. The proposed changes could open the door to politically motivated probes and are being driven by Gary Shapley, an adviser to Treasury Secretary Scott Bessent.

Shapley has told people he is going to replace Guy Ficco, the chief of the investigative

unit, and Shapley has been putting together a list of donors and groups he believes IRS investigators should probe. Among those on the list are billionaire Democratic donor George Soros and his affiliated groups, a senior IRS official and another person briefed on the list said. It isn't clear upon what grounds Shapley would seek to begin such an investigation.

The effort within the IRS coincides with a larger administration effort to probe left-leaning groups for helping finance organizations the president says are creating anarchy in Democratic-led cities across the country. Trump, a Republican,

has directed Bessent, who is also acting IRS commissioner, to identify financial networks the president says are fomenting political violence. Democrats said the effort is politically motivated and not based on real evidence.

"Scott will do that. That's easy for Scott," Trump said about Bessent helping with the investigation during a recent cabinet meeting.

Shapley and a Treasury Department spokesperson didn't answer questions about changes to the IRS criminal unit or desired targets. "I'm grateful to continue in my role in reforming the IRS," Shapley said.

Please turn to page A4

U.S. Banks Score Big Helping China Firms Go Global

By *RORY JONES*

HONG KONG—Chinese companies are pushing across the globe to conquer new markets, and U.S. financiers are making a mint by helping them.

The unlikely U.S.-China collaboration during heightened trade and military tensions between the two superpowers is raising concerns on Capitol Hill about national-security risks. But it is producing frothy markets in Hong Kong, the place where Wall Street and China Inc. meet for mutual profit.

Hong Kong's stock exchange is the hottest globally this year for new listings. Companies have raised \$23 billion as of September in stock offerings, a bright note for a city otherwise in the news for a Beijing-led national-security crackdown and arrests of government critics.

In September, Morgan Stanley led the \$3.2 billion Hong Kong initial public offering of Chinese mining company Zijin's international gold-mining unit. BlackRock's funds acted as an early investor underpinning the deal, which raised funds for the unit to buy a gold mine in Kazakhstan.

"This is truly a spectacular year," said Robert Chan, who helps lead the execution of equity deals at Citigroup in the Asia-Pacific region.

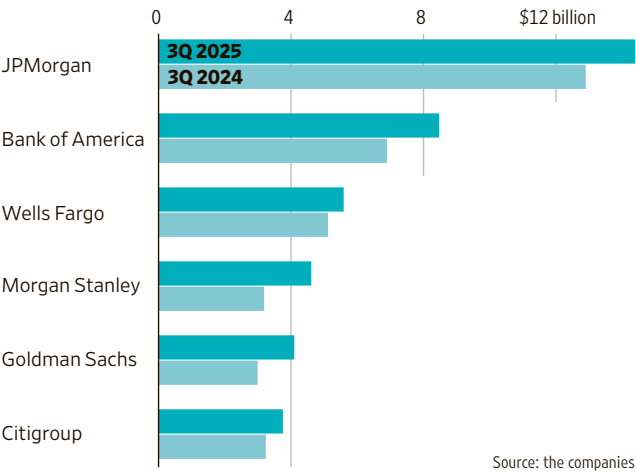
The world's biggest battery maker, China-based Contemporary Amperex Technology, raised \$5.3 billion in Hong

Please turn to page A8

Economy Shines for Lenders

Several banks reported third-quarter profit and revenue that beat analysts' expectations, buoyed by a jump in dealmaking, corporate spending and healthy consumer activity. **B1**

Quarterly profit for the six biggest banks



America's Favorite Apple Is a Farmer's Nightmare

The Honeycrisp transformed the industry, but growers say she's 'an absolute diva'

By *AMIRA MCKEE*

It was a sound before it was a taste: a sharp, explosive crunch. When David Bedford took his first bite of the mystery apple in 1988, he knew he'd found gold.

That syrupy-sweet and shockingly crisp fruit came from an unremarkable sapling that Bedford, then a graduate student, had rescued from the discard pile of a University of Minnesota breeding program.

But the apple had problems. It was too big, too fragile and a magnet for disease. The farmers who sampled it

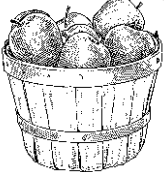
were quick to dismiss the finicky tree.

"They said 'Oh, it's a nightmare, we'll never grow that,'" Bedford recalled with a chuckle.

Thirty years later, that apple—now named Honeycrisp—dominates the American market.

Consumers, bored by the softer, blander Red Delicious variety that had ruled grocery aisles for decades, discovered an apple that was sweet and so texturally satisfying they never looked back. Buyers could even stomach a premium price, often three times

Please turn to page A8



Fruit of labor

How Jefferies Found Itself at Center of First Brands Collapse

By *ALEXANDER GLADSTONE AND LAUREN THOMAS*

The sudden collapse of auto-parts giant First Brands Group has left Wall Street firms sorting through the wreckage. Few are facing more questions than Jefferies Financial Group, a supporting player in the finance world that now finds itself in the harsh spotlight of an accounting scandal.

The firm played key roles with First Brands through its investment banking and asset-management divisions. First Brands sells billions of dollars of parts annually to customers such as Walmart.

The Cleveland, Ohio, company filed for bankruptcy late last month after the market lost confidence in its financial

disclosures and use of off-balance-sheet debt. First Brands acknowledged that more than \$2 billion of investors' money is unaccounted for, its intensely private Chief Executive Patrick James resigned and the Justice Department is conducting a probe.

First Brands' rapid unraveling has raised questions about who could have seen it coming. Jefferies worked with First Brands for several years without issues when its bankers set out to help the company refinance corporate loans over the summer. Jefferies initially told prospective lenders that First Brands had about \$5.9 billion of debt, according to materials viewed by The Wall Street Journal.

First Brands' bankruptcy ad-

Please turn to page A4

INSIDE



PERSONAL JOURNAL
Big changes are coming for 2026 Medicare plans. Here's what you need to know. **A9**



BUSINESS & FINANCE
Walmart soon will let you buy on ChatGPT—and online shopping will never be the same. **B1**

U.S. NEWS

Judge Temporarily Bars Move to Fire Federal Employees

By Lydia Wheeler
And Ken Thomas

A federal judge temporarily blocked the Trump administration from moving ahead with mass firings of federal employees while the government is shut down.

Judge Susan Illston issued the temporary restraining order in a ruling from the bench Wednesday, stopping the government from cutting federal workers at multiple agencies.

The court record suggested the Trump administration has “taken advantage of the lapse in government spending and government functioning to assume that all bets are off, that the laws don’t apply to them anymore and that they can impose the structures that they like on the government situation that they don’t like,” said Illston, a Bill Clinton appointee.

The administration moved ahead on threats last week to lay off federal workers, sending reductions in force notices, otherwise known as RIFs, to about 4,000 employees at more than a half-dozen federal agencies, including the departments of Treasury, Health and Human Services, Education and Commerce.

President Trump has referred to the cuts as “Democrat-oriented” and has been seeking to increase pressure on Democrats to end the standoff in Congress over government funding.

Labor unions representing federal workers sued after the administration first threatened the firings. The unions argue it is unlawful for the White House Office of Management and Budget to have employees work to carry out RIFs during a shutdown.

“Ordering any employee to work during a shutdown to administer a RIF process would directly violate the Antideficiency Act,” said attorneys for the American Federation of Government Employees and the American Federation of State, County and Municipal Employees. The Antideficiency Act requires agencies to cease most operations during a government shutdown, with only a few exceptions.

The unions argue the Trump administration doesn’t have the authority to issue these RIFs, is acting unlawfully and failed to give a valid reason for the firings.

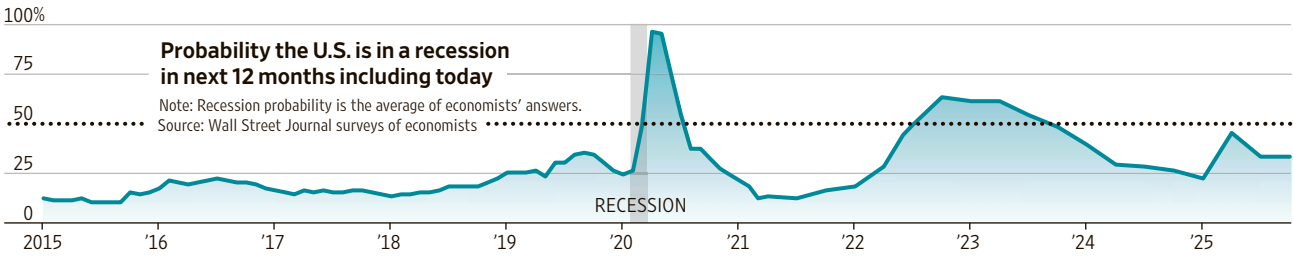
After OMB Director Russell Vought announced in an Oct. 10 social-media post that the RIFs had begun, the labor unions asked Illston to immediately stop the administration from implementing any notices during the shutdown.

The administration urged Illston to deny the request. A Justice Department attorney, Elizabeth Hedges, said the majority of the agencies haven’t yet decided to send out RIFs. “There’s even more decision-making that still has to occur and in many cases there may never be RIFs at all,” she said. Illston pressed Hedges repeatedly to detail the legal justification for the RIFs during Wednesday’s hearing.

Illston said she believes the unions are likely to demonstrate that what the Trump administration is doing has exceeded its legal authority.

Illston’s order applies to RIFs the government already announced and any it planned to send in the future related to the shutdown. The Trump administration didn’t immediately comment on the ruling.

The ruling blocks mass cuts at agencies while the government is shut down.



Weak Jobs, Solid Growth And a Fraught Fed Future

How experts view the economic landscape, according to the Journal’s quarterly survey

By Peter Santilli and Anthony DeBarros

Economists have two views on the nation’s economy—stronger-than-expected growth and weaker employment prospects.

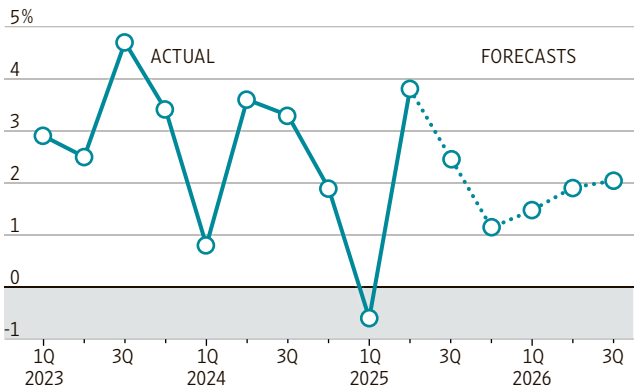
The split boils down to the forces driving the economy: a boom in investment in artificial intelligence alongside tariffs, deportations and political uncertainty. Spending on data centers and AI infrastructure has boosted growth and spurred the stock market, which buoyed consumers’ attitudes toward spending. Meanwhile, companies facing rising costs due to tariffs have been more reluctant to hire.

Here is what the 64 responses to The Wall Street

Journal’s latest survey—conducted Oct. 3-9, before President Trump threatened to reimpose massive tariffs on China—said about that split-screen view. Economists also graded the performance of Federal Reserve Chair Jerome Powell and ranked the candidates who might succeed him.

On growth, economists continued to revise their near-term forecasts for gross domestic product upward. They now expect third-quarter inflation-adjusted GDP to increase 2.5% from the prior quarter on an annualized basis, up from a consensus of 0.9% in the July survey.

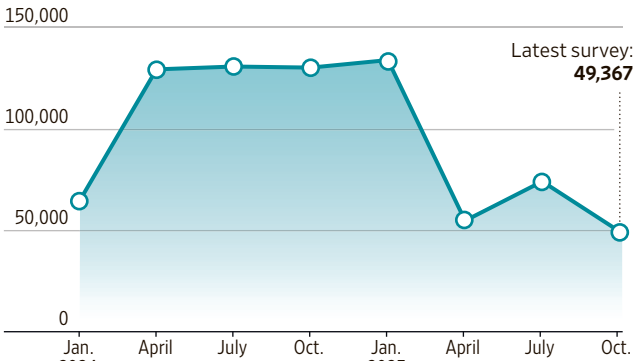
GDP growth, with economists’ forecasts over time



Note: Chart shows annualized change in real GDP from a quarter earlier, seasonally and inflation-adjusted, and average forecasts among survey respondents.
Sources: Commerce Department (actual); Wall Street Journal survey of economists (forecasts)

Despite that growth, economists expect companies to add fewer employees in the coming year—about 49,000 a month on average. That is their lowest monthly payrolls forecast since the July 2023 survey.

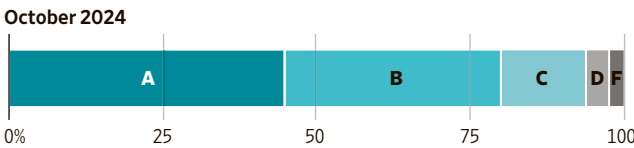
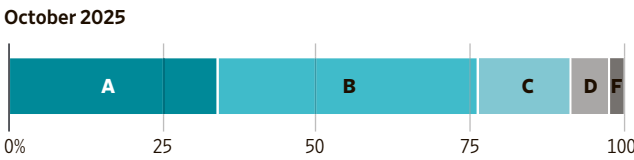
Forecast for the average monthly change in nonfarm payrolls, next 12 months, by survey quarter



Note: Chart shows average response in each survey.
Source: Wall Street Journal surveys of economists

Fed Chair Powell still gets high marks from the Journal’s panel of economists, but the distribution of grades shifted lower. Powell received an A from 34% of economists, down from 45% in October 2024, while 43% awarded him a B, up from 35% last year.

How would you grade the performance of Jerome Powell as Federal Reserve chair?

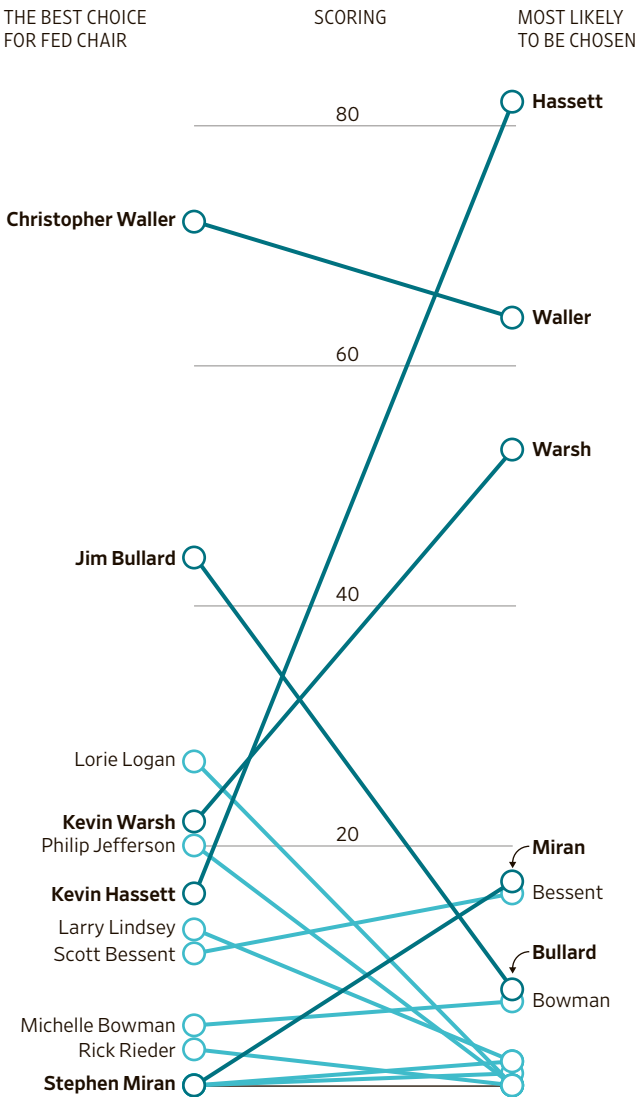


Source: Wall Street Journal survey of economists

Economists also ranked the candidates Trump is considering to succeed Powell once his term ends in May, using two measures: who they think is the best choice and who they think is most likely to be chosen. Although they ranked Fed governor Christopher Waller as their best choice, he came in second for most likely to be named. For that, economists named Kevin Hassett, the National Economic Council director and Trump’s longest-serving economic adviser.

Ranking candidates for Federal Reserve chair

Candidates awarded three points for each first-place vote, two points for second place and one point for third place

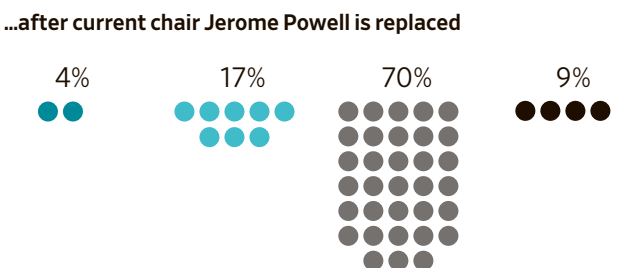
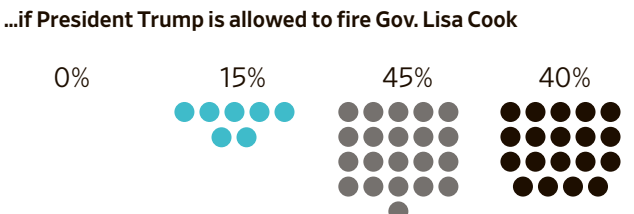
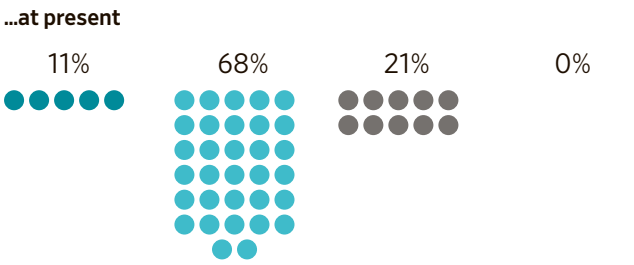
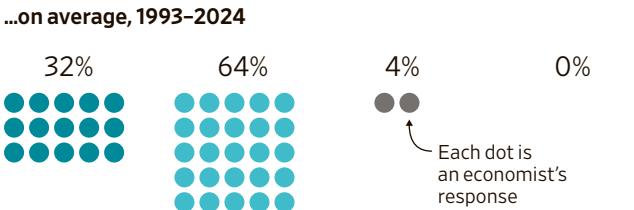


Note: Economists were given a list of names to choose from. Not all candidate names are shown.
Source: Wall Street Journal survey of economists

Trump’s moves to fire Fed governor Lisa Cook, plus his insistence that the Fed lower interest rates, have raised questions of how independent the Fed will be after Powell’s term as chair expires next year. Asked to rate the Fed’s independence to conduct monetary policy free of government influence, historically and under a variety of scenarios, economists generally see the Fed moving from being largely independent to partial independence.

Rate the Federal Reserve’s independence...

COMPLETELY INDEPENDENT MOSTLY PARTIALLY NOT INDEPENDENT



Source: Wall Street Journal survey of economists

CORRECTIONS & AMPLIFICATIONS

Derrin O’Neill, who in the past recruited clients for drug-rehab programs, ultimately quit the business. A Page One article on Friday about drug rehabs incorrectly said that he quit in 2020.

Gold futures closed at \$3,975.90 a troy ounce on Friday. A U.S. News article on

Monday about New York’s diamond district incorrectly gave the price as \$4,035.50.

Sen. Susan Collins (R., Maine) this year opposed one of President Trump’s cabinet picks. A U.S. News article on Wednesday about Maine’s Senate race incorrectly said Collins opposed more than one of Trump’s cabinet picks.

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-410-2667.

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U.S. NEWS

Alaskan Villages Reel After Weekend Storms

JUNEAU, Alaska—Rain and wind were forecast Wednesday along the Alaska coast where two villages were devastated by the remnants of Typhoon Halong as officials scrambled to find shelter for more than 1,500 people driven from their homes.

The weekend storm brought high winds and storm surges that battered the low-lying Alaska Native communities along the Yukon-Kuskokwim Delta in the southwest part of the state, nearly 500 miles from Anchorage. At least one person was killed and two were missing. The Coast Guard plucked two dozen people from their homes after the structures floated out to sea.

Hundreds were staying in school shelters, including one with no working toilets, officials said. The weather system followed a storm that struck parts of western Alaska. At right, above, a home overturned in Kotlik on the west coast.

Across the region, more than 1,500 people were displaced by the back-to-back storms. Dozens were flown to



ADAM L. PETERSON/ASSOCIATED PRESS

a shelter set up in the National Guard armory in the regional hub city of Bethel, a community of 6,000 people.

The hardest-hit communities included Kipnuk, shown at right, population 715, and Kwigillingok, population 380. They are off the state's main road system and reachable this time of year only by water or air.

—Associated Press



DAVID J. PHILLIPS

Scam Texts Traced to China Cost Americans Over \$1 Billion

Victims tricked into giving out their credit-card details to criminals abroad

By ROBERT McMILLAN

The U.S. is awash with scam text messages. Officials say it has become a billion-dollar, highly sophisticated business benefiting criminals in China.

Your highway toll payment is past due, one text warns. You have U.S. Postal Service fees to pay, another threatens. You owe the New York City Department of Finance for unpaid traffic violations.

The texts are ploys to get unsuspecting victims to fork over their credit-card details. The gangs behind the scams take advantage of this information to buy iPhones, gift cards, clothing and cosmetics.

Criminal organizations operating out of China, which investigators blame for the toll and postage messages, have used them to make more than \$1 billion over the last three years, according to the Department of Homeland Security.

Behind the con, investigators say, is a black market connecting foreign criminal networks to server farms that blast scam texts to victims. The scammers

use phishing websites to collect credit-card information. They then find gig workers in the U.S. who will max out the stolen cards for a small fee.

Making the fraud possible: an ingenious trick allowing criminals to install stolen card numbers in Google and Apple Wallets in Asia, then share the cards with the people in the U.S. making purchases half a world away.

The deluge of phishing texts is getting worse. Americans reported an all-time high of 330,000 toll-scam messages in a single day last month, says Proofpoint, a company that filters mobile spam messages. The average monthly volume of toll-scam messages is about 3½ times what it was in January 2024.

Criminal gangs are able to flood people with text messages using so-called SIM farms, rooms jammed with boxes of networking devices. The servers are stuffed with the little white cards that mobile customers put in their new phones to begin making calls or sending texts.

“One person in a room with a SIM farm can send out the number of text messages that 1,000 phone numbers could send out,” said Adam Parks, an assistant special agent in charge at Homeland Security Investigations, the investigative arm of DHS.

Criminal gangs overseas typically operate the farms remotely, but hire gig workers in the U.S. to set them up. The gangs recruit the workers via the WeChat messaging app, Parks said. Workers needing help have instruction manuals and live technical support.

At least 200 SIM boxes are operating in at least 38 farms across the U.S., in cities such as Houston, Los Angeles, Phoenix and Miami, said Ben Coon, chief intelligence officer with the cybersecurity company Unit 221b, who has investigated the messaging fraud.

Coon has discovered SIM farms in shared office spaces, crack houses and an auto-repair shop.

Consumers receiving a scam toll text are asked to visit a website where they can pay their bill, after providing their name and credit-card or bank information. Most people know to ignore the messages, but the fraction that click then enter a phishing site.

Some gangs set up sites using software found in criminal channels on the Telegram messaging app, investigators say. Through the sites, the scammers can watch every keystroke the victims type, and enter the same information into wallets on their own smartphones.

“It’s the easiest system I’ve

ever seen for making phishing sites,” said Gary Warner, director of threat intelligence with the cybersecurity firm Dark-Tower.

The phishing sites ask their victims to submit a one-time password from their financial institution. But the point of this password isn’t to pay toll fees. The criminals use it, along with the other stolen information, as a final step to install the victims’ cards into mobile phone wallets located in Asia.

The criminals find people in the U.S. willing to make purchases through Telegram channels. On any given day, scammers employ 400 to 500 of the mules. The workers are paid around 12 cents for every \$100 gift card they buy, Parks said.

The scammers use remote tap-to-pay software to create “a virtual bridge between the phone in China and a phone in the United States,” Parks said.

The trick allows the gig buyers to tap their phones at a store’s checkout to make a purchase, as if they were using their own credit card.

“Having these cards put into digital wallets is so powerful because multi-factor authentication is never needed again,” said Ford Merrill, a researcher at the threat intelligence firm SecAlliance. “You’ve effectively told your bank that you trust this device.”



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U.S. NEWS

Trump Hosts Corporate Ballroom Donors

Event includes representatives from Lockheed, Microsoft, Meta

By Meridith McGraw and Annie Linskey

WASHINGTON—More than three dozen organizations and individuals, including companies with business before the federal government, attended a dinner with President Trump on Wednesday evening after opening their checkbooks to support the new \$250 million ballroom under construction at the White House.

Companies that sent representatives to the East Room event include **Lockheed Martin**, **Microsoft**, **Meta Platforms**, **Alphabet**’s Google, **Amazon.com** and **Palantir Technologies**, according to the White House. The guest list also featured wealthy individuals and families, such as oil billionaire Harold Hamm, Blackstone CEO Steve Schwarzman and investors Cameron Winklevoss and Tyler Winklevoss.

“Chief executives throughout history have contributed to making the White House special and nothing of this magnitude has been done,” Trump said at the beginning of the event. He noted renovations and building projects done by past presidents, including James Monroe’s South Portico and Theodore Roosevelt’s West Wing.

The dinner was billed to “Establish the Magnificent White House Ballroom,” according to a copy of the invitation reviewed by The Wall Street Journal. The invitation, which was written in



President Trump views the new ballroom as part of his presidential legacy. Above, he holds a model of the arch he also plans.

Trump’s trademark gold lettering, listed the president as the event’s host.

Trump views the new ballroom as an important part of his presidential legacy. Since taking office, he has already redecorated parts of the White House complex, including the Rose Garden, Oval Office, Palm Room and Colonnade.

The former developer said thinking about real estate is “relaxing” for him. At one point during the dinner, the president drew open the yellow curtains

in the East Room to show his guests progress on the ballroom outside.

The president has held meetings at the White House and at his club in Virginia about raising money for the ballroom project, people familiar with the efforts said. Meredith O’Rourke, the president’s political fundraiser, has been involved in the ballroom fundraising.

Trump said he has been approached by companies willing to donate money but also materials for the ballroom.

Trump’s effort to secure funding for the ballroom also has alarmed ethics watchdogs, who worry that it puts pressure on companies to donate or risk angering the president.

“Every company that is invited to that dinner that either doesn’t show or doesn’t give knows now they will be out of favor with the Trump administration,” said Claire Finkelstein, a University of Pennsylvania law professor and faculty director of the Center for Ethics and the Rule of Law.

The new White House ballroom would add at least 90,000 square feet of space with the capacity for over 650 seats, according to administration officials. The East Room has enough space for 200 seats. The main footprint of the White House, not including the East and West Wing, is approximately 55,000 square feet.

The president has long argued that a ballroom is necessary for a modern White House to hold events. He has noted that state dinners are fre-

quently held on the South Lawn in temporary tents. Trump pitched the Obama administration on building a ballroom and said he would pay for it, but the offer was declined.

Trump is discussing other construction projects. He is planning to build a large white arch in a traffic circle across from Arlington National Cemetery. He expects that project will also be funded by corporate donations, according to a White House official. It is unclear how much the project would cost.

“It’s going to be very beautiful, I think it will be fantastic,” Trump said at the dinner, holding up a model of the arch with a gold Lady Liberty on top.

Trump recently posted on social media a concept for the arch designed by D.C.-based architecture firm Harrison Design.

Funds raised ahead of Wednesday’s dinner—which benefit the ballroom—went to the Trust for the National Mall, a small philanthropic nonprofit created in 2002 to partner with the National Park Service. YouTube, a Google subsidiary, last month gave \$22 million to the nonprofit for the ballroom as part of a settlement for a 2021 civil lawsuit that Trump brought against the company.

The \$22 million from Google more than doubled the nonprofit’s budget, which was \$9.5 million in 2024, according to the group’s tax forms.

Still, not all of the outreach for Wednesday’s dinner was successful. One Washington insider said one of their clients declined to participate because the client wants their money to fund Republican House and Senate campaigns, “not building Versailles.”

Jefferies In Spotlight Of Collapse

Continued from Page One

visers have since said its debt actually exceeds \$11.6 billion.

In the marketing materials, Jefferies highlighted a key financing arrangement in which First Brands sold accounts receivable to financial institutions—but it didn’t spell out that in some deals, money flowed through First Brands before it was repaid to the institutions. Jefferies told lenders these financing arrangements weren’t “debt-like.”

Jefferies’ shares—which hit a high late last year as the bank executed a plan to lure top bankers and work on bigger deals—sank about 18% since late last month, shaving around \$2.5 billion off the company’s market value. It now is worth a little over \$11 billion.

This week, Jefferies CEO Rich Handler and President Brian Friedman issued a statement intended to reassure investors that the bank was fundamentally sound and the firm’s bankers were unaware of any fraud at First Brands. The pair, who have led the bank for two decades, called the reaction in Jefferies’ share price and credit perception “meaningfully overdone.”

Shares recovered modestly since then. The duo is likely to

comment further when Jefferies hosts a previously scheduled investor day Thursday.

Jefferies has suggested that any direct hit to its financials will be immaterial and has stressed it is one of many financial institutions that worked with First Brands. However, its asset-management clients have money at risk in the First Brands’ bankruptcy and there remain questions about Jefferies’ judgment.

This account is based on conversations with people familiar with Jefferies’ involvement, lenders and other individuals close to First Brands.

Jefferies has worked for First Brands and a predecessor since 2014. Its investment-banking and capital-markets divisions—which account for the bulk of the firm’s revenue—advised the auto-parts supplier on one acquisition and various financing efforts.

Jefferies’ asset-management arm, Leucadia, became one of First Brands’ biggest financiers by purchasing First Brands’ accounts receivable, an arrangement known as factoring.

Beginning in 2019, it had been buying the company’s expected payments from retailers. The Leucadia entity doing it, Point Bonita Capital, is focused on such investments. First Brands made near-daily payments to Point Bonita for years, as customers paid invoices on the roughly \$715 million in accounts receivable that Point Bonita held. Jefferies had about \$45 million of Point Bonita exposure while the fund’s other investors including

BlackRock and Morgan Stanley’s asset-management arm held the rest. The group had hoped to get back \$900 million on the \$715 million bet.

On the investment-banking side of Jefferies, the bank signed an engagement letter June 30 to refinance First Brands’ corporate loans and started pitching investors. First Brands was fresh off a private-credit deal in June that raised about \$250 million and didn’t involve Jefferies.

Marketing materials Jefferies prepared for prospective investors detailed the auto parts maker’s \$5.9 billion of loans. It didn’t mention the billions of dollars of off-balance-sheet debt and factoring liabilities later disclosed in bankruptcy-court filings, an

issue some lenders are grumbling about now. Other people said it isn’t necessarily typical to detail such arrangements.

Jefferies based the presentation on First Brands’ 2024 financial statements, which were audited by accounting firm BDO. The bank included a page noting that 71% of First Brands’ roughly \$5 billion of sales were factored, but represented it as something that didn’t affect the company’s creditworthiness.

“First Brands does not view factoring as debt-like given it is a true non-recourse sale,” the presentation said.

The presentation referenced factoring arrangements in which financial institutions collect payments directly from First Brands customers like

AutoZone and Amazon. It didn’t mention that in some cases First Brands served as a middleman, collecting payments from customers then passing them on to the financial institutions such as Point Bonita. That type of factoring is considered more risky because it relies on the integrity of the suppliers themselves.

By August, whispers were spreading in the lender community, including that Apollo Global Management had bet against First Brands through a so-called credit-default swap trade. Potential investors in the refinancing requested what is known as a quality-of-earnings report, which would provide more detail on First Brands’ revenues and financing. First Brands hired accounting firm

Deloitte to produce it.

The report never materialized. As Labor Day approached, jitters were growing within Jefferies.

On Sept. 15, First Brands’ near-daily payments to Point Bonita stopped. The company stopped communicating with Jefferies’ investment bankers, irking people within the firm.

Jefferies pulled the refinancing effort after investors lost confidence in First Brands’ disclosures and its corporate loans started tanking in the secondary market. The Journal first reported on Sept. 22 that First Brands was preparing to file for bankruptcy. After it filed the following week, the company’s new chief restructuring officer said in court papers that restructuring advisers discovered irregularities in its factoring arrangements.

That day, those advisers made a presentation to investors detailing liabilities that weren’t disclosed earlier.

They included more than \$2 billion of off-balance-sheet asset-backed loans, as well as a \$210 million loan from UBS and a \$77 million loan from Santander. What got the most attention from lenders was a nearly \$2 billion hole tied to accounts-receivable financing. Additional documents viewed by the Journal show only about \$350 million of accounts receivable, compared with about \$2.3 billion of accounts-receivable financing. New independent directors are now examining whether accounts receivable were double- or triple-pledged.



Jefferies CEO Rich Handler and President Brian Friedman at its Manhattan headquarters.

Trump Seeks IRS Overhaul

Continued from Page One

The Treasury spokesperson said Bessent’s team at the IRS is bringing “the best of America’s private-sector practices and organization” to the agency. “The team’s focus remains collections, privacy, and customer service,” the spokesperson said.

Trump had previously said on Truth Social that Soros and his son Alex should face federal charges under the RICO Act and noted in a separate interview the elder Soros “should be in jail,” without offering any reasons. A senior Justice Department official recently urged several U.S. attorneys offices to investigate Soros’s Open Society Foundations. The Wall Street Journal previously reported.

Open Society Foundations

has denounced the Justice Department effort as an attempt to silence Trump’s critics.

Trump has ordered Bessent as the acting IRS commissioner to refer certain tax-exempt organizations to the Justice Department for further investigation. Bessent has also been directed to use the Treasury’s terrorism and financial-intelligence office to examine groups’ financial flows and try to trace any illicit funding streams.

The IRS has long tried to steer clear of political controversies, though not always successfully. During the Obama administration, an inspector general’s report concluded in 2013 that the IRS had used inappropriate criteria to select conservative groups for what proved to be lengthy, invasive scrutiny when seeking tax-exempt status. The Justice Department investigated the matter and declined to charge Lois Lerner, a former IRS official, concluding IRS officials had exhibited poor judgment and management but hadn’t committed any crimes.

The IRS-CI is a formidable

tool. It has over 2,000 agents, investigates potential criminal violations of the tax code and assists other agencies in combating financial crime. Its agents often carry firearms, and it is distinct from the auditors and collectors who handle civil tax enforcement.

Shapley was a longtime IRS-CI agent who clashed with supervisors and agency lawyers, particularly during his investigation of Hunter Biden, which he publicly alleged the Justice Department slow-walked. Biden pleaded guilty to nine tax-related charges in 2024 before his father, President Joe Biden, pardoned him.

Shapley briefly served as acting IRS commissioner this year, before he was replaced after just three days heading the agency, which has had a carousel of leaders in 2025. Despite that, Shapley has recently

risen back into the inner circle of the agency’s leadership.

Trump’s allies zeroed in on using the IRS-CI after encountering obstacles in a separate effort to strip tax-exempt status from certain nonprofits, current and former officials said.

For months, administration officials have been trying to find a way to alter the rules to more easily revoke tax-exempt status after Trump said Harvard University, a nonprofit that is battling the White House, should lose its status. The administration officials sought to use the “illegality doctrine,” a rule that causes nonprofits to forfeit their status if they break the law.

But IRS lawyers have stymied those efforts by arguing that the law clearly dictates that the IRS would need to be able to produce a lengthy record of an investigation, which could potentially last years.

The president is aiming for another way to probe left-leaning groups.

Shapley and those close to him are also proposing changes to the rules on how IRS criminal probes are conducted, people familiar with the matter said. Attorneys from the IRS chief counsel’s office typically work with IRS-CI agents as they move through investigations, particularly for steps such as search warrants and bringing a case to Justice Department for potential prosecutions. The Internal Revenue Manual, the agency’s procedure handbook, spells out the involvement of chief counsel lawyers and the CI chief in criminal cases. It includes extra steps for sensitive cases, such as those involving federal elected officials and tax-exempt groups.

Shapley, though, wants to change the manual so the chief counsel lawyers have less of a role, these people explained.

Some senior IRS criminal tax attorneys are voicing concern about the methods of investigators while Trump encourages his administration to target donors and nonprofit groups, people familiar with the matter said. Some have

privately argued against moving ahead with at least one case, with the argument it is vindictive prosecution and seems politically motivated.

Shapley has previously complained about the IRS criminal-tax attorneys’ work with IRS-CI agents. “CT counsel is not a respected organization within IRS CI,” Shapley said in a 2023 congressional hearing about the Hunter Biden probe.

In an interview with Andrew Kolvet on “The Charlie Kirk Show” on Tuesday, Bessent likened his agency’s efforts to the Treasury Department’s work targeting terrorism financing networks after the Sept. 11 attacks. Kirk, a conservative activist, was killed in a shooting in September, and Trump promised to crack down on the “radical left” after the shooting.

“We have started to compile lists of the other networks and there’s a long record here,” Bessent said on Kirk’s show. “This is mission critical for us now....We are operationalizing this here at Treasury. We are going to track down who is responsible for this.”

States Launch A New Alliance On Public Health

By BETSY MCKAY

The public-health resistance to Health and Human Services Secretary Robert F. Kennedy Jr. is growing. Governors across 15 states including New York, California and North Carolina are forming a new public-health alliance to detect and respond to disease threats, saying federal-funding cuts and policy changes by the Trump administration are putting their citizens at risk and forcing them to find alternatives.

The state leaders, all Democrats, will join forces to help one another prepare for pandemics, track infectious diseases, write public-health guidelines, share expertise on preventive care and buy vaccines and supplies in bulk.

“In light of the assaults on science and medicine coming out of Washington, governors have to step up and lead,” said Gov. Kathy Hochul of New York. “We really have no choice.”

The Governors Public Health Alliance is the latest and so far the largest move to create an alternative public-health universe outside the federal government. More doctors, policymakers and state leaders are alarmed by cuts in federal funding for global and domestic health programs, as well as public-health expertise at the Centers for Disease Control and Prevention. Many have grown wary of changes to federal health guidance since Kennedy, a longtime vaccine skeptic, became health and human services secretary. New limitations set by the

Food and Drug Administration and a vaccine-advisory panel backed by Kennedy on who are recommended for the Covid-19 vaccine prompted some governors to issue emergency orders clarifying that pharmacists may administer the vaccine without a doctor’s prescription.

“We have to show that we will continue supporting science, supporting medical research, supporting our institutions, supporting access to vaccinations, and we believe in science,” Hochul said.

The 15 governors represent about 115 million people, or about a third of the U.S. population. They said they hoped to recruit more governors, particularly Republicans, to address health concerns they said traditionally have been considered non-partisan. A nonprofit group, GovAct, will coordinate the alliance.

“It’s really just about public health,” said Colorado Gov. Jared Polis. The more expertise that is cut from federal agencies such as the CDC and the FDA, he said, the more states will need to find ways to re-create capabilities to protect the public’s health.

A spokesman for HHS said the agency will ensure that policy set by the vaccine-advisory panel “is based on rigorous evidence and Gold Standard Science, not the failed politics of the pandemic.”

The alliance is forming as a shutdown of the federal government has led to further cuts in federal public health. About 600 employees at the CDC were laid off in recent days.

15 States that have so far joined the Governors Public Health Alliance

U.S. WATCH



OH, THE HORROR: Animatronic decorations go up a few weeks before Halloween in Manhattan’s Tribeca area.

MASSACHUSETTS

Sen. Markey Gets Primary Challenge

U.S. Rep. Seth Moulton, a moderate Massachusetts Democrat, said Wednesday he would challenge Sen. Edward Markey for the Democratic nomination in next year’s Senate race, arguing it is time for the party to embrace a new generation of leadership. The announcement makes the race one of the most anticipated primary contests in the country and pits two of the heavily Democratic state’s top politicians against each other. Markey, who fended off a 2020 challenge from Rep. Joe Kennedy III in the Senate primary, would be 80 before his third six-year term would begin.

In a video accompanying his announcement, Moulton, 46, said the Democratic Party was stuck in the “status quo” and “isn’t fighting hard enough.”

—Associated Press

FLORIDA

Rep. Mills Faces Protection Order

A Florida judge has granted a protective order against Republican U.S. Rep. Cory Mills at the request of a former girlfriend who claimed he threatened to release nude images of her and physically harm her future boyfriends after she broke up with him.

Under the order issued Tuesday by Circuit Judge Fred Koberlein in Columbia County, Mills can have no contact with his ex-girlfriend and may not go within 500 feet of her residence or where she works. The order is in effect through the end of the year.

Mills has previously called the allegations “false” and said they misrepresented the nature of their interactions. His attorney, John Terhune, didn’t respond to an emailed inquiry on Wednesday.

—Associated Press

OKLAHOMA

Bible Mandate in Schools Rescinded

Oklahoma’s new public schools superintendent announced Wednesday he is rescinding a mandate from his predecessor that forced schools to incorporate the Bible into lesson plans for students.

Superintendent Lindel Fields said he has “no plans to distribute Bibles or a biblical character education curriculum in classrooms.”

The directive last year from former Superintendent Ryan Walters drew condemnation from civil-rights groups and prompted a lawsuit from a group of parents, teachers and religious leaders that is pending before the Oklahoma Supreme Court. Oklahoma Gov. Kevin Stitt appointed Fields to the superintendent’s post after Walters resigned.

—Associated Press

MONTANA

Climate Activists’ Lawsuit Dismissed

A federal judge in Montana on Wednesday dismissed a lawsuit from young climate activists seeking to block President Trump’s executive orders promoting fossil fuels and discouraging renewable energy.

The activists said the orders would worsen global warming, threatening their lives and violating their constitutional rights.

Attorneys for the U.S. Justice Department and more than a dozen states had urged Judge Dana Christensen to dismiss the case.

The judge said their bid to block Trump’s orders was an “unworkable request” that would have required scrutiny of every climate-related action taken since the Republican came into office.

—Associated Press

No Evidence of Tariff Cheating Found Among Appliance Makers

By JOHN KEILMAN

Federal officials say they have found no evidence of widespread undervaluing of imported appliances after Whirlpool last month accused its rivals of possible tariff evasion.

The Michigan-based maker of refrigerators, washing machines and other products based its suspicions on import data that showed the declared customs value of numerous appliances plummeted starting in June. Washing machines from South Korea, for

example, sank from an average value of \$838 over the first five months of the year to \$73.

A smaller declared value would mean a lower tariff. Whirlpool said it shared its concerns with the Trump administration and confronted some of its rivals about the data, including South Korea-based **Samsung Electronics** and **LG Electronics**, and China-based Haier, which owns GE Appliances.

Some customs brokers said the plunging values were likely due to data-entry errors,

not tariff dodging. After a review, U.S. Customs and Border Protection reached the same conclusion, finding that brokers and importers mistakenly inflated the quantity of products they were bringing into the country after new steel tariffs complicated reporting.

Some import data has been revised since Whirlpool raised the issue, but the company said it still shows “precipitous drops in valuations.” Customs officials haven’t responded to other concerns Whirlpool has raised, the company said.

Vote Maps’ Use of Race Questioned

Continued from Page One

The Louisiana case has been a drama in multiple acts. Lawmakers redrew the state’s congressional map after the 2020 census, but a court said the new lines were problematic because they diluted the power of Black voters, which Supreme Court precedents have held violates the Voting Rights Act. The state tried again, aiming to comply with the court order while preserving districts held by favored Republican incumbents, including House Speaker Mike Johnson. The solution: drawing a second district in which Black voters made up a majority, up from one.

This time a group of self-described “non-African-American” voters sued and won in a different court, alleging the new map was an unconstitutional racial gerrymander. “If it was ever acceptable under our colorblind Constitution to do this, it was never intended to continue indefinitely,” Edward Greim, a lawyer representing the challengers, told the court.

The Supreme Court took up the case last term but never decided it, calling instead for additional legal arguments on

whether Louisiana’s intentional creation of the Black-majority district violated constitutional amendments that guarantee everyone equal treatment under the law and protect the right to vote.

Most justices in the court’s conservative majority asked questions that raised clear concerns about the race-based districts. Less clear was how broadly the court might rule.

The court’s liberal justices said arguments for limiting the Voting Rights Act were misguided. The law remains an important tool for guaranteeing that voters enjoy the same electoral opportunities. “And maybe that remedy involves race consciousness, maybe it doesn’t,” said Justice Ketanji Brown Jackson.

If the court rejects the Louisiana map, the ruling could considerably weaken Voting Rights Act protections that have allowed minorities to challenge electoral systems and districts as discriminatory. The court has previously narrowed the law’s sweep, most notably in a 2013 ruling that said Jim-Crow era discrimination no longer justified requiring a group of mostly Southern states to seek Washington’s approval before changing election practices.

The Supreme Court’s new campaign-finance case, which will be argued this winter, is driven by Republican leaders.

The national Republican committees that support

House and Senate candidates, along with Vice President JD Vance and former GOP Rep. Steve Chabot of Ohio, are asking the justices to allow political parties to spend unlimited amounts to influence federal elections with input from the candidate they are supporting.

Republicans argue it is an unconstitutional burden on their speech to limit consultation with candidates on what those ads say, and when and where they run. Democrats say that the limits should remain in place.

The cases come as President Trump continues a yearslong push to tighten rules for voting. One of his biggest targets has been mail-in ballots.

An intraparty dispute on the issue is at the Supreme Court’s doorstep, and the justices could say soon whether they will take it up. GOP officials in Mississippi have appealed to the high court to save a state law that allows for the counting of absentee ballots postmarked by Election Day and received up to five business days later.

Among those suing the state is the Republican National Committee, which won an appeals court ruling that said ballots must be received by Election Day to count.

“This is potentially one of the most consequential terms for election law and voting rights in the Supreme Court in many years,” New York University law professor Richard Pildes said.



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WORLD NEWS

Israel, Hamas Start Phase 2 of Talks

Militant group returns two more bodies of hostages, a key sticking point

By SUMMER SAID
AND VERA BERGENGRUEN

Israel and Hamas began negotiating the second phase of a plan outlined by President Trump to end the war in Gaza, as debates continued about the militant group's failure to return all the bodies of dead hostages as required in the first phase.

Hamas handed over the bodies of two more hostages to Israel on Wednesday, a day after both sides accused each other of violating the cease-fire that was part of the deal that released all 20 living detainees from Gaza.

Mediators were still negotiating with Hamas over releasing a few more bodies. The latest transfer means that the bodies of nine of the 28 dead hostages are now back in Israel.

U.S. officials said Wednesday they didn't believe the deal had been violated, saying Hamas had "honored" its commitment to release all live hostages and that U.S. and mediators were still working "to get as many bodies out as possible."

"We continue to give them the intelligence that the Israelis have, and we'll keep working in good faith until we're able to exhaust that mechanism," a senior U.S. official said.

Earlier on Wednesday, Israel said three bodies turned over by Hamas a day earlier were Israeli hostages, but that a fourth body wasn't a match.



Mourners in Israel attend a service for Guy Illouz, whom Hamas took hostage during the Oct. 7, 2023 attacks.

A 20-point plan laid out by Trump required the militant group to hand over all living and dead hostages in the first phase. The second phase takes on thornier issues such as postwar governance in Gaza, new security arrangements under an Arab-led force and the disarmament of Hamas.

Mediators are discussing sending an initial group of 1,000 Palestinian police trained by Egypt and Jordan to help provide security in Gaza, Arab officials say. Earlier this year, Egypt and Jordan began training Palestin-

ians for a force they hoped would reach 10,000, The Wall Street Journal reported.

The plan could face pushback from Israel, which has resisted security forces from the Palestinian Authority, the Hamas rival that governs parts of the West Bank. But the international force called for under the Trump plan will also be difficult to assemble, with Arab governments reluctant to look like occupiers.

Israelis celebrated Monday's return of the last 20 living hostages. But Hamas only turned over four bodies that

day. Israel responded Tuesday by telling humanitarian groups that it was cutting back the amount of humanitarian aid promised under the agreement to put pressure on Hamas to return the deceased. Later that day, Hamas turned over four more bodies.

Hamas had told mediators that it doesn't know where all the bodies are, and Israel's intelligence services agree many will be hard to find. But Israel expected Hamas to turn over more bodies than the four it delivered Monday, and families of the hostages have publicly

pressured the government to demand the rest. The two sides agreed to set up an international task force to search for the remaining bodies.

U.S. officials say they are discussing a program that would give residents incentive to help to locate the bodies, and "pay rewards for that type of good behavior." They have also discussed bringing in a Turkish team of more than 80 specialists in body retrievals, who are trained in searching the rubble in the aftermath of earthquakes, a U.S. official said.

Trump Sets Meeting Of Son, Indonesia President

By RORY JONES
AND RAMADANI SAPUTRA

President Trump's company has said he won't be involved in day-to-day management. But the president's personal business and his government role intersected this week when he was heard on a hot mic arranging a meeting between his son Eric, who runs the family company, and Indonesia's leader.

In the exchange, captured on audio at a Middle East summit, Indonesian President Prabowo Subianto referred to an issue about a region that was "not safe, securitywise" before asking Trump: "Can I meet Eric?" Trump replied, "I'll have Eric call. Should I do that? He's such a good boy. I'll have Eric call."

Only parts of the exchange were audible and the nature of the issue wasn't clear.

The two leaders spoke on Monday in the Egyptian resort city of Sharm El Sheikh at a summit following the signing of a cease-fire agreement in Gaza.

The Trump Organization, the family's flagship real-estate firm, has two Trump-branded real-estate projects under development in Indonesia, both with a company run by Hary Tanoesoedibjo, a politically connected businessman.

In the hot-mic exchange, Subianto appeared to say he "told Hary" about the issue he wanted to discuss with Eric Trump. Subianto ended the conversation saying that "we'll look for a better place."

Given the context of the Gaza summit, any discussion of business deals is "not a good look," said Pieter Pandie, a researcher at the Jakarta-based think tank Centre for Strategic and International Studies. "It certainly raises questions about whether the conversation was about personal or national interest."

The White House and Tanoesoedibjo's MNC Group didn't respond to requests for comment about the exchange.

The White House has said the president and his family aren't engaged in conflicts of interest. Indonesia's foreign minister, Sugiono, told local reporters on Tuesday that informal conversations between leaders are common.

A representative of the Trump Organization said the company's two projects in Indonesia began in 2015 before Trump entered office in his first term, and "it should come as no surprise" that its golf course there would be referenced in the conversation between the president and Subianto given its prominence in the country. "We are incredibly proud of our assets in Indonesia and the many great things to come," the representative said.

Before Trump took office a second time, the Trump Organization released an ethics plan saying it wouldn't do business directly with foreign governments. The company also said Trump wouldn't be involved in the day-to-day management while in office. Since then, the company has rapidly expanded its global business dealings.

Netanyahu Faces Hurdles Leading in Peacetime

By DOV LIEBER
AND DAVID LUHNOW

TEL AVIV—Israeli Prime Minister Benjamin Netanyahu has emerged as a wartime leader of a regional superpower, who resisted enormous pressure to halt its two-year conflict with Hamas and inflicted severe damage to Israel's enemies.

Now, the country's longest-serving prime minister faces an arguably more difficult challenge: How to lead Israel to a new era of peace.

Such a role won't sit naturally with a man who for decades has played a hawk in Israeli politics, casting himself as the only politician who can keep the nation safe, and by extension its bulwark against a Palestinian state. The role is made more difficult by the war with Hamas itself, which eroded Israel's international standing and deepened regional hostility, making peace with Palestinians and neighboring countries harder to achieve.

During his speech this week to the Israeli parliament to mark the cease-fire in Gaza and the return of Israel's living hostages, Netanyahu summed up the challenge ahead for him and his country by quoting King Solomon's meditations in Ecclesiastes. "To everything there is a season, and a time for every matter under heaven. A time for peace, and a time for war. The last two years have been a time for war. The coming years will hopefully be



Benjamin Netanyahu, right, has also always wanted to expand Israel's acceptance regionally and cement his legacy.

a time for peace," he said.

It won't be easy. For a start, many short-term obstacles loom. Hamas still hasn't agreed to disarm and is waging a violent crackdown to restore its power in Gaza, and there is no agreed framework for how the enclave will be governed or by whom.

Netanyahu is now, at maximum, a year away from what is certain to be another difficult election, though he might call a vote much sooner to capitalize on the surge of goodwill from the return of the hostages. He is still under

indictment by the International Criminal Court for war crimes, in a case he says is unjust and politically motivated.

Critics of Netanyahu, 75 years old, say he isn't the man for peace—he remains too controversial at home and in the region and is still dogged by corruption cases, in which he denies wrongdoing. He will have difficulty if the road to peace with other Arab states means accepting the idea of a Palestinian state, something he and his right-wing coalition oppose.

The role won't sit naturally with a man who has played a hawk in politics.

And it isn't just them: Polls show most Israelis oppose a two-state solution and fear a future Palestinian state would be used as a launchpad for future attacks against them.

Netanyahu's office didn't respond to a request for comment.

"I think peace is beyond him," says Michael Koplow, policy director of the Israel Policy Forum, a Washington think tank. Koplow said Netanyahu is stuck between President Trump, who wants an end to the war and a broader peace in the region, and his coalition, which is ruling out a deal with the Palestinians.

"Trump clearly wants to move on to the next stage of Middle East diplomacy and he's going to have a really tough time dragging Netanyahu there," Koplow said. "I don't think he appreciates just how hard it will be to get Bibi to move."

Netanyahu has towered over Israeli politics since he became the youngest prime minister in 1996 at age 46. He came back twice to serve a total of six terms. Along the way, he has consistently warned of two leading dangers to Israel's security: A nuclear-armed Iran and what he says is the existential threat of a Palestinian state. Neither has come to pass under his watch, though each remains possible.

Yet he has also always wanted to expand Israel's acceptance regionally and cement his legacy alongside former Is-

raeli leaders such as Menachem Begin and Yitzhak Rabin, both of whom made landmark peace deals with Arab countries such as Egypt and Jordan. The war in Gaza set back progress on an ambitious plan by Netanyahu and Trump to strike a peace deal with Saudi Arabia, which would carry enormous symbolic weight in the Muslim world.

Any future peace with Saudi Arabia is now further off, especially because the Gaza war elevated the profile of the Palestinian cause worldwide and made it more likely that Arab states will make progress toward a Palestinian state a condition of peace.

Netanyahu has lost too much trust and credibility among the Arab public and their leaders to bring new peace agreements, said Joshua Krasna, a former Israeli diplomat and senior government official. Leaders in the Arab world also recognize that Netanyahu will face voters soon and will be loath to take moves that could boost his popularity, said Krasna.

"The war has made Netanyahu even less popular in the Gulf, and he's seen as even a less legitimate interlocutor," Krasna said.

Still, within Israel, Netanyahu is the only figure with enough political capital to make tough compromises required for new peace deals, said Aviv Bushinsky, a former spokesman and adviser to Netanyahu. He has shown political flexibility throughout his career.

UKRAINE
Germany Pledges \$2 Billion in Aid

Germany on Wednesday pledged more than \$2 billion in military aid for Ukraine, as the government in Kyiv signaled that it would need \$120 billion in 2026 to stave off Russia's nearly four-year war.

Defense Minister Boris Pistorius said Germany would buy \$500 million of U.S. weapons for Ukraine under a new program to fast-track military equipment. Estonia, Finland, Lithuania and Sweden said they would also participate in the funding initiative.

Pistorius said Germany is providing "air defense systems, Patriot (missile) interceptors, radar systems and precision guided artillery, rockets and ammunition." He said Germany would separately provide two Iris-T air defense systems, guided missiles and shoulder-fired air-defense missiles.

—Associated Press

UNITED NATIONS
Agency Says CO₂ Hit Record Levels

Heat-trapping carbon-dioxide levels in the atmosphere jumped by the highest amount on record last year, soaring to a level not seen in human civilization and "turbo-charging" the Earth's climate and causing more extreme weather, the United Nations weather agency said on Wednesday.

The World Meteorological Organization said in its latest bulletin on greenhouse gases, an annual study released ahead of the U.N.'s annual climate conference, that CO₂ growth rates have now tripled since the 1960s, and reached levels that existed more than 800,000 years ago.

Emissions from burning coal, oil and gas, alongside more wildfires, have helped fan a "vicious climate cycle," the WMO report said.

—Associated Press

PAKISTAN
Cease-Fire Reached With Afghanistan

Pakistan and Afghanistan announced a cease-fire on Wednesday after the deadliest clashes in years, which left dozens of people dead on both sides of the border.

The pause came after appeals from major regional powers, including Saudi Arabia and Qatar, as the violence threatened to further destabilize a region where groups, including Islamic State and al Qaeda, are trying to resurface.

Pakistan accuses Afghanistan of harboring armed groups, a charge rejected by the country's Taliban rulers. Pakistan is grappling with militant attacks that have increased since 2021, when the Taliban seized power in Afghanistan.

Pakistan's Foreign Ministry described the cease-fire as a 48-hour one.

—Associated Press

WORLD WATCH



WATERLOGGED: People waded through muddy floodwater in Poza Rica, Mexico. Dozens of people have died in floods and landslides triggered by torrential rains in central and eastern Mexico.

WORLD NEWS

Milei’s Argentine Overhaul Meets Its Match in the Peso

Reforms stumble over inability to let the market decide currency value

By RYAN DUBÉ AND SILVINA FRYDLEWSKY

BUENOS AIRES—When he ran for president, Javier Milei compared the country’s currency to excrement, telling Argentines to forget the peso and vowing to scrap it altogether.

Now Milei’s government is using its precious few reserves of U.S. dollars to buy pesos and prop their value, a stark departure from his free-market overhaul of the country’s economy. And he’s asking for billions of dollars from the Trump administration to keep the peso from sliding.

The peso has become the Achilles’ heel of his takedown of his country’s traditional economic policies. He has slashed spending, cut red tape and tamed inflation. But he has been unable to break from his predecessors’ policies on the currency, hobbling his ability to complete his reforms and succeed in his free-market overhaul.

Milei can keep spending dollars to shore up the peso, a policy that keeps inflation in check. But in the long run, it discourages investment and keeps Argentina’s potent export-driven farmers from selling more abroad and bringing in much-needed dollars.

The other option is to allow markets to set the price of the peso, much like the U.S. dollar, euro and most other major currencies. That would boost Argentina’s reserves of foreign currency, which is key to absorbing economic shocks and repaying the country’s billions of dollars in foreign debt.

But it would weaken the peso, send inflation higher and make middle-class Argen-



Argentine President Javier Milei visited the White House earlier this week.

tines feel poorer, politically risky in a country where big protests over rising costs have doomed presidencies before.

Many Argentines like a strong peso. Their savings go further as they import goods from China. Some jet off to Brazil or Miami for vacations. Already, Milei’s policies and brash personality are wearing thin with the public, making any move on the peso less likely.

“The right thing to do from an economic point of view would be to let the peso float,” said Martín Rapetti, an economist at the University of Buenos Aires. “But the Milei administration fell in love with a strong peso, which is very common among politicians here in Argentina.”

Milei’s administration has

defended its policy, saying that the peso is not over-valued and that it would continue to defend the currency. “It’s clear to us that the solution isn’t to return to the catastrophic path of recurrent devaluations,” Milei said last month.

It is a mess Milei inherited from his left-wing predecessors, who created a dozen exchange rates for converting pesos to dollars. The convoluted system allowed them to keep the peso strong and print money to cover ever-rising public spending. Milei found central bank reserves depleted.

The peso has been a concern for Milei since he was elected in 2023. On his first day on the job, Milei devalued the currency by 50%. That caused inflation to soar to

more than 25% a month.

Rather than letting the peso float, which risked sparking hyperinflation, Milei allowed the peso to depreciate 2% a month against the dollar. His administration changed that system in April after receiving a \$20 billion bailout from the International Monetary Fund.

The peso is now allowed to trade freely in a band with a lower and upper limit, providing a semblance of stability. Still, the peso is between 20% to 35% overvalued, private sector economists say. One dollar is worth about 1362 pesos.

Héctor Torres, a former IMF executive director, says Milei’s peso policy has created “costly mirages” in the economy. By keeping the peso stronger, he said, the government is depleting scarce dollar reserves and eroding its capacity to tap private capital markets. Torres said the country could move “dangerously close to a new debt default.”

Trump Authorizes Covert CIA Action Against Venezuela

President Trump has authorized the Central Intelligence Agency to conduct covert action in Venezuela, while also floating the idea of land strikes, in a broadening campaign against alleged drug trafficking.

By Vera Bergengruen, Brett Forrest and Alex Leary

“I authorized for two reasons,” Trump said Wednesday at the White House, alleging Venezuelan leaders have “emptied their prisons into the United States of America” and “we have a lot of drugs coming in from Venezuela.”

The authorization enables the CIA to operate clandestinely in the country and potentially take action against Venezuelan strongman Nicolás Maduro, his government and alleged drug traffickers. Covert action, which is authorized in what is known as a presidential finding, can involve a range of secret activities including paramilitary and lethal operations meant to influence political, economic or military conditions in foreign countries.

Asked if the CIA had the power to remove Maduro, Trump said it was a “ridiculous question” but added, “I think Venezuela is feeling the heat.” Trump administration officials have argued that by designating Latin American drug cartels as foreign terrorist organizations, the U.S. has the power to use lethal force.

A CIA spokesman declined to comment. The New York Times earlier reported the CIA authorization.

In a televised speech Wednesday night, Maduro called on the U.S. to end its pressure campaign, condemning it as an imperialist effort to loot Venezuela’s natural re-

sources. “We don’t want war in the Caribbean nor South America,” he said, adding: “How many more coups by the CIA? Latin America doesn’t want them, doesn’t need them and repudiates them.”

The move comes amid the biggest U.S. military buildup in the Caribbean in decades, including the deployment of guided-missile destroyers, F-35B jet fighters, MQ-9 Reaper drones and a special operations ship.

CIA Deputy Director Michael Ellis has said that the CIA is now applying counterterrorism tactics to what has long been considered a law-enforcement issue.

On Tuesday, Trump announced the U.S. military had attacked a fifth alleged drug smuggling vessel off the coast of Venezuela. At least 27 people have been killed in the U.S. strikes since last month. Maduro has denied that drug smuggling is occurring and denounced the U.S. strikes as a pretext of regime change, portraying them as violations of sovereignty and international law.

Trump also said Wednesday that strikes could take place on suspected drug smugglers on Venezuelan soil. “We are certainly looking at land now because we’ve got the sea very well under control,” he told reporters.

“I support cracking down on the cartels and traffickers,” said Sen. Jeanne Shaheen (D., N.H.), the top Democrat on the Senate Foreign Relations Committee. “But the Trump administration’s authorization of covert CIA action, conducting lethal strikes on boats and hinting at land operations in Venezuela slides the U.S. closer to outright conflict with no transparency, oversight or apparent guardrails.”

U.S. Arranges \$20 Billion To Bolster Buenos Aires

By BRIAN SCHWARTZ AND SANTIAGO PÉREZ

WASHINGTON—The Trump administration is assembling a \$20 billion private finance facility that could act as a backstop for Argentina’s debt, Treasury Secretary Scott Bessent said Wednesday, expanding a lifeline for the beleaguered South American nation.

Bessent said a group of banks and sovereign-wealth funds have expressed interest in participating in the new facility. “It is a private sector solution to Argentina’s coming debt payments,” he told reporters.

The move adds to a \$20 billion currency swap framework recently agreed to between the U.S. and Argentina. Argentine President Javier Milei, an ally of President Trump, met with him in Washington this week. The deal includes U.S. purchases of Argentine pesos, which Bessent said continued through Wednesday. Argentine shares extended gains after the announcement, with the benchmark S&P Merval index rising more than 3%.

Argentina, Latin America’s third-largest economy after Brazil and Mexico, has for decades endured recurring political and financial crises marked by currency devaluations, bank runs and sovereign-debt defaults.

Successive governments have borrowed dollars or printed money rather than cutting spending to balance the books and narrow budget gaps.

Milei took office in 2023 pledging to cut rampant public spending and rein in endemic inflation. Earlier this year, he gave billionaire and former Trump adviser Elon Musk a chain saw at the Conservative Political Action Conference, a symbolic gesture tied to his campaign promise to slash entrenched pork-barrel spending in Argentina.

At their Tuesday meeting, Trump called Milei “MAGA all the way,” and said the bailout



Argentina faces debt payment of about \$14 billion next year.

was “meant to support a sound financial philosophy so Argentina can succeed again.” He tied the \$20 billion lifeline directly to the outcome of Argentina’s midterm elections, scheduled for later this month.

“If he loses, we are not going to be generous with Argentina,” Trump said of Milei, who he also endorsed for reelection in 2027. “If he doesn’t win, we’re gone.” Argentina’s Merval stock index fell 4% on Tuesday after those comments.

Nicolás Gadano, chief economist of Argentine consulting firm Empiria Consultores, said, “Trump made it clear that this isn’t an institutional agreement between two countries, but that his support is contingent on the political situation.” He added, “This creates a very high level of uncertainty in Argentina.”

Bessent said Wednesday that the deal’s future isn’t necessarily contingent on Milei’s election outcome. “As long as Argentina continues to enact good policy, they will have U.S. support,” he said.

Milei’s challenges are huge. The International Monetary Fund has granted the country more than 20 financial-aid packages since the 1950s, including the \$20 billion facility

extended earlier this year.

Argentina’s administration is struggling with empty government coffers and thin hard-currency reserves while facing debt payments of about \$14 billion next year. The country has defaulted on sovereign debt nine times, including three so far this century.

“Argentina has a local currency rejected by its population and no hard-currency reserves, mounting public debt with a history of default and no access to capital markets,” Gadano said. “It now faces debt payments it cannot cover and has already exhausted the resources it received from the IMF.”

The deal comes as the Trump administration faces domestic pressures. The federal government remains partially closed and China has imposed new restrictions on the export of rare-earth minerals, which are vital to consumer electronics and the tech industry.

The U.S. farm sector has also struggled amid Trump’s trade war, and the administration is weighing at least \$10 billion in aid to farmers across the country. China, meanwhile, has boosted purchases of Argentine soybeans following Buenos Aires’s suspension of its export tax.



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WORLD NEWS

U.S. Makes Guam Big Part Of Pacific Plan

Pentagon transforms territory into bulwark of efforts to contain China in the region

By Mike Cherney

DEDED0, Guam—At a U.S. Army post a few miles from tourist hotels and tropical beaches, troops here are testing an advanced, 360-degree radar—one piece of what is slated to be an \$8 billion system to defend this island from a Chinese missile attack.

The defensive shield taking shape is part of a fundamental shift by the U.S. military: The Pentagon is transforming Guam, a U.S. territory closer to Beijing than to Honolulu, into an anchor of its strategy in the Pacific.

The goal, military officials say, is to deter China's increasingly powerful military from using force to take over Taiwan, the self-ruled island that Beijing claims as its own, and to show that the U.S. is ready to fight.

The project is costly and logistically difficult, and must contend with a Chinese arsenal that now features upgraded versions of the DF-26, a missile known as the "Guam killer."

Then there are the questions about the security benefit of piling military assets onto an island where the two top regional flashpoints—Taiwan and the South China

Sea—are over 1,500 miles away.

"Some people feel that Guam is critical because of its location and that we need to make sure that we can operate from Guam effectively," said Zack Cooper, a former U.S. defense official who is now at the American Enterprise Institute, a conservative think tank. "Others believe that Guam is impossible to defend at an acceptable cost and that we should focus more on diversification."

Guam is firmly in Beijing's reach. China in September paraded an expanded arsenal of missiles, including what Beijing presented as a hypersonic version of the DF-26. Chinese hackers have targeted Guam's infrastructure, U.S. officials said.

Beijing's growing navy, meanwhile, is pushing boundaries. It has operated beyond the nearby "first island chain"—which includes Taiwan and Japan, and marks territory that U.S. security officials say China would hope to dominate in a regional conflict—and past the "second island chain," which includes Guam.

With the U.S. planning to withdraw some forces from the Japanese island of Okinawa, Gen. Eric Smith, the Marine Corps commandant, said in January that shifting assets to Guam "puts us going the wrong way," and that the U.S. still needs a credible deterrent force in the first is-

The U.S. is making progress in transforming the island of Guam into the anchor of its China-focused military strategy in the Pacific.

1 Guam offers a launchpad for U.S. forces to project power deeper into the Pacific in a confrontation with China, but its distance from the U.S. and from potential war zones presents challenges.

2 China has rapidly transformed its missile force, the Pentagon says, notably with the development of the intermediate-range DF-26, which can carry both conventional and nuclear warheads, with Guam well within reach.

3 The U.S. military's vision for Guam includes the new Camp Blaz base for 5,000 Marines, a Navy maintenance facility for submarines and upgrades to Andersen Air Force Base, from which the U.S. could send long-range bombers into a Taiwan conflict.



Sources: Center for Strategic and International Studies Missile Defense Project (missile ranges); U.S. Army Corps of Engineers, U.S. Indo-Pacific Command (military installations); U.S. Department of Defense (missile defense sites) EMMA BROWN/WSJ - print design: CAMILLE BRESSANGE/WSJ

land chain.

The Pentagon, aware of the perils of concentrating assets, is also dispersing forces in the Pacific.

Guam does have advantages. In a conflict over Taiwan, the island would be an important resupply point for submarines, aircraft carriers and other ships. And because Guam is a U.S. territory, the Pentagon can increase its presence here without having to negotiate with other countries.

"Guam anchors America's ability to defend, to project power, to sustain alliances and partnerships, and above all, to deter aggression," Adm. Samuel Paparo, the commander of all U.S. forces in the Indo-Pacific region, said at a defense

conference in Guam in September.

Between now and 2037, the U.S. military expects an increase of about 10,000 people on Guam, including active-duty and reserve personnel, dependents and others, bringing the total footprint to around 34,000.

The U.S. is spending \$6.2 billion on so-called force-posture projects in Guam from 2019 to 2028, the Indo-Pacific Command said.

"You have to have kind of a central hub," said Rear Adm. Brett Mietus, one of the top commanders for Guam. "Guam is just more developed than the other islands, so it makes sense to do the bulk of our investment here."

Building on Guam costs as

much as triple what it does elsewhere in the U.S., said Navy Capt. Blake Burket, who oversees the unit in charge of the construction of the island's new Marine base.

"A lot of that has to do with logistics of getting items on the island—it's generally four to six weeks, if not a little longer," Burket said during a recent visit to the base. "That logistics chain is hard." Nearby, workers with excavators dug out the site for a training pool near an unfinished fitness center and gym. Some barracks have been completed or are nearly done.

The infrastructure serving the island's military installations and its estimated 164,000 people also needs work. A new power plant is

coming online, but the local power authority—whose biggest customer is the Navy—says it needs an additional \$1.5 billion in federal funding to help improve security by moving key transmission and distribution systems underground. The island's public hospital is old, leaks during storms and is unfit for a mass-casualty event, staff said.

"Even though the ability to construct new barracks and new schools and new facilities is increasing, there's still limits about how much can be done, how quickly," said Erik Raven, a former Navy undersecretary during the Biden administration who was the senior defense official for Guam. "It's going to take time."

FROM PAGE ONE

U.S. Banks Score Big With China

Continued from Page One

Kong in May, the largest initial public offering globally this year. Auto giant BYD, consumer electronics-turned-car maker Xiaomi and internet behemoth Alibaba all have raised billions of dollars this year via Hong Kong's capital markets.

Facing fierce competition at home, Chinese companies are increasingly looking abroad for growth. Although the U.S. market is difficult because of high tariffs—and President Trump has threatened an additional 100% tariff—global consumers are warming to Chinese brands and their technology, meaning companies need foreign currency to buy overseas assets, build factories and hire workers.

Chinese companies used to go to New York to raise that money. But Beijing authorities have grown suspicious of U.S. listings, encouraging Chinese investors to put money instead into the Hong Kong market. And U.S. stock exchanges, wary of wading into politically sensitive territory, have pulled away the welcome mat for China.

"If you're a Chinese company and you want to raise international capital, this is really your only option," George Taylor, head of Asia-Pacific investment banking at Morgan Stanley, said of Hong Kong.

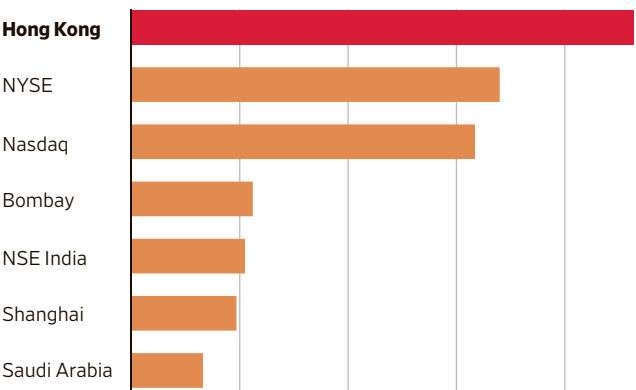
Politically speaking, the former British colony is hardly different from the Chinese mainland in its intolerance of dissenters and antigovernment speech. But in other ways, it is more like New York than Beijing. The Hong Kong dollar is pegged to the U.S. dollar and convertible with it—China's renminbi isn't—and travel between Hong Kong and the rest of the world is generally easy.

The result is a reshaping of Hong Kong's role. It used to be a gateway for international firms going into China. Now, said Han Shen Lin of the Asia Group consulting firm, "it's China's bridge out to the world."

The question in Washington is whether Wall Street should help to build that bridge. U.S. lawmakers in July subpoenaed U.S. banks, including JPMorgan and Bank of America, seeking documents related to their work on CATL's listing after the Pentagon said the battery maker was working with China's military. The Chinese firm denied that, and U.S. banks have said they did their own due diligence.

A congressional committee on China last month discussed Hong Kong's role as an alleged

New equity listing volume this year



Note: Data as of Sept. 30 and include primary and secondary listings but exclude SPACs.

Source: Dealogic

money laundering and sanctions-evasion hub, and as a spigot for Chinese companies seeking cash.

A spokesperson for the Hong Kong government said it is committed to preventing money laundering and terrorist financing, and enforces United Nations sanctions. Hong Kong's capital markets are "riding on positive momentum," and the government will implement further policies aimed at strengthening the city as a financial hub, the spokesperson said.

One of the speakers before the committee was Sunny Cheung, a former pro-democracy activist in Hong Kong who fled the city after Beijing tightened control. Cheung, who is now a

fellow at the Washington-based Jamestown Foundation, said China's use of Hong Kong to tap U.S. capital could undermine U.S. interests.

"There's no way that the U.S. government wants to see more U.S. investment going in there to empower" China's technology companies, he said.

Defenders of the U.S. presence in Hong Kong say Wall Street firms have built a profitable business there over decades. They draw a distinction between working with private-sector Chinese companies in civilian businesses and helping the Chinese government.

Morgan Stanley and Goldman Sachs are the top banks for fundraising in Hong Kong so far this year based on the

value of equity market deals. More than 65 companies have listed, with 200 active applications in the Hong Kong stock exchange's listings pipeline.

CATL, the battery maker, is building a factory in Hungary. It added a Hong Kong listing to an existing one in Shenzhen, China, this year, raising money from investors including funds managed by UBS and Oaktree Capital Management.

Online retailer Shein, popular among Americans for its bargain-basement fashion, looked at a U.S. listing before facing criticism from U.S. lawmakers over its supply chain. After considering London, it filed for a Hong Kong IPO.

The emergence this year of artificial-intelligence company DeepSeek as a competitor to U.S. leaders such as OpenAI reinforced investors' confidence that Chinese companies have globally competitive technology. That has helped Hong Kong's Hang Seng Index rise 30% this year, one of the world's best-performing markets—although the revival of U.S.-China trade tensions in the past week trimmed gains. The Zijin gold-mining stock is trading at more than double its offering price.

Morgan Stanley Chief Executive Ted Pick said on an earnings call in July that his bank's performance in Asia was "quite extraordinary," as revenue jumped 28% to \$4.6 billion in the region in the

first half. Goldman Sachs reported an 8% increase in revenue from Asia in the first half compared with a year earlier.

A year ago, international banks and law firms were shedding staff in Hong Kong as the city lost its role as a conduit for Western investment into China. Some Chinese financial firms drove down prices for routine services, pushing aside pricey Wall Street investment banks.

But when it comes to raising billions of dollars from big investors in New York and London, it usually takes a Wall Street bank. For the gold miner Zijin, Morgan Stanley helped bring in BlackRock in addition to funds managed by Fidelity International, London-based Schroders and the Singaporean sovereign wealth vehicle GIC.

The boom in Hong Kong finance hasn't yet translated into much economic growth in the rest of the city, which is still reeling from a broad fall in the local property market alongside mainland China's property bust. Still, there are signs of life: Rents are ticking up in the financial district and sales of luxury real estate are recovering, according to real-estate firm Savills. In August, local media reported the most expensive home sale of the year was a hilltop mansion that fetched 1.1 billion Hong Kong dollars, or \$140 million.

The Fruit Of Farmers' Hard Labor

Continued from Page One

the cost of other varieties.

But if consumers are charmed by the supermarket star, the farmers who grow it, especially in America's apple-growing capital of Washington state, often wish they never met it.

"She's a diva, an absolute diva," fourth-generation Washington apple farmer Kait Thornton said of the Honeycrisp.

Thornton's family has been farming in the same valley 20 minutes south of the Canadian border for nearly a century, and their yearly Honeycrisp crop is a painstaking ordeal. The same qualities that make the variety so delicious leave farmers griping.

Its thin skin is easily punctured by its own stem, which means workers must hand-clip the fruit from the tree, cutting productivity in half. The tree tends to produce more apples than it can handle, so growers must thin out the fruit. The Thorntons spray the trees frequently to treat an endemic calcium deficiency.

And to coax the apple into developing its signature red-pink hue, workers lay out sheets of reflective material by hand. Even a healthy apple is susceptible to bitter pit, a disorder that marks the skin with black splotches and ruins the fruit's flesh.

That, Thornton said, is just the work required to get it off the tree. The fall apple harvest supplies the market for the entire year, so shelf-life is crucial. The apple's signature foamy texture means it is an easy bruiser and doesn't store as well as other varieties. If in January, nine out of 10 Honeycrisps survived storage, a farmer might only get seven out of 10 by the summer.

While farmers might lament growing Honeycrisps, production is on the rise. Honeycrisps, known by some farmers as "moneycrisps," can fetch handsome paydays.

"That's where the consumer taste profile is going," said Chris Gerlach, vice president of insights and analytics for the U.S. Apple Association. "They want these fantastically flavorful apples."

This year is expected to bring a bumper Honeycrisp crop, but farmers aren't celebrating. A big harvest can send prices plummeting broadly as retailers discount other varieties like Gala or Fuji to compete with cheaper Honeycrisps. Apple growers say they're at the mercy of the volatile Honeycrisp, unsure from season to season how it's going to affect the price of their other varieties.

It's no surprise that the industry has been desperate to dump its high-maintenance lover for almost as long as they've been together. Fruit breeders across the country

have been racing to create crispier, more flavorful apples that will capture consumer loyalty like the Honeycrisp—but are easier to grow.

Kate Evans, an apple breeder at Washington State University, developed the Cosmic Crisp, a variety she's worked on for two decades. The variety is a love child of the Honeycrisp and a more robust Enterprise apple, produc-

ing an eating experience that is reminiscent of its parent but slightly more tart and dense.

For farmers, the difference is drastic. The Cosmic Crisp is more resilient, stays fresh longer in storage and its U.S. production is limited to Washington state.

Washington growers bet big on the new variety, launching it with a massive



The Honeycrisp dominates the American apple market.

marketing campaign, deep retailer discounts and aggressive consumer outreach. In the past year, production of the Cosmic Crisp grew by nearly 800% and it cracked the top 10 bestselling varieties in the country.

Some farmers see the Cosmic Crisp as a newcomer poised to overthrow the Honeycrisp. Evans isn't so sure.

"There are very, very, very strong Honeycrisp fans," she said of consumers. "I don't think they'll ever waver from that."

Few produce items inspire the kind of cult following and fierce loyalties that surround apple varieties. When Thornton took to TikTok to complain about the trials of harvesting Honeycrisp after an especially grueling day this fall, the video got 1.8 million views and more than 4,000 comments.

"One commenter was like 'I like Honeycrisp...that makes sense why they're my favorite apple because I'm also a diva,'" she said.

PERSONAL JOURNAL.

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THE WALL STREET JOURNAL.

Thursday, October 16, 2025 | **A9**

By ANNA WILDE MATHEWS

Last year, seniors picking Medicare coverage faced some tough choices. This year might be even worse.

The enrollment period for 2026 Medicare coverage started Wednesday, and it is likely to be a difficult one for many enrollees. For the second year in a row, big Medicare insurers are getting rid of some plans, trimming popular benefits and increasing out-of-pocket costs such as deductibles.

The upshot: Seniors have to be careful, or they might end up with higher drug costs or the loss of a favorite doctor.

“This year is a nightmare,” said Marcia Mantell, a retirement-planning consultant. Medicare enrollees “have to know more than they ever have had to know...it’s all the hidden stuff,” she said.

Behind the turmoil are business realities. Medicare insurers have seen their profits squeezed by higher-than-expected medical spending and regulatory changes. Now, some of the biggest are trying to improve their margins by dumping unprofitable products and by controlling costs better.

The moves might make their products less appealing. The industry is projecting that enrollment in private Medicare plans, known as Medicare Advantage, will shrink in 2026. That would be the first time in 15 years, according to health researcher KFF.

“What many of the companies have talked about is really pricing for profitability rather than for growth,” said Lisa Gill, a senior analyst at J.P. Morgan.

Here’s what you need to know about navigating this year’s Medicare enrollment pitfalls.

Higher costs

To reduce their costs, Medicare insurers might be raising yours.

Medicare Advantage companies are increasing the maximum out-of-pocket cost in many of their plans. This figure is supposed to represent the total amount you could pay toward your care over the year, in the form of copayments and other charges. It is an important number to watch.

Wall Street analysts at Leerink Partners, analyzing a sampling of large 2026 plans, found that Medicare insurers including **Elevance Health**, UnitedHealthcare and **CVS Health**’s Aetna were raising their average out-of-pocket caps. But **Humana**’s is going down.

To figure out where the bite will come, you want to focus on the documents that describe each plan. For your current plan, you should have received an Annual Notice of Change, describing next year’s tweaks. For other products you are considering, you will want to dig into the Summary of Benefits and the more in-depth Evidence of Coverage.

Kathy Cowie, a social worker in Marshfield, Mass., found some unwelcome changes in the annual notice for her Medicare Advantage



Watch for Big Changes To Medicare Coverage

Enrollees likely will see fewer benefits and higher premiums

◀ **Kathy Cowie says she will likely change her coverage in 2026.**



plan. Though the maximum out-of-pocket won’t grow, the fee for the first five days of a hospital stay will increase to \$550 a day from \$395 this year. Also, in 2026 the plan will have a \$48 monthly premium, up from zero.

Cowie, 69 years old, who was diagnosed last year with an advanced form of cancer, said she might well have to spend time in a hospital, and she doesn’t want to risk a big charge. “This is an expensive plan for me now,” she said, and she is likely to change her coverage in 2026.

Loss of doctors

At least 1.2 million Medicare Advantage enrollees are likely to lose their current plans next year because the plans are being eliminated, said Healthpilot, a brokerage that offers Medicare plans.

Big Medicare insurers are paring back their preferred provider organization designs, known as PPOs, while bolstering their more-restrictive health maintenance organization plans, known as HMOs.

HMOs often don’t pay for care you get from doctors and hospitals outside their approved networks, which can

be limited. PPOs typically give patients more freedom.

If you are looking at an HMO, you should also check the plan documents for other constraints, such as requirements that you get a referral from your primary-care physician to see a specialist.

You should always check if the doctors and hospitals you like are included, because more hospitals are leaving Medicare Advantage networks. Sarah Murdoch, director of client services at the Medicare Rights Center, suggested reaching out directly to healthcare providers because insurer directories aren’t always up-to-date.

Matt Bommarito, 70, a business operations consultant in Kansas City, Mo., switched Medicare Advantage plans in 2024 and 2025, and now expects to do so in 2026, because the hospital system he prefers keeps dropping out of the insurers’ networks. “It’s frustrating to have to change every year,” he said. “That’s getting old.”

If unfettered access to healthcare providers is important to you, consider opting for traditional Medicare, which tends to include nearly every hospital and doctor. But if you do, you will likely need a special product called a Medicare supplement, or Medigap, and that can be expensive, or even impossible, to get.



◀ **Matt Bommarito says the hospital system he prefers keeps dropping out of his insurers’ networks.**

▶ **Dom Ruozzo, pictured with his wife, Kim, says his current plan is ending a \$50-a-month benefit for healthy groceries.**



If you don’t get a Medigap soon after you first age into Medicare at 65, you might be refused, or pay higher rates, based on your pre-existing health conditions.

Fewer drug plans

Many of the biggest changes this year are affecting Medicare drug coverage.

For the second year in a row, the number of stand-alone Medicare drug-benefit plans, known as Part D plans, is dropping sharply. The 2026 offerings will include 360, down from 464 currently and 709 in 2024, according to Avalere Health, a consulting firm.

Both the stand-alone plans and the drug benefits offered through Medicare Advantage are also hitting patients with higher charges.

Drug deductibles—the amount you pay up front before coverage kicks in—are mushrooming for many. Also, in a number of plans, medications that now come with a flat copayment will next year require “coinsurance,” a charge that represents a percentage of the medication’s total cost.

To protect yourself, be sure to run your medications through the Medicare.gov site when you are shopping for next year’s plan. The government’s tool can give you a sense of what you might pay for

those medicines under each plan.

When you do that, “Every option you have, try it out,” said Melinda Caughill, who co-owns a company that analyzes Medicare drug plans. She suggested that seniors check different forms of their drugs, such as the generics and original brand.

Reduced perks

During the past several years, Medicare insurers layered on perks designed to lure seniors—including money for fun extras such as pickleball paddles. Some of those are now being dialed back.

Analysts at TD Cowen looked at a sampling of plans, and found that UnitedHealthcare, Aetna and Elevance will be trimming some extra coverage that seniors can use for a variety of needs, sometimes including items such as healthy food and home repairs. Their rival Humana wasn’t doing so, on average.

Elevance, Aetna and Humana said they were updating their offerings and stressing their enrollees’ needs and wants in designing their plans. UnitedHealthcare, a unit of **UnitedHealth Group**, said it is “preserving access to affordable plans.”

Dom Ruozzo’s Medicare Advantage plan is axing the \$50 a month it now gives him for healthy groceries, and cutting the amount he can get for over-the-counter purchases. The free fitness tracker and gym program are also disappearing. “Losing the extra benefits is the biggest kick in the teeth,” said his wife, Kim Ruozzo. The couple, who live in Youngstown, Ohio, plan to shop for a new plan.

Broker incentives

Medicare insurers are also making hidden changes that might affect your Medicare shopping. The companies are cutting back on commissions that they pay insurance agents, generally for less-profitable plans that they don’t want to grow.

These changes don’t hit seniors directly, of course. But agents and brokers have no incentive to steer clients to plans that don’t pay.

Agents said that commissions for many stand-alone Part D plans have vanished. And they see a pattern of lower and fewer payments tied to many PPOs.

Seniors need to do their own homework to ensure they are seeing all the options, including those that don’t pay commissions. Start with the plan finder tool at Medicare.gov, which should list everything available in your area.

You can find unbiased Medicare advice from the State Health Insurance Assistance Program in every state. The nonprofit Medicare Rights Center maintains a national helpline.

Some Pitfalls to Avoid



Scan this QR code for five things to look at when deciding whether to switch Medicare plans.

Here Are Tips to Book Business-Class Flights

By DAWN GILBERTSON

The following items first appeared in Dawn Gilbertson’s weekly Travel newsletter.

If you’ve searched for a plane ticket online, your social media feeds are likely filled with images of cushy business-class seats.

I got to sample the luxe lie-flat life on two flights in August. I flew American Airlines’ new Flagship Suite from Philadelphia to London, and the all-business-class airline La Compagnie from Nice to Newark.

Along the way, I picked up a few tips I wanted to share if you’re considering a splurge:

▶ **Do your homework.** Not all business-class seats and service are created equal, even at the same airline. Zero in on what’s important to you. Private airport check-in? Sliding privacy door? Aisle access? Pajamas, mattress pad and someone who makes up your lie-flat bed?

▶ **Consider the flight length and departure time.** My one-way ticket on American was \$4,800. The flight departed after 10 p.m. and wasn’t long enough for me to enjoy all the perks and sleep. So I wouldn’t do it again with my own money. Now, a

Phoenix to London flight, perhaps. The La Compagnie flight was a day-time flight from Europe that lasted more than eight hours.

▶ **Hunt for points and miles deals.** If you’ve got a stash of credit-card or frequent-flier points, or are amassing them, business class is a great way to splurge without shell-

ing out a lot of cash. Several services, including Thrifty Traveler, point.me and Daily Drop Pro, will send you alerts to redemption (and airfare) deals.

A recent sample from Thrifty Traveler showed 69,000 points one way to fly from Atlanta or Detroit to Frankfurt in the airline’s new Boeing 787 business-class seats this winter. Even if you don’t live in one of the featured departure cities, you can book a cheap flight to get there.

▶ **Watch for upgrade offers.** Airlines often offer upgrades, in cash or points, to the front of the plane. Keep an eye on your inbox and air-

line app after you book a flight. The key, of course, is finding a price that’s palatable.

Delta keeps offering me upgrade options to Delta One for an October flight from Boston to Rome in economy. The current upgrade price for my one-way flight: \$4,050 or 405,000 miles. That’s not matthing for me. But I’ve heard from readers who have snagged some affordable last-minute upgrades.

▶ **Brace yourself for plane swaps.** American’s newest Flagship Suites are only available on a handful of planes right now, for example. Delta One seats are swank on some

planes and pretty basic on others. So before you plunk down a bunch of money (or points), ask yourself if you’d be disappointed if the lie-flat seat of your dreams and related perks weren’t on that flight due to a last-minute plane swap.

It happens more than you think (it’s in every contract of carriage) and can be an unpleasant surprise. One top-tier United flier told me he booked



◀ **American Airlines upgraded and expanded its business class with its new Flagship Suites, introduced in June.**

a Newark to LAX flight this month in Polaris because he wanted to sleep. He ended up on a Boeing 737 MAX in first class with a seat that only slightly reclined.

Small World

Cheers to reader Emily Heine for emailing me a hall-of-fame entry in the “what a small world” department. The subject line: La Compagnie: the inconsolable toddler was definitely mine! In my column on flying La Compagnie, I briefly mentioned an inconsolable toddler in the airport lounge. Heine included a photo of the 2-year-old girl. “You HAVE to let me know so we can joke about this for the remainder of her life: was the below toddler the inconsolable one in the lounge?” It was.

Travel Math: 5 million

This is the potential number of annual visitors to Royal Caribbean’s new private island in Mexico, Perfect Day Mexico. It will be bigger in size than Disney’s Magic Kingdom when it debuts in 2027, according to Melius Research.

And We Quote

“It doesn’t even feel like you’re in an airport. I just want to spend time there.”

—Singer, actress and entrepreneur Selena Gomez on her love of Dallas Fort Worth International Airport, the only airport where she likes to arrive early.

To subscribe to Dawn’s Friday newsletter, go to [wsj.com/newsletters](https://www.wsj.com/newsletters).

CLOCKWISE FROM TOP: ALEXANDRA CITRIN/SEQUENCE; KIM RUOZZO/WADE HARGER; KATHY COWIE

WILL FICQ FOR WSJ

By MIRIAM GOTTFRIED
AND ANNE TERGESEN

Wall Street’s biggest asset managers say they want to give everyday retirement savers access to investments such as private credit and private equity, which have long been the domain of elites. President Trump signed an executive order in August meant to speed up the process.

One problem: 401(k) investors aren’t exactly clamoring for these new opportunities.

Only 10% of investors say they are dissatisfied with their current 401(k) investment offerings and want more nontraditional options, according to a survey of U.S. adults conducted by Harris Poll on behalf of The Wall Street Journal.

Apart from cryptocurrency, Americans know very little about these alternative investment areas. Nearly 40% of respondents reported never having heard of private-credit funds, for example, and only 15% said they were highly familiar with them. In their most common form, such funds raise money to lend to privately held companies, holding the loans and passing on returns to investors.

Still, many Americans seem potentially persuadable. Some 59% of survey respondents had a general interest in investing in private companies, when told that they make up the majority of U.S. companies with annual revenue more than \$100 million. And nearly 90% said they would be comfortable allocating a portion of their retirement savings to private investments, with some 30% willing to dedicate 10% to 14% of their portfolio to them. The online survey of more than 2,000 people was conducted in August.

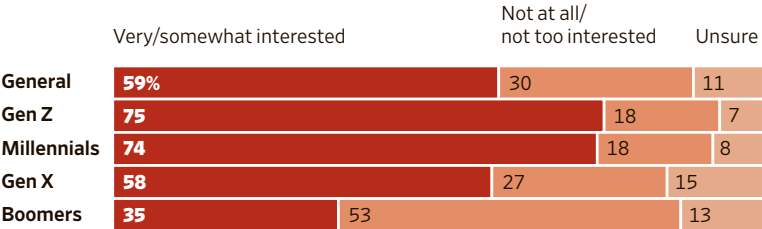
Taken together, the numbers make plain the task ahead for the bivy of Wall Street firms, including Apollo Global Management, BlackRock and Blue Owl Capital, that are angling to bring private assets to the \$13 trillion 401(k) market. Many private-markets firms have already generated interest in their products among wealthy individual investors who work with financial advisers.

Blackstone entered the 401(k) race on Wednesday, saying it is

401(k) Savers Find Wall Street Wants In

Asset managers are offering access to private-equity investments, but Americans aren’t exactly clamoring for these new opportunities

Younger Americans are more open to investing in private companies.



Note: Data may not total 100 due to rounding.
Source: Harris poll on behalf of The Wall Street Journal of 2,106 U.S. adults, conducted Aug. 7-9; margin of error: +/- 2.5 pct. pts.

launching a business unit devoted to tapping the market for so-called defined-contribution retirement plans.

But it will take a high-powered sales and education effort to persuade regular American investors to put part of their life’s earnings into private assets. Already, private-markets firms such as Apollo are taking out advertisements to boost their brands.

Susan Cortes, 24 years old, said that while she has never heard of private investments, she is open to learning about them someday. “I wouldn’t want to venture into something like that until I get more experience with the 401(k),” said Cortes, a New York City resident who plans to enroll in her company’s plan next month when she becomes eligible.

Managers of private assets say they want to democratize investing by letting regular savers invest in areas that pensions, endowments and other sophisticated investors have long had access to. With fewer publicly traded companies to invest in, putting money into private ones allows for better diversification, they say.

For some investors, the idea of being let into a restricted club is appealing, but there are real trade-

offs. Though most people don’t trade actively in their 401(k) stock and bondholdings, they can make changes if they want to. Private assets work differently: They have historically delivered strong returns over the long haul, but there are restrictions on when and how cash can be removed during that time. They also tend to charge higher fees than funds that invest in publicly traded securities.

Employers ultimately decide which investment products to offer their staff through 401(k) line-ups. Consultants and lawyers say most large employers are cur-

rently reluctant to adopt higher-fee products for fear of being sued by plan members for mismanagement. Some employers might warm to private investments if their workers ask for the option.

President Trump’s executive order directed the Labor Department and the Securities and Exchange Commission to issue regulations making it easier for employers to include nontraditional offerings in 401(k) plans.

Asset managers hope that will reassure employers interested in alternative investments yet concerned about lawsuits, although regulation cannot fully eliminate the risk of litigation.

The argument in favor of private investments resonates with Ryan Walker, 38, a father of three from Bayonne, N.J. “There is only so much I can contribute to my retirement account,” he said. “I want to make sure those retirement dollars are growing as much as they can.”

More than half of 401(k) inves-

tors take a hands-off approach to their retirement accounts, the survey showed. Nearly 20% of respondents with 401(k)s said they aren’t sure how their 401(k) money is invested. Another 48% use target-date funds, professionally managed portfolios that shift from a focus on stocks to bonds as investors age—requiring the investor to do little aside from make contributions.

The growing dominance of target-date funds in 401(k) plans, which serve as the default plan option at most companies, is why private-markets investment firms are pushing to get their products into them. This is happening through partnerships with asset managers that specialize in public-markets investing.

Logan Reed, 41, said he wouldn’t put money into private investments unless the fees fall significantly. The Chicago architect said keeping fees low is a reliable way to earn higher long-term 401(k) returns. While Reed is interested in the extra diversification private investments would offer, “it’s only worth it if you could get these investments at a reasonable price,” he said.

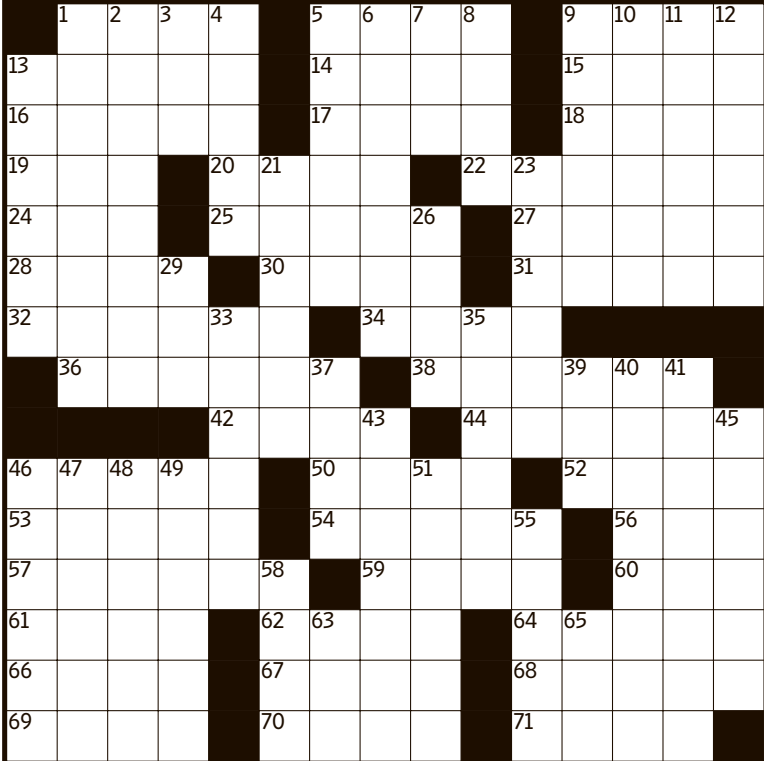
The father of two said he pays about 0.04% to 0.1% of the value of his investments for the index funds in his 401(k).

The average target-date mutual fund fee is about 0.28%, according to Morningstar Direct. Most investments that include private-markets exposure charge more. For example, a recently launched target-date fund from Great Gray Trust, which blends private investments from firms—including BlackRock—alongside stocks and bonds, charges an average of 0.38% of assets.

One of the most visible ways private-markets investment firms have responded to the challenge of selling their products to regular investors is via ramping up advertising. Large court-side ads for Blue Owl were visible at the 2025 U.S. Open tennis tournament in New York.

◆ Blackstone is bringing private assets to the 401(k) market.... B1

The WSJ Daily Crossword | Edited by Mike Shenk



- 13 Tennis star Alcaraz
- 21 Exchange for cash
- 23 Triumphant cry
- 26 A really long time
- 29 Second qtr. start
- 33 The Fountain of Youth, e.g.
- 35 Led the show
- 37 Challenge
- 39 Spreadsheet unit
- 40 Opening in the theater
- 41 Sextet in Clue
- 43 Do voice-overs
- 45 Emirati bigwig
- 46 Bar candidates?
- 47 Leah of “The King of Queens”
- 48 “No need to explain”
- 49 Some hotel workers
- 51 Carried on like the Capulets and Montagues
- 55 Collector’s items?
- 58 Ship bound for Colchis
- 63 Barrel material
- 65 “OMG, that’s a riot!”

LANGUAGE BARRIERS | By Morton J. Mendelson

- | | | | |
|-------------------------------------|---|---|---|
| Across | 28 Org. that developed out of the Bureau of Labor Standards | 56 Hazmat suits, e.g. | 3 Charge |
| 1 Free of coarse bits | | 57 Staunton of “The Crown” | 4 “Have a taste!” |
| 5 King Mongkut’s nation | 30 Hot rod contests | 59 Hardly refined | 5 Gullible sort |
| 9 Itinerary parts | 31 Political campaigns | 60 Mercurius et Mars, e.g. | 6 Suddenly |
| 13 Video game company worker | 32 Mainstay | 61 Informal evening | 7 It might result in a TD or int. |
| 14 Quaint preposition | 34 Pressure source, perhaps | 62 Barricade, or something present in five answers (including this one) | 8 Terrarium growth |
| 15 Over | 36 Practical knowledge | 64 Town square? | 9 One part of a temperature oscillation |
| 16 City strays | 38 Stings | 66 Mend, as bones | 10 “Yadda, yadda, yadda...” |
| 17 Hipsters | 42 U.S. agents | 67 Boarding area | 11 Senator in a mask |
| 18 Huskies’ org. | 44 Song component | 68 Canine, for one | 12 Black suit |
| 19 Sushi bar supply | 46 Be defensive in traffic, e.g. | 69 Doesn’t play | |
| 20 Rankles | 50 Hotel room amenity | 70 Signed off on | |
| 22 Cop’s badge | 52 Break-even situation | 71 Canons, perhaps | |
| 24 DMV document | | | |
| 25 “Boys Don’t Cry” subject Brandon | 53 Sister of Cordelia and Goneril | | |
| 27 Set free | 54 Caught in a tough spot | | |

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

Previous Puzzle’s Solution

DIRT WATT OCTAL
OREO OBOE BORNE
GAMEMEATS STALD
SNARE ETE ECTO
PRIMEMERIDIAN
RAD DADA
LOOP AGE OZAWA
EXTREMEMEASURES
BOSOM OLD REEK
SILO LAD
OHSUREBLAMEME
NOIR TAE NOVAS
THEFT MEMESTOCK
OUTER ARES OKAY
EMERY SSNS REDS

MY RIDE | BY A.J. BAIME

The Houstonian Who Named Her Ducati Sport Bike Valentino

Sara Dean Cole, an entrepreneur living in Houston, on her 2020 Ducati Panigale V4 S, as told to A.J. Baime



I have always loved speed, even as a kid, and when I was growing up, I had an uncle who was into bikes. He told me that Ducati made the best motorcycles in the world. So when I was little, I thought, I want to get a Ducati someday. So I did.

I have been riding motorcycles for 21 years and Ducatis for 20. I have had six Ducati sport bikes, but the Panigale is my favorite. It is also the bike I have ridden the most miles—20,500, which is a lot for a sport bike.

I named him Valentino, because Ducatis are made in Italy and it’s an Italian name, because of Valentino Rossi (the great MotoGP racer), and because of St. Valentine, which signifies love.

Ducatis are special for a lot of reasons. For one, these bikes are made with so much soul. Not only are they beautiful, but you can feel that they are built with a lot of passion. I love the feeling of getting on my Panigale and launching. You can imagine the exhilaration of merging onto a freeway. I find myself smiling from ear to ear under my helmet. I call it throttle therapy.

The bike’s 1103 cubic-centimeter V-4 engine makes 214 horsepower, and I have

an aftermarket racing exhaust system that ups that about another 10. When I first rode this bike, I thought, wow! It has more power than a lot of cars, and it only has two wheels. Another thing that makes Ducati so special is that, all over the world, there are Ducati clubs. When somebody buys a Ducati, they can join a club and instantly have this family of people that are passionate about riding these beautiful machines. I became president of the Houston Ducati Official Club in 2014, and I call it my “Moto Family.”

One of the things we do is consistently have track days, where we ride our

▼ The Panigale V4 S is Cole’s sixth Ducati sport bike.



▲ Cole has been riding motorcycles for 21 years, and Ducatis for 20 of them.

bikes on racetracks together. The first time I took my Panigale on a racetrack, it performed incredibly—smooth as butter and agile in corners. This is when I really fell in love with this bike. We became one. It is so fast, it feels like riding a rocket.

Another thing we do as a club is weekend trips. The roads around Houston are pretty flat, so we like to get out there. We have trailed our bikes recently to New Mexico and Arkansas. When we come together in beautiful places, it is like we are kids again, getting together to play. There’s this feeling of freedom. I can be riding toward a turn and see in front of me a bunch of riders all in a single-file line, motoring into the corner. It is a beautiful thing and makes my heart full.

Another thing we do is promote safety. We have a term called ATGATT, or All the Gear All the Time. We make sure we all have what we need to ride as safely as we can. We also help each other out if anything goes wrong—a flat tire or something.

Valentino and I have had lots of adventures together. And we will have many more.

ARTURO OLINOS FOR WSJ (2)



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ARTS IN REVIEW



The cast of ‘Bacchae’ at the National Theatre, directed by Indhu Rubasingham, the company’s new leader.

THEATER REVIEW | CHARLES ISHERWOOD

Setting the Classics Spinning

London stages serve up unconventional takes on Euripides, Shakespeare and Oscar Wilde

The National Theatre is among the cultural treasures of the U.K., so it is history-making that the institution is now headed by Indhu Rubasingham, the first woman and person of color in charge. The previous six leaders, beginning with the founder Laurence Olivier, all earned the right to put “Sir” in front of their names. This fall begins Ms. Rubasingham’s first season, which features 16 productions including such savory enticements as Paul Mescal performing in two plays in repertory, including “Death of a Salesman.” The less happy news is that things have gotten off to a slightly bumpy start.

Reviews for “Bacchae” (closing Nov. 1), a new version of Euripides’ play, directed by Ms. Rubasingham and the first production to open, have been tepid—and occasionally as savage as the titular women. Ms. Rubasingham deserves credit for beginning her tenure with a rarely staged Greek tragedy, in a bold adaptation by the “Heartstopper” actor Nima Taleghani, who put as much distance as possible between his version and the original, calling it a “new play” “after Euripides.” Nevertheless, one expects any version of this grimly sanguinary work to have more dramatic, er, bite than this flashy, scattershot production, with its slang-riddled verse, wearying profanity and welter of anachronistic references (Bachar-

ach? Feng shui? Usain Bolt?) adding distracting diversions to the elemental contours of the original. Clare Perkins, as Vida, the leader of the Bacchae, commands attention with her withering commentary denouncing the Theban king Pentheus (portrayed as written as a dunderhead by James McArdle) as a virulent oppressor of women. In this version, the Bacchae—the chorus—are individualized and do not speak in a single voice. Vida calls one a dentist, presumably a useful profession given the women’s dietary habits.

While the Bacchae have been moved to the foreground, the basic plot remains: The god Dionysos (the charismatic Ukweli Roach) comes to Thebes to wreak vengeance on his cousin Pentheus, enlisting the Bacchae to help—although it’s clear they are really in charge. The king’s mother, Agave (Sharon Small), joins the rebellion and will ultimately, as in the original, become so deranged that she makes her final entrance holding her murdered son’s head. But while the bloody rites of the original Euripides are at the heart of the tale, this version is so relentlessly digressive and irreverent that it plays more like parody than tragedy.

The National’s new “Hamlet” (closing Nov. 22) also takes an unusual approach. In many productions, Hamlet stalks the stage in a fog of misery, as if trailing a rain cloud above his head like a balloon on a string. Not here: The gifted young actor Hiran Abeysekera makes for a boundlessly vital and slyly funny Hamlet, whose warmth and searchlight eyes draw the audience into his emotional plight with the force of a high-powered magnet. (Mr. Abeysekera won an Olivier Award for “Life of Pi,” in which he also appeared on Broadway.)



The director, Robert Hastie (“Operation Mincemeat”), uses contemporary sets and costumes—although in madcap mode Hamlet sports a white ruff. Mr. Abeysekera speaks the verse at a daz-zlingly brisk clip but with natural clarity. True, the major soliloquies are not the tortured revelations of a soul in anguish but merely philosophical ruminations; it seems unlikely that this spirited man would opt for self-slaughter. But Mr. Abeysekera’s lively turn makes Hamlet’s death feel that much more piteous—a young man of limitless intellect and energies cut down before his life has properly begun. The production travels to the Brooklyn Academy of Music in the spring, as the first in what has been announced as an ongoing collaboration between the companies—welcome news.

The first two productions of

Ms. Rubasingham’s tenure are unconventional, but the West End transfer of the company’s “The Importance of Being Earnest” (closing Jan. 10, 2026), programmed by her predecessor, proves that slanted approaches to canonical works aren’t new to the National. The director Max Webster’s boisterous staging features a multiracial cast (all new to the production) despite being set in period—while simultaneously taking place in what might be called Camp Overkill.

Oscar Wilde’s scintillating comedy here is a gay romp, with Olly Alexander’s Algernon and Nathan Stewart-Jarrett’s Jack exuding an epicene flippancy that makes their determined courting of Cecily (Jessica Whitehurst) and Gwendolen (Kitty Hawthorne) seem like a winking in-joke. There are undercurrents of eroticism to the primly

antagonistic tea-table encounter between the young women, too. Adding to the sense of showering Wilde’s comedy in a hail of sequined queerness is the casting of Stephen Fry as the imperious Lady Bracknell. In truth, having a man portray Lady B. as a drag gorgon is hardly daring—I have seen more men than women in the part. But Mr. Fry, resplendent in an emerald gown with jet beading, is so marvelously adept at delivering the character’s disdainful barbs that he brings a glittery sheen to the staging that encourages one to overlook its laborious raillery.

In a week of theatergoing heavy on revivals—I’ll pass over Simon Stone’s listless contemporary update “after” (that word again!) Ibsen’s “The Lady From the Sea”—the most purely enjoyable show I saw was the musical “The Curious Case of Benjamin Button,” which just ended its yearlong West End run. F. Scott Fitzgerald’s short story has been effectively transposed by Jethro Compton (book, lyrics and direction) and Darren Clark (music and lyrics) to a fishing village in Cornwall.

John Dagleish rendered the title character—who ages backward—with moving sensitivity. Born an old man (never mind the mechanics; this is a fable about navigating experience at any stage), Benjamin must forge a life as a human oddity, even as he searches for the satisfactions all men and women hope for.

The musical is rewardingly small-scaled, an oddity itself in the West End, glutted with splashy Broadway imports. There is just one set, and the cast of 13 plays dozens of roles, and provides the all-acoustic music, too. The score leans heavily into the seafaring life Benjamin embarks upon, with sea chanteys arriving with the frequency of waves lapping the shore, but it is richly melodic, and in pleasing contrast to the blaring brassiness of many new musicals. Everything about the production embraced simplicity and sincerity, and the result was an ultimately sad and strange tale that nevertheless brimmed with unforced warmth.

Mr. Isherwood is the Journal’s theater critic.

Hiran Abeysekera in ‘Hamlet,’ above right; the cast of ‘The Importance of Being Earnest,’ below; John Dagleish in ‘The Curious Case of Benjamin Button,’ below right.



SPORTS

By Andrew Beaton

The Curse of the Draft’s No. 1 QB

Quarterbacks taken with the top overall pick are supposed to fire up their new team’s fans. But the guy who usually winds up getting fired is the head coach who just picked them.

There was no hiding Tennessee Titans coach Brian Callahan’s excitement when his team selected quarterback Cam Ward with the No. 1 overall pick in the NFL Draft.

Callahan raved about everything from Ward’s physical tools to his mental makeup as he outlined why the former University of Miami passer was exactly the player to turn around the struggling franchise.

“Cam is a player that we weren’t going to let go anywhere else,” Callahan said. “When you have an opportunity to add a caliber of quarterback like Cam, those things are priceless.”

What Callahan should have known is that the price would actually turn out to be his own job. Once Tennessee drafted Ward at No. 1, he was following a well-worn path to getting himself fired.

Callahan this week became the first NFL head coach to be fired this season, joining a growing list of coaches who instantly lose their job security the moment they bring in a new signal-caller at the top of the draft. Six of the last eight quarterbacks picked No. 1, including each of the last four, have seen their coaches fired during their rookie seasons.

The trend is the product of a variety of forces that turn the NFL’s worst teams into pressure cookers. In some cases, the mere presence of the draft’s most prized quarterback supercharges expectations for a rapid turnaround. In other instances, a coach who struggled so badly that his team landed the top pick likely wasn’t up to the job over the long haul. In many of these situations, even the most gifted passers aren’t instant cure-alls for broken franchises.

With Callahan, it may have been a case of all of the above. The Titans went 3-14 last season, his first year on the job. And when



That’s what happened with the Carolina Panthers in 2023, when Frank Reich was sent packing after just 11 games with rookie Bryce Young. One year before that, Urban Meyer’s brief stint with the Jacksonville Jaguars was such an unmitigated mess that he was fired in his first year with Trevor Lawrence.

These situations underline how rare it is for a rookie quarterback to quickly turn around a team that typically had the worst record in the league the previous season. Only one quarterback drafted first overall has gone on to start in the playoffs as a rookie in the modern era—Andrew Luck with the Colts in 2012.

Given how much a franchise’s future is staked to the success of these young passers,

teams have generally followed the same blueprint after the firings. In all five recent instances with a quarterback taken No. 1 overall, the team went on to hire a coach with an offensive background. Last January, for instance, the Bears plucked the mastermind of the Detroit Lions high-octane offense, Ben Johnson.

It’s no secret what these teams are looking for: a turnaround of epic proportions. And one team has proven it’s possible.

The Rams had the NFL’s worst offense after drafting Jared Goff at No. 1 in 2016 and coach Jeff Fisher was fired. After the season, they turned the team over to a young offensive whiz named Sean McVay.

Suddenly, under McVay’s tutelage, Goff began to look like the top overall selection—and the Rams’ offense went worst to first in one year.



Top: Brian Callahan was fired after a 1-5 start with Cam Ward. Left: Matt Eberflus was dismissed by the Bears last season.

this is about right now,” Tennessee president of football operations Chad Brinker said. “We’re not seeing enough growth.”

In fact, the Titans were witnessing significant regression. After having one of the NFL’s worst offenses last year, Tennessee ranks dead last in yards per

game through six weeks. And Ward’s performance has been a major reason why.

While Ward has shown glimpses of the playmaking skills that made him an All-American at

Miami, those flashes have been overwhelmed by the negatives. He has completed just 55% of his passes and thrown more interceptions (four) than touchdowns (three). He also has taken a league-leading 25 sacks.

It’s a phenomenon that Matt Eberflus knows only too well. After the Chicago Bears selected Caleb Williams atop the 2024 draft, the quarterback-starved franchise was supposed to have finally hit on an answer at the game’s most important position. Instead, Williams was the NFL’s most-sacked quarterback and Eberflus became the first coach in team history to be sacked mid-season.

Eberflus, at least, lasted a few years on the job before getting canned. Sometimes the coach-quarterback pairing is so painfully disastrous that the team takes the extraordinary measure of making a change before the first season is up.

Roki Sasaki Has Transformed Into a Postseason Monster

By Jared Diamond

EVERY TEAM IN BASEBALL wanted Roki Sasaki last winter. But the way his first year in America went, it wasn’t always easy to see why.

For most of the season, Sasaki failed to live up to the enormous hype that followed him across the Pacific. His fastball, heralded in Japan for frequently reaching triple-digits, hung around a far more pedestrian 96 mph in his initial outings with the Los Angeles Dodgers. His command was erratic. It often looked as if he wanted to be anywhere other than a major-league mound.

Then, following a shoulder injury, he vanished from public view for more than four months.

The only city that the pitcher dubbed the “Monster of the Reiwa Era” was terrorizing was his own.

Which is precisely what has made his postseason so shocking. With the Dodgers’ bullpen in shambles, Sasaki has emerged as a dominant force in October—not as a starter, but as an unexpected closer for a squad that desperately needed one. He has thrown six innings, allowing just one run on two hits while converting two critical save chances.

Practically overnight, the 23-year-old Sasaki has transformed from a fading phenom into the burgeoning ace the Dodgers envisioned when they signed him in January. And considering just how dismally their other relievers have performed, his resurrection might be the biggest reason the Dodgers are two wins away from returning to the World Series.

“Since coming back, coming in from the bullpen,” Dodgers starter Tyler Glasnow said, “he’s honestly one of the best pitchers I’ve ever seen.”

That someone would ut-



Roki Sasaki has emerged as a dominant force in October.

ter those words about Sasaki is practically unimaginable given that barely a month ago, he was on rehab assignment with Triple-A Oklahoma City—and it wasn’t going well.

Sasaki wasn’t hurt anymore. He just couldn’t get anybody out. His average heater had dipped to around 94 mph. Minor-leaguers were treating him like batting practice.

The situation was so bad that in early September, Dodgers manager Dave Roberts expressed surprise and disappointment in Sasaki’s progress. “We just want to see more,” he said then.

At that moment, Sasaki had been all but written off as a potential contributor this postseason.

After one disappointing showing for Oklahoma City on Sept. 2, Sasaki traveled to the Dodgers’ facility in Arizona to continue training. There, he met with Dodgers director of pitching Rob Hill. That conversation changed his season.

Hill subjected Sasaki to what he calls a “deposition.” It’s a sprawling question-and-answer session designed to push pitchers to gain a better understanding of themselves. Hill asks them about pitching, about their childhoods, about life in general. The goal, Hill says, “is helping a guy get to where he wants.”

“We found a window where he was super receptive and just wanted to see if we could fix this whole situation,” he continued. “We were able to sit down and hash some things out.”

Sasaki already realized something was wrong. Shoulder and oblique injuries in his final seasons in Japan had sapped his velocity. When he was deciding which MLB organization to join, he asked suitors to outline how they would help him regain his fastball.

By the time he met with Hill, Sasaki trusted the Dodgers enough to listen.

What they discovered was that Sasaki’s mechanics had subtly evolved to compensate for the pain he’d been feeling. “His body,” Hill says, “found a way to not produce as much power as a means of not injuring itself further.”

After working his way back to the majors in late September, team executives asked Sasaki if he was willing to pitch out of the bullpen in the postseason. He agreed.

On the night the Dodgers beat the Philadelphia Phillies to advance to the National League Championship Series, Sasaki threw three hitless innings. Roberts described it quite simply: “One of the great all-time appearances out of the pen that I can remember.”

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OPINION

Democracy, Thy Name Is Trump



UNRULY REPUBLIC
By Barton Swaim

You could make a reasonable case that the Democrats’ present woes stem from the misuse of a single word. Their manic, unthinking resistance to everything President Trump says or does has its origins in their failure to know what they mean by “democracy.”

In the fall of 2015, Democrats and the media settled on the claim that Mr. Trump’s unlikely candidacy was an “attack on democracy” or a “threat to democracy.” The phrases fizzled after he won with a plurality of the popular vote in 2024, but Mr. Trump’s bitterest enemies have never managed to doubt the postulate that he menaces the American form of government.

They might have spared themselves a decade of angst, or at least found a better way to oppose him, if they had recalled that America’s founders disliked democracy. The word, to most of them, suggested mob rule and demagoguery. A republic too given to democracy, they thought, would allow big personalities to leverage the public’s irascibility against established order. James Madison memorably concluded, in *Federalist* No. 10, that democracies “have ever been spectacles of turbulence and contention.”

The American polity long ago decided to take that worry less seriously than the

founders did. Popular elections, not machine bosses and legislatures, choose party nominees and U.S. senators. Progressives of an earlier era gave us these and other democratic reforms. When their political descendants, today’s liberals and progressives, gnash their teeth over Mr. Trump, they unknowingly concede that the founders had a point.

A decade after his entry into politics, Mr. Trump’s enemies still make no attempt to distinguish between his own popularity, or lack of it, and that of the objectives to which he applies his energy. Most Americans—the number hovers around 55%—disapprove of Mr. Trump and don’t like the way he goes about things. It doesn’t follow that majorities think he’s wrong about most things. The opposite is nearer the truth: On nearly all his big-ticket items, the president’s attitude fully accords with that of the public.

Mr. Trump’s war on elite universities has occasioned cogent criticisms, some made by this newspaper’s editorial board. But ignore Mr. Trump and his tactics and ask yourself how many Americans think the country’s fanciest schools are an unmitigated blessing and don’t deserve some rough treatment for turning generations of young minds into oatmeal.

The “compact” his administration wants universities to sign would get an eager thumbs-up from, I would guess, 90% of the public. This document, if agreed to, would

obligate universities to forswear consideration of race and sex in admissions, cap the number of foreign students they accept, freeze tuition for five years, use standardized test scores in admissions and foster viewpoint diversity. Problems may lurk in the details, but the aims are controversial only to people who need to get out more.

This president is the embodiment of rule by the people—in ways good and ill.

That ICE, or Immigration and Customs Enforcement, pushes the bounds of legality in its no-knock roundups is pretty obvious. But Democrats align themselves with a tiny minority when their denunciations of Mr. Trump make them sound as if they think illegal aliens have the right to live and work in the U.S. as long as they don’t kill people.

It is a safe conjecture that if the Democrats take the House in 2026, they will impeach Mr. Trump. What for? A common guess: his command, on at least five occasions so far, to pulverize boats deemed by intelligence officials to be ferrying narcotics into the U.S. The policy may, in the end, invite successful legal challenge. Before drawing up articles of impeachment, Democrats may wish to ask a few average Americans what they think.

Democrats are sometimes right to fulminate against the president for his decisions: strong-arming private companies, telling pregnant women not to take Tylenol, slapping a \$100,000 fee on H-1B applications. But many of Mr. Trump’s preoccupations aren’t of this sort.

I sometimes wonder if the president’s turbulence in pursuit of his aims is meant to tempt his adversaries into denouncing both the turbulence and the aims and thus sound ridiculous. His often badly expressed belief that American cities tolerate too much crime has, on an educated guess, 80% of the public behind it. But many of his enemies seem to think they must choose between quelling violence with troops and denying the existence of urban crime.

If Democrats want to stop making themselves abhorrent to the public, they will have to think the unthinkable—that Mr. Trump is a democratic expression of the American character. Not the only or the finest expression, but an authentic one. He decreed an overhaul of the Smithsonian Institution because he knows what the electorate knows: that America is basically good. Even his “weaponization” of the Justice Department, to use a word the press forgot during Joe Biden’s presidency, has a rough democratic rationale: Do unto others what was done to you, and call it even.

Mr. Trump doesn’t threaten democracy. For good and ill, he is a consequence of it.

BOOKSHELF | By Tunku Varadarajan

Idi Amin
Reconsidered

Slow Poison

By Mahmood Mamdani
Belknap, 352 pages, \$32.50

Mahmood Mamdani has written a startling book. Startling, not because of the writing—which is often repetitive, tediously autobiographical and awash with anticolonial pieties—but because “*Slow Poison*” is an apologia for Uganda’s Idi Amin, a bloodthirsty tyrant like few others in modern history.

From 1971, when he declared himself president after overthrowing President Milton Obote, to 1979, when he himself was overthrown, Amin (1928-2003) ruled Uganda with the support, at various times, of Libya’s Moammar Gadhafi and even Israel—which had been so desperate for allies that it held its nose and courted the Ugandan strongman. His regime was characterized by rampant corruption and vicious human-rights abuses; it’s been estimated that some half-million people were killed during his rule. Many called him the Butcher of Uganda.

But never mind all that. “I ask the reader,” Mr. Mamdani writes, “to shed certain media-driven preconceptions before reading this book.” The first “is that Amin was a Hitlerite presence in Africa.” Not true, Mr. Mamdani insists. Amin’s “Hitlerite proclamations” and his use of “public buffoonery as political performance”—declaring himself King of Scotland, for instance, and Conqueror of the British Empire in Africa in General and Uganda in Particular—were a populist strategy designed to erase all vestiges of colonial rule from Uganda. Amin’s atrocities were palatable, we are asked to believe, being in the service of a fledgling postcolonial nation.

The second preconception Mr. Mamdani warns us against is that Yoweri Museveni—Uganda’s president for the past 39 intolerant years, with many more likely if he has his way—has been his country’s savior. But this is an absurd straw man. No one really believes Mr. Museveni is a Good Guy, however much he may have opened up Uganda to gasp!—“international capital,” a worse sin, in Mr. Mamdani’s eyes, than any of the massacres Amin committed. A worse sin, even, than Amin’s expulsion in 1972 of every last Ugandan Asian, an act that was wildly popular with black Ugandans but which beggared Uganda almost overnight. Every Asian-owned factory, farm and business was handed over to cronies of Amin. Asians were the ones who had been running the Ugandan economy; Amin’s freeloaders (known in Swahili as *mafuta mingi*, “those dripping with much fat”) capsized it. Among the many examples of mismanagement: Uganda ran out of milk after all its dairy cows were slaughtered for beef.

Mr. Mamdani, a professor of government and anthropology at Columbia University, is himself a Ugandan Asian, the term used to describe people from British India who had settled in the British protectorate of Uganda. He’s a man of the Marxist Third World left who came of age when Africa went through its messy, often violent, years of decolonization. He is also the father of Zohran Mamdani, the Democratic candidate for mayor of New York.

In “Good Muslim, Bad Muslim,” a book published three years after the 9/11 attacks, the elder Mamdani wrote that “we need to recognize the suicide bomber, first and foremost, as a category of soldier,” adding that suicide bombing mustn’t be “stigmatized as a mark of barbarism.” Later, in “Neither Settler nor Native” (2020), he described Israel as a state where “the expunging of non-Jews has taken the form of ethnic cleansing, dispossession, segregation, fragmentation, apartheid, and denial of identity.” (The younger Mamdani isn’t fond of Israel either.)

The author’s anti-imperialist energies have scarcely dimmed since the days when, as a professor in Kampala in 1981, he helped to found the Uganda-Korea Friendship Society. In case you’re wondering which Korea, this “friendship” took Mr. Mamdani to Pyongyang. In “*Slow Poison*” he quotes un-self-consciously from a report he co-authored after a visit there: “What struck us from the beginning was the immense mobilization of the population.

The father of New York mayoral candidate Zohran Mamdani says the notorious Ugandan dictator was really an anticolonial hero.

School children going to or coming from school march in orderly groups singing songs.” At the demilitarized zone between North and South Korea he was asked by his North Korean escort if he wanted to shout “Yankee go home!” Mr. Mamdani replied: “No, I will shout that in Kampala, my home.”

His anti-Americanism and hostility to the free-market West shape Mr. Mamdani’s evaluations of Amin and Mr. Museveni. Amin, the author tells us, “may rightly be considered the father of the Ugandan nation,” a “black nation.” His expulsion of Uganda’s Asians—a people “captive to a self-aggrandizing business elite”—helped consolidate Amin’s ethno-national project. It was a way, also, to stick it to the British government, which found itself cornered into taking in 80,000 Asian refugees at a time when racial tension was growing in Britain.

For Amin, Mr. Mamdani writes, “the challenge of independence was to make Black rule meaningful by nurturing Black millionaires in place of wealthy Asians.” Mr. Museveni “dis-mantled the nation Amin had built” when he “capitulated to the financial discipline demanded” by the International Monetary Fund and the West. In Mr. Mamdani’s eyes, the comparison between the two men boils down to a question of patriotic fiber: He lauds Amin for turning his back on the West when the president realized he was expected to be “a grateful stooge.” Mr. Museveni does the opposite. “Flummoxed by the lack of resources”—in other words, aware that a penniless Uganda needed to reform or collapse—he “comfortably settled” into the role of Western lackey. Amin’s impoverishment of his nation was noble because it was anticolonial; Mr. Museveni’s attempt to restructure the Ugandan economy was craven because he prostrated himself before Western capital.

There’s only one paragraph about the younger Mamdani in the entire book. The author writes of a sabbatical from Columbia in 2004, spent in Kampala. His wife and Zohran, then only 12, joined him. The boy was yanked out of school in New York and taken to Africa. What fun, you might think, how thrilling for a young lad! And then Mr. Mamdani tells us that, in Kampala, “Zohran settled down with the study of issues such as “zero grazing,” a type of farming in which cattle are fed with cut grass.

As your heart sinks for the 12-year-old, you may also feel you understand Zohran better. It can’t be that easy, can it, to be the son of someone like that?

Mr. Varadarajan, a Journal contributor, is a fellow at the American Enterprise Institute and at NYU Law School’s Classical Liberal Institute.

A Big Win for Trump—but Voters Are Fickle

By Karl Rove

The past week has been historic, and a great personal triumph for President Trump.

He had help, starting with the enemies of Israel and America. The Iranians thought their nuclear facilities impregnable. They weren’t. Hezbollah believed it controlled Lebanon and that its thousands of rockets could obliterate Israel. That was wrong. Hamas believed the Oct. 7 attack would lead to Israel’s destruction. Instead the Jewish State unleashed a ferocious, unrelenting response.

Israel decapitated Hamas and depleted its ranks, smashed Hezbollah’s hold over Lebanon, and alongside the U.S. severely damaged or destroyed Iran’s nuclear labs.

As the Israeli military secured victories, Mr. Trump stepped into the diplomatic fray. He sent a New York real-estate pal, Steve Witkoff, to open negotiations while Secretary of State Marco Rubio patiently worked behind the scenes.

The president’s son-in-law Jared Kushner helped move the deal to conclusion while Mr. Trump cajoled, twisted arms and, when necessary, sweet-talked friends and foes alike. This week war-weary Israel welcomed home the remaining hostages. Its enemies have been demolished. The pulverization of Gaza has ceased. And world leaders

now hail a man many of them dislike.

At home, the peace agreement will have some practical political benefit. It will likely bring a modest improvement in the president’s popularity, which sat at 45% approval and 52.2% disapproval in the RealClearPolitics average the day before the deal. In coming weeks, polls will also probably show Mideast peace is the second major issue—deporting

He has secured a place in history, but the midterm elections are another matter.

violent criminal aliens being the other—on which Mr. Trump enjoys the support of almost all Republicans, a majority of independents and a small but consequential number of Democrats.

The president’s speech to the Israeli Knesset was a powerful moment. It would have been better without shots at Hillary Clinton and Presidents Obama and Biden. When the world was ready to see Mr. Trump as big and strong, he struck some petty, small notes.

The president’s triumph is likely to make more of an impact on history than at next year’s ballot box. His peace-making predecessors found that voters cared more about domestic controversies and

the economy than presidential success on the global stage. President Dwight Eisenhower ended hostilities in Korea with an armistice six months into office. In the following year’s midterms, the GOP lost both chambers and eight governor’s offices. President George H.W. Bush oversaw the short and stunningly successful 1991 Gulf War. In the 1992 election, Bush still lost decisively to Bill Clinton.

Voters are fickle. They’ll happily pocket peace deals abroad and move on. The economy almost always re-emerges as the No. 1 issue. And calls for change invariably fare better in midterms than do promises of more of the same.

Though it will take time to show up in the polls, the government shutdown is also likely to limit any bounce the president gets from the historic agreement. Voters were already sour before the government closed.

It’s also vital to remember that only three of the 20 points in Mr. Trump’s peace plan have been fulfilled: The shooting has ended, Israeli hostages have been returned, and Israel has freed nearly 2,000 prisoners.

Those steps are enormously important, but there are still 17 items on the checklist. They’re harder. They include making Gaza a “deradicalized terror-free zone that does not pose a threat”; Hamas’s agreeing “to not have any role” in

Gaza’s governance, even indirectly; and a “process of demilitarization.” Rebuilding Gaza under a transitional government. A new “International Stabilization Force” to provide “long-term security.” A “special economic zone” and foreign investment to “create jobs, opportunity and hope.” There would be “interfaith dialogue.” Only if the “reform program is faithfully carried out,” will there be a path to “Palestinian self-determination and statehood.”

These are tall orders. Their achievement will require the sustained, intense involvement of the president himself and Messrs. Rubio, Witkoff and Kushner if there’s any hope of achieving Mr. Trump’s full plan.

As they undertake that hard work, there should be less hype and more caution. The West Wing should lower expectations. Remind the world, especially American voters, that what’s been achieved, as spectacular as it is, is only the start of a long and rocky process.

Everyone around the globe can marvel at what’s been achieved, but Team Trump must now make certain it hangs together. Blessed are the peacemakers.

Mr. Rove was senior adviser and deputy chief of staff for President George W. Bush and is author of “The Triumph of William McKinley” (Simon & Schuster, 2015).

Al Qaeda Rises Amid Conflict in South Asia

By Melissa Skorka

South Asia is a powder keg. Afghanistan’s Defense Ministry last week accused Pakistan—once the patron of the Taliban, who now rule Afghanistan—of launching cross-border airstrikes and “breaching the skies” of Kabul. Islamabad contends the relationship broke down because of the threat to Pakistan from terrorists operating out of Afghanistan. A Pakistani security official told Reuters that Islamabad had targeted the Pakistani Taliban’s leader in its strikes. The same day as the airstrikes, India announced it would re-establish its embassy in Kabul—New Delhi’s boldest engagement with the Taliban government in four years.

Since then, Afghan and Pakistani forces have exchanged heavy fire across the frontier in one of their sharpest clashes in years. And nuclear-armed India and Pakistan are edging toward conflict.

The situation is combustible, and the blast could reach the U.S. This year, the Afghan Taliban has been quietly lifting restrictions on foreign and regional militants operating on Afghan soil. It’s particularly disturbing that Afghanistan’s permissive turn “coincides with mounting indications that al Qaeda’s ambitions for exter-

Why America should care about an Afghan-Pakistani skirmish.

nal operations are once again on the rise,” says Colin Smith, the United Nations Coordinator of the Analytical Support and Sanctions Monitoring Team.

A recent Pakistani Taliban offshoot—Ittehad ul-Mujahideen, or IMP—could buoy al Qaeda’s rise. The new group’s constituent factions from the Pakistani Taliban have historically had strong affiliations

with al Qaeda, and IMP has successfully moved into a power vacuum in Afghanistan left by the Islamic State Khorasan Province. IMP’s aim is evident: Hit Pakistan’s security architecture while preparing to export violence into Indian-administered Kashmir.

IMP’s rise could create internecine violence or, worse, deeper coordination between jihadist networks. Either way, Pakistan’s overstretched forces face a revitalized insurgency that could extend into India and beyond.

IMP isn’t a parochial faction. It’s part of a broader terrorist recalibration across South and Central Asia. The growing Afghan-Pakistani terrorist hub threatens trade routes through the Persian Gulf, complicates counterterrorism coordination with regional powers, and could dangerously strengthen connections between South Asian and Middle Eastern terrorists, particularly in Syria.

Washington can’t afford

complacency. To today’s border clashes from turning into war, the U.S. should appoint a dedicated envoy for South Asia security—empowered to coordinate intelligence, engage reluctant partners, and press Pakistan, India and the Gulf states to act. The U.S. wouldn’t require a costly anti-insurgency U.S. military effort, just focused attention from our leaders. And pulling it off would demonstrate American resolve to combat terrorism, reassure allies, and deny militants strategic hesitation that they can further leverage.

If President Trump decisively defuses India-Pakistan tensions, he could avert a regional disaster and show a measure of statesmanship that eluded his predecessors.

Ms. Skorka served as a strategic adviser to the commander of the International Security Assistance Force in Afghanistan (2011-14) and to the Office of the Secretary of Defense (2024-25).

OPINION

REVIEW & OUTLOOK

Trump’s Gaza Lessons for Ukraine

President Trump began his second term with the challenge of restoring U.S. deterrence against adversaries in the Middle East, Russia and China. Mission accomplished against Iran and its proxies.

Next up: getting Vladimir Putin to the negotiating table in Ukraine.

“We have to get Russia done,” President Trump told Israel’s Knesset on Monday. “We got to get that one done. If you don’t mind, Steve,” he told his envoy Steve Witkoff, “let’s focus on Russia first, all right? We’ll get it done.” Ukraine’s Volodymyr Zelensky visits the White House Friday, and the question is whether the President will apply his Middle East formula to Ukraine.

Mr. Trump backed Israel’s Benjamin Netanyahu to the hilt. He made Hamas understand that failing to negotiate would weaken its position. Mr. Trump didn’t indulge false moral equivalence about the war’s causes. He understood that success on the battlefield is a prerequisite to lasting peace.

In other words, the President exerted maximum pressure on adversaries—and it worked. The mystery is why he has for so long refused to show the same strength toward Mr. Putin. The President’s strategy of unilateral concessions—listening sympathetically to the Russian dictator’s catalogue of imperialist grievances—hasn’t worked.

The two wars are different, but some central truths apply to both. The U.S. will be weaker and more ensnared in regional problems if its ally loses the fight. The consequences of a U.S. capitulation would spread to other parts of the world, including to the detriment of whatever bargain Mr. Trump is pursuing with Chinese President Xi Jinping. The U.S. will invite more conflict if it hoards its artillery or cruise missiles for another day.

Mr. Trump has been considering long-range weapons for Ukraine. “I might say” to Mr. Putin, he said, “Look, if this war is not gonna get settled I may send them Tomahawks.” These cruise missiles would be valuable for striking targets

deep inside Russia and showing Mr. Putin that he won’t have a homeland sanctuary. They’d also be a signal to Europe that it can also supply long-range missiles to Ukraine.

Mr. Trump may worry about angering elements of his domestic coalition. This crowd, some of whom occupy positions in the White House and Pentagon, claims Ukraine is losing the war. It isn’t. Kyiv is holding the line despite the combined arms and support of Russia, China and Iran.

Joe Biden never provided Ukraine with the arms it needed when it might have pushed Russia back from its current battle lines. Take the example of providing F-16 fighters. The Biden Administration early in the war appeared panicked about Poland donating even some old MiG jets to Ukraine and then waited more than a year to train Ukrainian pilots on the F-16.

Various podcast hosts and Pentagon isolationists told Mr. Trump that striking Iran’s nuclear sites would lead to World War III and mass American casualties. Now they’re saying the same about providing long-range weapons to Ukraine. Yet the bigger risk of war is from inaction. Mr. Putin is testing NATO’s resolve with drones and jet incursions, and he will continue to escalate if he pays no price. Sometimes Tomahawks are a force for peace.

Mr. Trump understands this instinctively, as he showed in the Middle East. He also knows what the next steps should be in Ukraine applying those principles. Help Europe seize Russia’s frozen assets. Impose secondary sanctions on Chinese oil purchases. Give Ukraine weapons, intelligence, and a strategy for recovering more land—every kilometer gained back is leverage at a negotiating table.

Such is life for the Commander in Chief that Mr. Trump won’t have long to bask in his Israel achievement. But having restored U.S. deterrence to forge a peace deal in one arena, he now has a chance to do it in Europe. The Nobel committee, and the rest of the free world, will be tuned in.

Putin won’t negotiate until he pays a higher price for waging war.

Glass Lewis says it will end its ‘advice’ on shareholder votes.

Every so often events go right. So it is this week as the proxy advisory firm Glass Lewis said it will stop providing cookie-cutter recommendations to institutions on how to vote their shares in corporations. This is a victory for market competition and better corporate governance.

Glass Lewis said disagreements between U.S. and European investors on sustainability matters are “challenging the traditional model of proxy voting organizations that rely on a single house view.” What it means is that U.S. investors were tired of Glass Lewis’s bullying leftward tilt in its proxy recommendations. Going forward, the firm said it plans to let its customers decide.

We’ve been fighting this one for a long time. Glass Lewis and Institutional Shareholder Services (ISS) have been running a proxy advisory duopoly that serves the left’s political and cultural agenda. The two firms make up more than 90% of the proxy advisory market. Pension funds, foundations and mutual funds often outsource their proxy voting to these firms.

The duopoly’s recommendations can sway votes on executive “say-for-pay,” climate and diversity, equity and inclusion resolutions, and more. If companies don’t follow their guidelines on what is supposedly “good” corporate governance—however they define it—the firms may recommend shareholders vote against directors. Do as they say—or else.

JPMorgan Chase CEO Jamie Dimon this

spring unloaded on the duopoly. “They are owned by the NGOs”—i.e., non-governmental organizations, he said. Their data is “wrong,” yet “they don’t have to correct them.” And companies “can hire them” to improve their corporate governance ratings. “Really? They should be gone and dead, done with.” He was right on every point.

Many institutional investors appear to feel the same way and have pushed the duopoly to offer customized voting that aligns with their own preferences. Vanguard and BlackRock have announced plans to let their own customers do so. Glass Lewis is now responding to the market competition and political pressure from Republicans, though it has denied the latter.

“It’s clear that clients in the U.S. are moving. If that’s because the politics of the space is changing, so be it,” Glass Lewis CEO Bob Mann told the Responsible Investor news-site. “We need to be able to pivot to meet their needs.” He added that the proxy advisers are moving from a place where they “have led the market and have been a standard setter in a lot of ways” to one where their job is to “empower our clients.” That is called spinning a virtue out of a necessity.

Mr. Mann is all but conceding that Glass Lewis has been pushing an agenda that wasn’t shared by its clients. The firm’s influence over voting will diminish at last. Let’s hope ISS is next up for retreat.

Great News: a Proxy Adviser Retreats

Who’s Afraid of American LNG?

As Russia steps up its liquefied natural gas exports, recent news stories warn that fast-growing U.S. supply could create a global “glut.” Most countries are eager for more American LNG. Not so Vladimir Putin and a Western European energy giant, which could be hurt by the competition and lower prices.

“US rush to expand LNG exports heightens fears of global gas glut,” said a recent Financial Times headline. Other publications have echoed such “fears” and cite TotalEnergies CEO Patrick Pouyanné. “We are building too much,” the French executive said at a gas conference last month in Milan. By “we,” he meant the U.S.

Mr. Pouyanné added that “We are facing many U.S. projects,” which will result in an “oversupply.” If the CEO is truly worried, he’d scrap TotalEnergies’ massive planned Mozambique LNG project or pull out of the company’s two Russian projects, which help fund Mr. Putin’s war machine. TotalEnergies owns a stake in Russia’s Arctic LNG2 plant, which has been ramping up exports to China.

Warnings about “gluts” also ignore market realities. U.S. LNG projects require long-term contracts with customers to secure financing from banks and investors. That means market demand is guaranteed for projects before they break ground. LNG export capacity is expected to grow by 9.7 billion cubic feet per day by 2028, which is only about half as much as global demand is forecast to grow.

Global LNG demand is soaring as countries shift to gas power from coal. India plans to increase LNG imports by four-fold by 2030. The

AI boom is also driving demand for more gas plants, which can provide reliable power around the clock. Gas plants are also less expensive and quicker to build than nuclear power.

Meantime, Europe to its credit is trying to wean itself off Russian gas. The European Union has ended most Russian gas imports by pipeline. But France, Spain and Belgium still import large amounts of Russian LNG, and Europe is Russia’s largest customer. Russian LNG last year accounted for nearly 20% of Europe’s gas imports.

The European Commission last proposed banning Russian LNG imports by 2027 on the expectation that increased U.S. LNG will be available to replace it. Russia might then try to sell more LNG to India and China as it has with oil, but increased U.S. LNG exports will reduce global prices.

That would hurt Mr. Putin while helping Europe and other U.S. allies. High gas prices have hurt Europe’s economy and manufacturing. As for Mr. Pouyanné, he may worry that lower prices will dent his company’s profits. Note that the U.S. Export-Import Bank this year agreed to provide \$4.7 billion in financing for TotalEnergies’ Mozambique project.

Why is the Trump Administration assisting a company that is undermining American LNG exports and helping Mr. Putin?

Total, the French energy giant, wants the U.S. to stop producing so much.

LETTERS TO THE EDITOR

The Roberts Court and the Imperial President

Your editorial “The Triumph of the Roberts Court” (Oct. 4) celebrates the “constitutional revitalization” the justices have wrought. But absent from your list are the decisions over the past eight months on Trump-related emergency applications. In the words of Justice Elena Kagan, those rulings have cleared the way for President Trump to “transfer government authority from Congress to the President, and thus to reshape the Nation’s separation of powers.”

Across two dozen unsigned and usually unexplained grants of requests for emergency relief, the Supreme Court, with Chief Justice John Roberts almost always in the majority, has approved Mr. Trump’s refusal to spend billions of dollars Congress has appropriated—an executive impoundment power constitutional conservatives, including then-White House lawyer John Roberts, have long rejected.

The court has allowed the president to terminate government contracts for spurious and often retaliatory reasons. It has greenlit the decimation of agencies and cabinet departments that Congress created and structured. And it has done so while, at the same time, calling into

question the power and propriety of individual federal district judges blocking federal policies—a power constitutional conservatives regularly invoked, to great success, during the Biden administration.

You laud the Roberts Court for reducing “the prospects of lawfare” against political opponents and limiting “the arbitrary power of the administrative state.” But one need only read your fine editorial pages to see how much the court’s recent misadventures have had the opposite effect.

The Roberts Court may have achieved a “constitutional revitalization,” but it’s more troubling than the one you describe. Its rulings reflect a vision of the Constitution in which the executive is dominant, the legislature all-but irrelevant, and the Supreme Court there to protect the executive from pesky lower courts that insist it must follow the law. As you note elsewhere, that isn’t what originalist judges should do—or what the Founders wanted.

STEPHEN I. VLADECK
Georgetown University Law Center
Washington
Mr. Vladeck is author of “The Shadow Docket” (2023).

There’s Life in the Old New York Governor Yet

Faith Bottum asks “Can Cuomo Beat Mamdani?” (op-ed, Oct. 13), and her answer is “perhaps.” Ours is “definitely.” The former New York governor hasn’t merely gained “a bit” since the incumbent, Mayor Eric Adams, dropped out of the race. Andrew Cuomo has surged 10 points, while Zohran Mamdani is stuck below 50%. Early voting hasn’t started, so there’s plenty of movement to be had.

The bullish case for Mr. Cuomo: Democrats took a high turnout September primary system, moved it to June, and added ranked-choice voting, further confusing New Yorkers. Mr. Mamdani got roughly 470,000 first-round votes compared with Mr. Cuomo’s 390,000. The general election will draw from a larger pool—some 4.5 million active voters—and the more you learn about Mr. Mamdani, the more worrying his candidacy becomes.

The 33-year-old has no experience that qualifies him to manage a \$120 billion budget, and his views on crime are out of step with city dwellers who have enjoyed more security under NYPD Commissioner Jessica Tisch. Would Mr. Mamdani let her keep her job? He won’t say.

Regarding other issues, his campaign has said that “if Zohran has not publicly endorsed or spoken on a position during the campaign, it is not a part of his mayoral platform.” Convenient. Why should the city take a risk on a card-carrying member of the Democratic Socialists of America?

As we’ve written in these pages, turnout in New York has been weak, only 23% in 2021, “so there are millions of voters who could get involved and stop Mr. Mamdani before it’s too late.” Republicans in the city—where Donald Trump got about 30% of the vote—will have to decide if they’d like to waste their ballot on Curtis Sliwa, who can’t win, or throw in with Mr. Cuomo, who can.

When Ed Koch lost re-election in 1989, he reportedly said that “the people have spoken . . . and they must be punished.” The punishment from a Mamdani mayorship is too great to bear. Much better to give the reins to an old hand who has a record of success, not radicalism.

MARK PENN AND ANDREW STEIN
New York
Mr. Penn is chairman of the Harris Poll. Mr. Stein served as New York City Council president, 1986-93.

Why Are U.S. Runners Making Great Strides?

“Are ‘Super Spikes’ Powering America’s Running Resurgence?” (Sports, Oct. 2) describes the uptick in “bigger, heavier” runners such as Cole Hocker. My experience as a physician specializing in athlete nutrition leads me to believe there’s another possible explanation for why we’re seeing more body diversity in successful elite runners: the increasing recognition of a condition called Relative Energy Deficiency in Sport.

REDs is possibly the most common medical condition facing endurance athletes, with almost two-thirds of elite runners meeting the criteria. The condition occurs when someone isn’t taking in enough calories to sustain his energy needs, leading to an energy imbalance and a host of medical complications, including suppressed testosterone in males,

missed periods in females and bone stress injuries.

REDs has quietly ended many elite running careers. Fortunately, a number of athletes—Lauren Fleshman, Jake Riley and Allie Ostrander—have been speaking out about how the condition affected their careers, each finding that with proper fueling and modest weight gain, they were able to perform better, be healthier and have more longevity in their sport.

While the range of an “ideal runner’s body” is still narrow—Mr. Hocker is considered “heavier” at 5’10”, 145 pounds—it’s time for the sport to realize that thinner isn’t always better.

KATHERINE HILL, M.D.
Decatur, Ga.

Trump’s Message to Maduro

Mary Anastasia O’Grady wonders about President Trump’s motivations for sending military assets to the Caribbean (“Trump’s War Drums in Venezuela,” Americas, Oct. 13). Interception of drug smugglers? Unseating Nicolás Maduro from power? Perhaps another, simpler answer: The ships are there to dissuade the Venezuelan regime from invading oil-rich Guyana next door.

EM. PROF. BILL CASEY
University of California, Davis
Benicia, Calif.

Pepper ... And Salt

THE WALL STREET JOURNAL



“I devise the perfect defense and you suddenly confess in a fit of spontaneous compunction.”

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OPINION

Truth Is Hard to Get in Gaza

By Robert Satloff

With a Gaza cease-fire, calls are growing to open the war-battered area to international media, and a flood of reporters can be expected soon. But the arrival of more journalists doesn't necessarily mean the public will be better informed. Since Oct. 7, 2023, Israel has restricted international media access to Gaza, arguing that it didn't have the resources to protect them and that the war zone was too dangerous to allow reporters to roam on their own. Israel has escorted a trickle of foreign journalists on tightly controlled visits, and a handful of media outlets either had their own local Palestinian stringers or engaged Gaza-based reporters. But for the most part, the Hamas-Israel war went two years without on-the-ground coverage by traditional war correspondents. The inability of independent journalists to travel freely is often cited as a key reason the war over facts in Gaza has been nearly as vicious as the fighting itself. Disputes over

Hamas has held tight control over coverage, and the peace plan is unlikely to change that.

such issues as the number of Palestinian civilian casualties, the source of errant bombs and the amount of food entering the area have raged from the beginning of this conflict, fueling arguments over claims of war crimes and genocide. Without the unfettered reporting of respected journalists, the argument goes, the truth is another victim. From the beginning of the war, media outlets and advocacy groups



A Palestinian journalist in Khan Younis in April.

have lobbied for more access. At one point, even President Trump joined the fray. Asked during an August press conference whether he would like to see Israel allow foreign media into Gaza, he said, "I'd like to see that happen." Yet opening Gaza to international media won't necessarily improve our understanding of what is happening there. Check the record of local Palestinian reporters who have reported from Gaza for international media over the past two years. Take Anas Baba, a local Palestinian reporter for National Public Radio, one of the few journalists who stayed in Gaza for a major U.S. media platform throughout the war. To someone who listens to his often-gripping stories it's clear that Mr. Baba has both courage and ingenuity. But there is something else that a review of his reportage reveals: He never focuses on Hamas. Of the nearly 70 radio segments to which he contributed since January, Mr. Baba didn't report a single comprehensive story on Hamas. That is, not one thorough report on Hamas's leadership, decision-mak-

ing, governance, military operations or popular support. Not one. Mr. Baba isn't unique. The Associated Press also has local Palestinian stringers, and my review of its hundreds of stories on the war this year revealed a total of two deeply reported pieces on Hamas—neither datelined from Gaza. These were a Jan. 21 report on Hamas's staying-power at the start of the Trump administration, and a March 26 report on emerging Palestinian protest against Hamas rule. Other than these stories, I found that AP reporters in Gaza did no in-depth reporting on Hamas's recruitment of new combatants, domination of the civilian population, control of Israeli hostages, or intimidation of food-delivery efforts. Why? Because although Israel may be the dominant military power, even a beleaguered and diminished Hamas has been able to control the media environment. It is well known that bias is a serious problem in Gaza war reporting. This ranges from disturbing accusations that some local Palestinian journalists who work for Arab media such as Al Jazeera were

secretly Hamas operatives, Hamas sympathizers or on the Hamas payroll to charges of bias against reporters, editors and photographers at some of America's leading news organizations. But bias isn't the only problem. Merely reporting from Hamas-controlled Gaza requires facing Hamas threats, intimidation and extortion. For some journalists, the solution to survive the Gaza crucible has apparently been to limit their reporting to the slice of the overall story Hamas didn't mind being told—the hardships of Israeli attacks on the local population—without discussion of Hamas's role. This is unlikely to improve with the arrival of scores of international journalists. Many will seek out a local fixer to translate, arrange interviews, navigate the war zone and secure food and lodging. The bigger outlets will hire huge teams of local crew, including drivers and technicians, in addition to the support staff needed to care for star correspondents who will want to make a Gaza appearance. Even with the best intentions and oversight from headquarters, this will be a bonanza for Hamas's well-oiled media operation, which has controlled virtually every word written or broadcast in Gaza since 2007. One can be sure Hamas is preparing for what will be both a huge jobs program and a chance to mold the message of powerful media operations. This isn't a call to maintain the ban on foreign journalists, who deserve a chance to do their job. But it is a warning to consumers of news: When all those reporters start filing copy from Rafah or doing stand-ups from Khan Yunis, pay attention to whether we are getting a slanted piece of the Gaza story or the whole picture.

Mr. Satloff is executive director of the Washington Institute.

Republicans, Ditch MAGA And Return To the Basics

By John C. Danforth And Rina Shah

America's center has collapsed. But it can be restored if Republicans return to their roots. Both political parties have gravitated toward their extremes, but given our backgrounds, our primary concern is the GOP, which is firmly under MAGA's influence. MAGA Republicanism is an incoherent form of populism—sometimes leaning right, sometimes left. It isn't the responsible, conservative party America needs. We believe that a responsible, conservative party in this country can be defined by five key principles that Republicans have historically championed, whatever their other differences. MAGA has turned these tenets upside down. But they are our party's foundation, and we have adopted them for Our Republican Legacy—a nonprofit advocacy organization we established last year as a home for Republicans in exile.

The GOP traditionally stood for the rule of law, limited government and unity. It should again.

These are the five bedrock principles:

- *The rule of law, grounded in the U.S. Constitution.* We Republicans embrace the fact that we are a country of laws, not men. The Constitution establishes checks and balances to prevent the concentration and abuse of government power, vesting the power to tax, spend and impose tariffs in Congress, not in the president. The Bill of Rights protects the people against a government that punishes critics and wreaks retribution on opponents.
- *Unity.* We are the party of Lincoln, who sought to hold America together as one indivisible nation. We stand against us-vs.-them tactics of left and right. Identity politics that inflame passions of grievance and resentment are no longer the sole property of Democrats. Now MAGA has hoodwinked straight, white, male Christians into believing that they are victims of "the elites."
- *Fiscal responsibility.* We oppose large and persistent federal deficits. The national debt increased nearly 40% in the first Trump administration, and under the One Big Beautiful Bill Act, it will grow over the next decade by more than \$3 trillion. Our current fiscal trajectory isn't greatness: It is weakness, and we are accelerating toward that end.
- *Limited government.* We insist that the private sector, not an overreaching federal government, is the source of America's strength. Governmental control, once the province of progressive Democrats, is the hallmark of MAGA Republicans. They impose high tariffs and propose government ownership stakes in corporations. And no administration should direct what universities can teach, where law firms can practice, or whom comedians can mock.
- *Strong national defense.* We are the party of Dwight Eisenhower and Ronald Reagan, which since World War II has carried the responsibility of protecting the West against Russian aggression. We support a national defense that is second to none, and we encourage reliable alliances among democracies that protect our national interests overseas. We are under no illusions about Vladimir Putin's intentions, and we support America providing Ukraine with the weapons it needs to defend itself.

Republicans have always differed with one another on certain issues. Disagreement is healthy. But MAGA has thrown out the core principles Republicans agreed on. MAGA's GOP and Reagan's are incompatible. Our Republican Legacy supports leaders who will embrace the five bedrock principles of Republicanism. We are organizing in all 50 states. We are the conservative alternative to MAGA populism. Those of us who call ourselves Republicans have a choice to make. We can choose to stand for our historic principles, or we can continue on the road to angry populism. By making the first choice, we can restore the center. That is where most Americans happen to be. And that is where our nation has its best chance for a bright future.

Mr. Danforth is a founder and Ms. Shah a senior adviser of Our Republican Legacy. He served as a U.S. senator from Missouri, 1976-95.

Government Shutdown? No, an Efficiency Audit

By Daniel Huff

Every government shutdown is an efficiency audit in disguise. During a shutdown, agencies must identify and keep essential employees on the job, forcing a triage that reveals the government's assessment of what it needs to function. Here's how it works. When Congress fails to fund the government by Oct. 1, the start of its fiscal year, the Constitution's Appropriations Clause kicks in: "No Money shall be drawn from the Treasury, but in Consequence of Appropriations made by Law." Federal statutes back this up with serious consequences. Agencies can't spend unauthorized money or accept free labor except in emergencies involving safety or property. Violations mean firings, fines and up to two years in prison. Nevertheless, before 1980 agencies treated these restrictions loosely, keeping operations going during funding gaps while minimizing "nonessential operations." Attorney General Benjamin Civiletti stopped that, ruling agencies must strictly comply with spending limitations in the Antideficiency Act.

Today, the Office of Management and Budget issues annual shutdown guidance. Agencies must submit "contingency plans" categorizing which employees are essential on a standardized worksheet. Only five narrow exceptions qualify: those protecting life and property, those necessary to the president's constitutional duties, those performing legally mandated activities, those with funding outside the annual budget, and those authorized by other laws. This creates a comprehensive map of what can be suspended without immediate risk. Since 1981, four major shutdowns have generated data about what government actually needs to function. Furlough rates have ranged from about 15% to 40%. The current 2025 shutdown sits at the low end, suggesting agencies have broadened their understanding of operational minimums. Shutdowns let Congress run an experiment it would ordinarily never attempt: Close the whole thing down

and see what breaks. This is what Elon Musk did at Twitter. He fired 80% of the staff, watched what broke, and restored only what proved necessary. Conventional budget cuts start with everything and try to subtract, forcing agencies to prove positions aren't needed while navigating political mine fields of lobbying and litigation. A shutdown inverts this logic. It starts with nothing and adds back

Based on data from past closings, roughly 25% of the federal workforce could be permanently cut.

only what is necessary. All positions are furloughed unless an agency can demonstrate an employee is essential to perform a core function. If services degrade, the agency can recall more workers, so the system self-corrects. The 1996 Social Security Administration shutdown proves the point. SSA initially kept only 4,780 employees to ensure benefit payments, furloughing 61,415 workers. Within days, they realized this wasn't enough. They couldn't handle phone calls from people needing Social Security cards or address changes. SSA recalled 49,715 employees for direct service work. This approach—furlough broadly, identify failures, restore specific functions—is vastly more efficient than conventional budget cutting. Successive shutdowns have refined the data. The Office of Management and Budget produces detailed post-shutdown reports analyzing what worked and what didn't, creating institutional learning that improves planning. For example, the fiscal 2014 shutdown generated data on which services generated outcry when suspended (national parks), which created safety risks (fewer inspections by the Food and Drug Administration), and which caused surprisingly little disruption. Critics argue that a "nonessential" employee for shutdown pur-

poses doesn't mean unnecessary overall. Bureaucrats have bristled at the term as misleading and demeaning. But Congress itself has used this language in approving shutdown spending it described as needed to maintain an "essential level of activity." Furthermore, the essential employee categories align closely with core government functions, namely public safety and the protection of property. As a result, each funding impasse has collectively produced the world's largest organizational efficiency study. Not a simulation or theoretical analysis, but a real-world test of which positions government can function without. The data sitting in OMB's files are a tested blueprint for smaller government, and the timing couldn't be better. President Trump has said he wants to cut government and is leaning on OMB Director Russ Vought, who he noted was "of PROJECT 2025 fame." That project, focused on slashing the bureaucracy, was headed by Paul Dans, an expert on the civil ser-

vice who ran the Office of Personnel Management during Mr. Trump's first term. In the first Trump administration, Mr. Dans teamed up with personnel director John McEntee to fire bureaucrats and reclaim independent agencies for the president. Now it seems the president is motivated to replicate that success on a much bigger scale. Based on shutdown data, roughly 25% of the federal workforce could be trimmed. OMB should review each agency's contingency plan to determine which positions within the agency's workforce are classified as non-essential. Start cuts there. If services degrade, restore positions. But begin with the government's own assessment of what it can function without. The test was already run. The administration just needs to read the results.

Mr. Huff has served as a lawyer in the first Trump White House and the House and Senate judiciary committees.

A Search for the Sister Who Taught Me to Read

By Danny Heitman

We live in an age of wonders, so perhaps I shouldn't have been surprised to come across an online service that helps people find nuns. It happened after a glance at my personal library prompted memories of my first-grade teacher, Sister Albertine Winkler, who taught me in 1970. Scanning my bookcase, which contains a few hundred volumes, it occurred to me that none of them would make sense if Sister Albertine hadn't grown me into a reader. Under her firm hand, my classmates and I marched through our ABCs in unison, voicing each letter like an orchestra tuning for a show. Soon we were stringing letters together, bead by bead on little strands, to make words. Sister Albertine showed me how the English language could sing on the page. Wouldn't it be nice to thank her? My teacher seemed old to me at the time, but any adult can look ancient to a child. I wondered if she was still around to receive a thank-you note and found the website of her order, the School Sisters of Notre Dame, had a "Search for a Sister" button on its landing page. Shortly after I filed my request form, Grace Ávila, the order's assistant archivist, reached me with the news that Sister Albertine had died at 88 in 1999. Ms. Ávila shared an obituary that helped me better know my first teacher. Sister Albertine had been a prodigy, securing an office job in a

construction company when she was 14. Despite a promising corporate career, she answered the call to religious life, shaping thousands of young minds over decades. I laughed when I read that Sister Albertine decided at 87 to learn how to use a computer. It pointed to her can-do spirit.

Albertine Winkler died a quarter-century ago, but her order helped me learn a bit about her life.

The School Sisters of Notre Dame's North American Archives get about 1,000 requests a year for information on its nuns. Michele Levandoski, who oversees the archives, told me that about half the queries come from former students. "While we are able to connect with students whose teachers are alive and well, I would say the majority of the sisters we are asked about are deceased," Ms. Levandoski said. "When people reach out looking for a sister, if she is deceased, they will often let our staff know why she was important." As another school year unfolds, many other students will connect with teachers who change their lives. Thank them now, while you still have the chance.

Mr. Heitman, a columnist for the Baton Rouge Advocate, is editor of Phi Kappa Phi's Forum magazine.

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EGYPT’S LARGEST PRIVATE BANK TURNS 50

As Commercial International Bank (CIB) marks its 50th anniversary, **Islam Zekry**, Group Chief Finance & Operations Officer reflects on a legacy that has also helped to shape the Egyptian banking sector



What are the origins of CIB?

CIB was established 50 years ago as Chase National Bank of Egypt. Chase’s divestment in 1987 was followed by a series of private equity investments in the small corporate lender. Between 2002 and 2020, the bank was transformed into a full-service financial institution including consumer banking and business banking for SMEs. Recognising that digital solutions were critical to the future of its commercial activities, in 2014, the bank began investing in technology and data analytics. In 2019, CIB embarked on a full digital transformation and at the same time, it looked to push beyond its boundaries to capture new market opportunities in Africa.

What are some of CIB’s key milestones over the past half century?

Our journey from a single-purpose corporate lender to becoming the nation’s largest private sector financial institution and a regional benchmark for performance, innovation and governance also reflects the transformation and modernisation of Egypt’s banking industry. CIB consistently ranks as the most profitable bank in Egypt and is the bank of choice for more than 500 of Egypt’s largest corporations. We were the first Egyptian bank to implement Basel capital standards in 2012, and the first to issue a green bond. The bank has received international recognition for its performance, including the World’s Best Bank in Emerging Markets by Euromoney and Global Finance, and the Best Bank in the Middle East for Corporate Social Responsibility by Euromoney. In 2019, Bloomberg included CIB in its Gender Equality Index making it the first company in Egypt and Africa to be listed on the index. We’ve played a central role in moving Egypt’s banking sector toward inclusion, digitisation and sustainable finance.

What are CIB’s strategic priorities for the next 50 years?

The bank’s core goal is to become the leading bank in Africa. In 2023, we became the first private sector Egyptian bank to expand into sub-Saharan Africa establishing CIB Kenya following the acquisition of Mayfair Bank. The aim is for CIB Kenya to become East Africa’s digital and business hub, leveraging opportunities created by the African Continental Free Trade Agreement (ACFTA). The acquisition is CIB’s first step in identifying and evaluating potential markets and suitable entry methods to fulfil our expansion ambitions.

How does CIB approach corporate social responsibility (CSR) and environmental, social governance (ESG)?

CIB is a longstanding contributor to Egypt’s well-being through major CSR initiatives in communities, in addition to the sponsorship of national and international activities, with a focus on environmental and social sustainability. In 2010, CIB shareholders voted to establish the CIB Foundation and permanently endow it with 1.5% of the bank’s annual profits with a focus on the health, education and the well-being of children. Subsequently, the CIB Foundation has built strategic partnerships with healthcare providers from the governmental, private and non-governmental sectors to maximise its impact on underprivileged children throughout Egypt.

Resources have also been dedicated to managing our ecological footprint since 2014, despite significant growth of operations and headcount. CIB has adopted global environmental standards to maximise efficiency in terms of energy and water consumption, carbon footprint and waste management. Our efforts are aligned with the sustainable development goals of Egypt’s Vision 2030 and the Paris Agreement on Climate Change. In 2015, CIB became the first bank in Egypt to issue a sustainability report and we have published one annually ever since. CIB was also the first Egyptian company to participate in the carbon disclosure project, a global system that measures and manages environmental impact. CIB published its third Environment, Social, Governance, Data and Digitization (ESGDD) Integrated Sustainability Report, marking a defining milestone in the Bank’s

reporting journey. This report positions CIB at the forefront of sustainable finance, robust governance, and digital innovation, serving as a strategic tool that not only meets regulatory requirements but also provides investors and stakeholders with transparent, data-driven insights. By consolidating various global ESG frameworks and standards, it delivers unified access to comprehensive disclosures, reinforcing CIB’s leadership and accountability.

The milestone reflects how CIB’s sustainability vision has evolved from strategic ambition into measurable, performance-driven outcomes. It highlights the role of data intelligence and digitization as core enablers of ESG integration, decision-useful disclosures, and systemic transformation. In parallel, 2024 also saw CIB deliver exceptional financial performance, with net income rising 86% year-on-year, underscoring the Bank’s ability to create value for people, the planet, and institutional resilience alike.

What has remained constant in CIB’s mission or values over the past 50 years?

Since our separation from Chase Manhattan in 1987, we’ve grown from a niche corporate bank into a fully integrated financial institution serving Egypt’s largest companies, a rapidly expanding consumer base and the country’s fastest growing SME segment. What has remained consistent is our foundation: our commitment to disciplined governance and global standards; our long-term view on value creation for customers, communities and shareholders; and our deep belief in financial services as an engine of national prosperity. Our values—integrity, accountability, and innovation—will continue to guide us as we scale our impact.

The past year has been challenging for the Egyptian economy. How has the banking sector weathered this particular storm?

Despite the turbulence of the past year, CIB and the entire banking sector remained resilient throughout. Net interest margins, solvency and capital adequacy ratios continue to be strong. The recent foreign investment and the IMF programme, together with the central bank’s devaluation of the currency, have injected fresh confidence in the Egyptian economy. The resulting return of foreign currency liquidity to the market immediately benefited the banking sector.

With respect to CIB, our ability to maintain a flexible balance sheet structure and robust risk posture while simultaneously controlling the costs of deposits has consistently enabled the bank to withstand the pressure from negative economic environments. In addition, we are increasingly focused on non-interest, sustainable revenues which has resulted in 33% growth over the past year.



BUSINESS & FINANCE

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Banks Signal Resilient Economy

Boom in spending, deals show strength but bears point to reasons for concern

By ALEXANDER SAEEDY AND ANNA MARIA ANDRIOTIS

The nation's biggest bankers proclaimed this week that the economy is sturdy, the U.S. consumer is healthy, and they haven't seen much change in recent months. Yet they still sounded uneasy about what is around the corner.

Banks including JPMorgan, Bank of America and Goldman Sachs reported third-quarter profit and revenue that beat analysts' expectations, buoyed by a jump in dealmaking, corporate spending and healthy consumer ac-

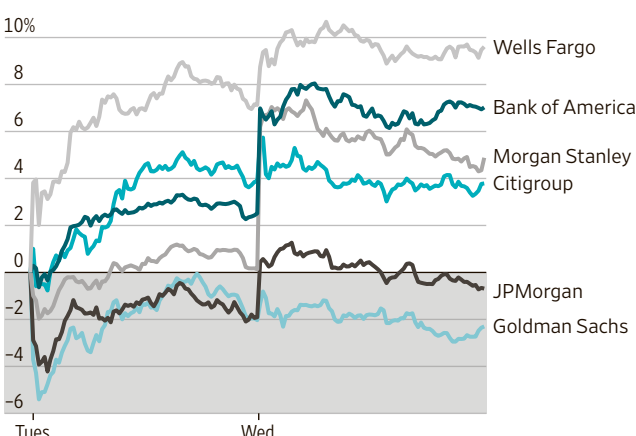
tivity. Growing confidence from business executives, low delinquencies on consumer debts and a rallying stock market have all helped generate profit across the banks.

As a group, the country's six largest banks earned nearly \$41 billion in the past three months, up 19% from a year ago.

"You see strong consumer spend and stable deposits and those things just kind of paint a picture of a consistently strong consumer," Wells Fargo Chief Executive Charlie Scharf said.

At the same time, executives were pointing out causes for concern about the world's biggest economy. Some of the more bearish voices on Wall Street continue to point to more than 10 years without a prolonged recession or credit

Stock performance, past two days



cycle, near record-high stock prices and the unexpected collapses of two companies in the automotive world as signs that not all is well in Camelot.

"When you see one cockroach, there's probably more," JPMorgan CEO Jamie Dimon said. "Everyone should be forewarned."

The economy has been flashing conflicting signals, with the job market cooling, inflation still elevated and the stock market breaking several records this year. The picture is getting even murkier thanks to the federal government shutdown, which could leave millions of Americans without paychecks and means investors won't be receiving regularly scheduled macroeconomic data about employment and prices.

That will draw more attention to corporate earnings for insight on the health of consumers and businesses big and small. Banks in particular are viewed as barometers for the broader economy because they

◆ U.S. stocks trade mostly higher..... B11

BofA and BNY Sued Over Ties To Epstein

By KHADEEJA SAFDAR

New lawsuits against Bank of America and Bank of New York Mellon over their ties to Jeffrey Epstein accuse the banks of maintaining relationships with the convicted sex offender and failing to report suspicious activities until after his 2019 death.

The two class-action lawsuits were filed in federal court on Wednesday on behalf of a Jane Doe and other women who have accused Epstein of abuse. They allege that Epstein's trafficking operation wouldn't have existed without the banks that provided special treatment to Epstein and his co-conspirators. The suits seek unspecified financial damages.

Spokesmen for Bank of America and BNY had no immediate comment.

The Jane Doe plaintiff in the Bank of America suit is a woman who said she was abused by Epstein from 2011 until 2019. The suit claims that she opened an account at Bank

Please turn to page B2

AI Growth Comes at Staggering Price Tag

By STEVEN ROSENBUH

AI companies are losing money at an epic pace, and the reasons go deeper than profitability. The economics of artificial intelligence have turned sharply against them, at least for now, and for reasons that weren't widely anticipated.

There are increasingly urgent concerns about massive capital spending, soaring valuations, high debt levels and the circular nature of AI firms pouring money into other AI firms.

And even the most likely eventual winners in AI are losing billions of dollars now.

It is hard to predict how this will play out in the financial markets, but here is a clue. Demand for AI, measured in units of data processed, is soaring. The entire AI bet may turn on how far and fast it ramps up.

A key mistake occurred a year ago when AI leaders focused solely on AI cost curves for a unit of computing and took their eye off the number of units needed to get the work done, said Heath Terry, the global sector lead for technology and communications research at Citi. AI computing costs had been declining around 90% every seven months, a dynamic akin to Moore's Law for microchips, giving AI companies reason to believe their price-performance ratio will improve.

Then usage, which everybody expected to increase as the price fell, went absolutely parabolic.

"This time last year, we were processing 9.7 trillion tokens a month across our products and APIs [application programming interfaces]," Alphabet's Google said in a May blog post, referring to units of AI usage. "Now, we're processing over 480 trillion—50 times more."

Google was just getting warmed up. "Since then we have doubled that number, now processing over 980 trillion monthly tokens, a remarkable increase," the tech giant said in July during its second-quarter earnings call.

This month, Google said the figure had reached 1.3 quadrillion.

(News Corp, owner of The Wall Street Journal, has a commercial agreement to supply content on Google platforms.)

The demand for tokens has been driven in part by the fight against the "hallucinations," or incorrect or nonsensical outputs stated as if they are true, notoriously produced by generative AI models. Current cutting-edge models are designed to counter the problem often with the help of a kind of reinforcement learning in which they answer the same question multiple times internally be-

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◆ Heard on the Street: AI inflates energy stocks.. B12

Walmart Forges Deal With OpenAI To Allow Shopping With ChatGPT



The products available on ChatGPT will include nearly everything available on Walmart's website, except for fresh food.

By SARAH NASSAUER

Walmart is forming a partnership with OpenAI to let shoppers buy its products directly within ChatGPT, the artificial-intelligence chatbot. It is a signal by the biggest U.S. retailer that online shopping is going to become a different experience from the retail websites we are used to.

For years, shoppers have used a search bar and browsed a long list of items, Walmart Chief Executive Doug McMillon said. "That is about to change," he said.

Within the next few months, U.S.-based ChatGPT users will be able to buy Walmart products instantly and directly in ChatGPT.

The products will include

nearly everything available on Walmart's website, except for fresh food. Walmart+ members will still get their benefits such as free shipping when making purchases through ChatGPT.

ChatGPT already allows shoppers to buy some products from Etsy's domestic sellers and will soon add some merchants on Shopify's e-commerce platform. For now, Chat-

GPT's shopping service, called Instant Checkout, only supports single-item purchases.

Walmart is moving aggressively to be the retail partner of choice in a future in which shoppers use AI to find products.

To grab those sales, Walmart is making a big concession: By allowing the transac-

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INSIDE



TECHNOLOGY

ASML, a seller of chip-making tools, sees the AI-driven boom continuing. B4



AVIATION

The CEO of Brazilian jet maker Embraer hopes for deal with U.S. on tariffs. B10

BlackRock AI Group To Buy Data-Center Firm for \$20 Billion

By JACK PITCHER AND CONNOR HART

BlackRock's new artificial-intelligence infrastructure consortium has struck its first deal, agreeing to acquire Aligned Data Centers from Macquarie Asset Management.

The group is paying roughly \$20 billion for the company, people familiar with the matter said.

The buyer group also includes Mubadala Investment's MGX and BlackRock's Global Infrastructure Partners. The companies said Wednesday the transaction, worth \$40 billion including debt, ranks among the largest data-center deals ever and is expected to close in the first half of 2026, pending regulatory approvals.

The deal is the latest sign that the AI build-out is consuming capital at a historic pace and drawing attention from deep-pocketed investors around the world. The num-

bers are gigantic, with some starting to wonder about the risks of overbuilding given the uncertainty about exactly how AI will work and consume resources in the future.

Dallas-based Aligned, one of the fastest-growing hyper-scale data-center operators in the Americas, provides infrastructure for cloud and AI companies. It operates or is developing about 50 campuses with a total of 5 gigawatts of operational and planned capacity across the region.

"With this investment in Aligned Data Centers, we further our goal of delivering the infrastructure necessary to power the future of AI, while offering our clients attractive opportunities to participate in its growth," BlackRock Chief Executive Larry Fink said in a statement.

The deal marks the first investment for the Artificial Intelligence Infrastructure Partnership, founded by BlackRock, Global Infra-



Aligned operates or is developing about 50 campuses with a total of 5 gigawatts of capacity across the Americas.

ture Partners, MGX, Microsoft and Nvidia to expand the capacity of AI infrastructure and help shape the future of AI-driven economic growth. The group aims to raise as much as \$100 billion in equity and debt to expand data-

center and energy infrastructure supporting AI growth.

Macquarie first invested in Aligned in 2018 and expanded its stake in 2020. Under its ownership, the company grew from two sites to a continental platform, Macquarie said.

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Banks Sued Over Ties To Epstein

Continued from page B1
of America in May 2013 at the direction of Epstein's accountant and that he transferred about \$14,000 into the account. Epstein and his accountant continued to use accounts set up for the woman at the bank for years, including one until 2019, the suit says.

The suit against BNY claims that since at least 2006 the bank had a relationship with MC2, a modeling agency that Epstein and modeling agent Jean-Luc Brunel created. The suit claims that the men used funds from the bank to facilitate Epstein's sex trafficking. Brunel, who was arrested in 2020 on sex-trafficking charges, died in jail in 2022.

The suits were brought by lawyers, including Brad Edwards and David Boies, who have represented many of Epstein's victims and previously filed similar class actions against JPMorgan and Deutsche Bank in 2022.

"The other banks responsible for allowing Epstein's trafficking should have contacted us during the previous litigation to do the right thing for these victims," Edwards said. "It is sad that only through lawsuits and Congress are we able to bring justice to this obvious problem."

JPMorgan and Deutsche

Bank have said they regret their relationships with Epstein and settled the suits in 2023, without admitting wrongdoing. JPMorgan agreed to pay \$290 million to victims and Deutsche Bank agreed to pay \$75 million.

Epstein's estate recently turned over to Congress a list of more than 20 banks that held accounts for Epstein and entities related to him, and several had accounts with Epstein in his later years, the Journal has reported.

Banks are required to monitor and report suspicious activities to avoid enabling money laundering and other criminal activity. Senate Finance Committee ranking member Sen. Ron Wyden (D., Ore.) recently revealed that several banks filed "suspicious activity reports," or SARs, after Epstein was arrested on sex-trafficking charges in 2019 and long after the transactions in question. Bank of America filed SARs in 2020 covering \$170 million in transactions between Epstein and bil-

lionaire investor Leon Black, the former chief executive of Apollo Global Management. A legal review by Apollo's board found that Black paid Epstein for estate planning and tax services. BNY filed SARs covering \$378 million in transactions through Epstein's accounts.

House Judiciary Committee ranking member Jamie Raskin (D., Md.), in recent letters to the CEOs of BNY, Bank of America, JPMorgan and Deutsche Bank, asked how Epstein and his co-conspirators could have conducted more than \$1.5 billion in suspicious transactions for years without being caught.

business, to lead the U.S. defined-contribution effort.

President Trump in August signed an executive order aimed at making it easier for employers to include nontraditional assets, such as private equity and private credit, in 401(k) plans.

The move could help open up the \$13 trillion U.S. market for 401(k)s and other defined-contribution plans to private investments. The market has long been seen as a holy grail for Blackstone and its competitors.

Blackstone, which manages \$1.2 trillion in assets, isn't the first to announce its entry into the 401(k) market. **Apollo Global Management and State Street** launched an all-in-one fund, known as a target-date fund that blends public and private investments.

BUSINESS & FINANCE



Combined credit- and debit-card spending was \$245 billion, up 6% from a year earlier.

Consumer, Investment Banking Bolster BofA

By ALEXANDER SAEEDY

Bank of America reported third-quarter earnings and revenue that beat analysts' expectations, thanks to healthy consumer activity and a busy summer in its investment-banking division.

Profit rose 23% to \$8.47 billion. That amounted to \$1.06 a share, beating estimates of 95 cents.

Net revenue rose 11% to \$28.09 billion, compared with forecasts of \$27.52 billion. The bank also posted record-high net interest income, the profit it makes from lending, which came in at \$15.2 billion.

Third-quarter earnings from the big banks this week have so far shown that the economy is humming along at a healthy clip. Companies are borrowing and investing more and consumers appear to be mostly unaffected by higher tariffs on trade between the U.S. and other countries.

"We do see in our data that the consumer is spending more and that feels consistent with a growth economy," fi-

nance chief Alastair Borthwick said in a call with reporters on Wednesday. "We've seen more in the way of certainty around tax...[and] trade, and that certainty tends to be quite good for our investment-banking business."

Bank of America's sprawling consumer operation con-

tinued to churn out healthy profits. Even as the Federal Reserve has moved to cut interest rates, the bank has also been able to expand the profit margin between its low-cost bank consumer deposits and the amount it charges on loans, driving up its profit. It forecast more growth for its net interest income for the rest of the year.

Consumers kept spending, bolstering the bank's performance. Combined credit- and debit-card spending was \$245 billion, up 6%. Credit-card

loans outstanding were \$102.11 billion, up 1% from a year ago, a sign consumers are carrying more debt.

Loan losses have stayed low. Net charge-offs of loans fell to \$1.4 billion, or 11%, thanks to fewer credit-card and commercial real estate losses. Even despite the high-

profile bankruptcies of auto lender Tricolor and auto supplier First Brands, the latter of which Bank of America had lent to, the bank said it wasn't too worried about broader deterioration.

Like other banks, the Wall Street operations at Bank of America boomed. A strong stock market has helped banks rake in fees as they manage their clients' investments and trade in and out of positions. Big acquisitions and initial public offerings are back.

23%
Increase in Bank of America's profit in the third quarter of the year

PNC Sees Steady Growth in Customer Base

By CONNOR HART

PNC Financial Services Group logged higher profit and revenue for the third quarter as it continued adding customers.

The Pittsburgh bank and financial-services company on Wednesday reported net income of \$1.82 billion, or \$4.35 a share, compared with \$1.51 billion, or \$3.49 a share,

in the prior-year period. Analysts polled by FactSet expected quarterly earnings of \$4.05 a share.

Revenue rose 8.9% to \$5.92 billion, topping Wall Street's models for \$5.83 billion.

Net interest income came in at \$3.65 billion, while non-interest income was reported at \$2.27 billion.

PNC said net interest income growth was driven by

the continued benefit of fixed-rate asset repricing, loan growth and one additional day in the quarter.

Provision for credit losses was \$167 million, compared with \$243 million last year.

Chief Executive Bill Demchak said PNC saw steady client growth across its business lines.

"Fee income grew 9% and expenses were well con-

trolled, which contributed to another quarter of positive operating leverage," he said. "Credit performed well and we continued to build on our strong capital levels."

The company is continuing to work toward its acquisition of FirstBank, expected to close early next year, set to position PNC for accelerated expansion in Colorado and Arizona.

Banks See Resilient Economy

Continued from page B1
see details of the financial health of millions of U.S. households and companies, watching saving and spending habits that signal if customers are cutting back on expenses like travel or eating out.

In recent months, national gross domestic product and other indicators showed the economy was holding steady. Still, concerns about a sluggish job market have raised fears about the financial health of lower-income households.

Federal Reserve Chairman Jerome Powell said on Tuesday that the U.S. labor market has continued to weaken, signaling continued likelihood that the Fed would cut rates again this month despite some lingering inflation concerns.

For now, most banks and financial-services companies say the economy is holding up, even if they remain wary about potential cracks.

Bank of America, one of the



Wells Fargo CEO Charlie Scharf, left, cites consumer strength and JPMorgan CEO Jamie Dimon, right, says defaults look 'normal.'



largest consumer and small-business banks in the country, said it felt good about what it was seeing on Main Street. Consumers continued to make more purchases on credit cards, but they are also carrying bigger balances month-to-month, a sign they are stretching further to spend.

Card issuer **Synchrony Financial**, which caters to a range of consumers, including those with lower credit-scores, said spending was still increasing but delinquencies and late payments were down.

"Look, we still think the consumer is in pretty good shape," CEO Brian Doubles

said. "They've been very resilient. We're not really seeing any signs of weakness."

Investors meanwhile are putting more money to work in the stock market. **BlackRock** brought in \$205 billion in new client money during the quarter, lifting its total assets to \$13.5 trillion.

Assets in **Morgan Stanley's** wealth business increased across the board for both wealthy and individual investors. In its unit where financial advisers oversee investments mostly for wealthy clients, assets increased 17%. That figure rose 24% in the retail wealth business, mostly consisting of E*Trade. The average daily number of retail trades the company handled rose 24%.

Those worried the good times might not last are pointing to recent blowups in the

SL Green Strikes Deal for New York Tower

By PETER GRANT

SL Green Realty has agreed to pay \$730 million for a Midtown Manhattan office tower near Park Avenue, raising its bet that New York City will continue to strengthen as the nation's top-performing office market.

The city's largest office landlord announced the transaction on Wednesday when it released third-quarter earnings.

SL Green's deal to buy the 36-story building, called Park Avenue Tower, is one of the largest office building sales of the year and shows that sales momentum for desirable office buildings in prime locations is heating up. The 620,000-square-foot building on 55th Street is more than 95% leased.

Over the summer, New York property owner RXR completed an even larger deal. The firm and its partners purchased 590 Madison Ave., the former IBM building, for \$1.1 billion. That was the first New York office sale to exceed \$1 billion in nearly three years, a milestone set regularly during boom years in the office market during the previous decade.

Property values plunged after the shift to remote work reduced demand for office space in most cities. The sharp rise in interest rates further eroded office building values along with the broader commercial real-estate sector.

But with the Federal Reserve starting to cut rates, the property market is showing signs of life. That is especially true in New York, where supply and demand trends are looking good for landlords. During the first six months of this year, investors purchased \$3.5 billion of Manhattan office buildings, compared with \$2.3 billion in the same period in 2024.

BUSINESS & FINANCE

Hims & Hers Expands Into Treatments for Menopause

By Kelly Cloonan

Hims & Hers Health said it is providing menopause care, marking the company's latest push into hormone-replacement therapies.

The telehealth company sees the new offering as a major opportunity to scale its platform, given about 1.3 million women in the U.S. experience menopause each year, with often limited support from existing providers, said Jessica Shepherd, chief medical officer of Hers, the company's women's health business. "Every woman will go through this. Does that mean they get the best care in how they navigate their symptoms? No," Shepherd said, adding

only about 30% of OB-GYN residency programs provide formal menopause training.

Hims & Hers said it expects the new specialty to help the Hers unit to surpass \$1 billion in annual revenue next year. The company, which has a range of offerings across hair care, weight loss, mental health and other categories, posted revenue of \$1.48 billion last year.

Patients can work with providers on the platform to access plans that include prescription pills, patches or

creams for menopause and perimenopause.

Treatment plans may involve hormones such as estradiol, which can alleviate symptoms like hot flashes and night sweats, and progesterone, which helps to improve sleep quality and protect the lining of the uterus, the company said.

More middle-aged women, including several celebrities, have spoken out about their experiences in recent years, fueling greater interest in

menopause care, Shepherd said.

"I think that has sparked the ability for people to be like, 'well, I'm not alone, and I'm not experiencing this on my own,'" she said.

Hims & Hers also recently ventured further into hormonal treatments in its men's business, rolling out treatments for low testosterone on its platform last month.

The company is trying to help people understand how important hormonal health is in preventing risks to overall health, Shepherd said.

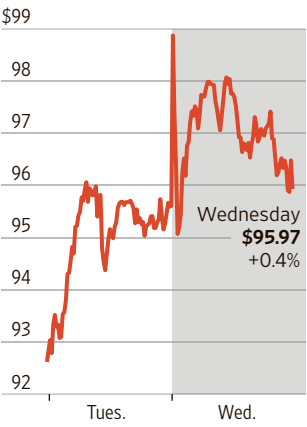
"If we can enter into the experience with patients early on, we really can offset a lot of chronic disease that may come later," Shepherd said.

Treatment plans may involve hormones such as estradiol.

Dollar Tree Keeps Forecast Steady

By Adriano Marchese

Dollar Tree share price, past two days



Source: FactSet

Dollar Tree saw an uptick in sales last quarter but warned that tariff-related costs would weigh on near-term earnings.

BUSINESS WATCH



The automaker plans to make India a global export hub.

HYUNDAI MOTOR India Unit to Invest \$5 Billion in Nation

Hyundai Motor's Indian subsidiary plans to invest around \$5 billion in India over the next five years, to transform the country into a global export hub for the South Korean automaker.

Hyundai Motor India aims to account for an almost one-third of its parent company's total exports by 2030, Hyundai Motor Chief Executive Jose Munoz said Wednesday.

Hyundai's Indian subsidiary, which listed in India last year, plans to invest 450 billion rupees, equivalent to \$5.07 billion, by 2030, and aims to report annual reve-

nue of about 1 trillion rupees within the same time frame, Munoz said.

"We're making India a global export hub, targeting up to 30% export contribution," he said.

The Indian arm plans to launch 26 products, including seven new models, and will roll out a locally designed and developed electric sport-utility vehicle by 2027.

Hyundai Motor India guided for a dividend payout of 20% to 40%.

Last year, Hyundai Motor became the first major South Korean company to list its local entity in India. Hyundai Motor India raised more than \$3 billion in the biggest-ever initial public offering in India.

—Kwanwoo Jun

NOVO NORDISK Drug Acquired for Up to \$2.1 Billion

Novo Nordisk said it would take over a drug under development to treat rare blood and kidney disorders from Nasdaq-listed biopharmaceutical firm Omeros for up to \$2.1 billion.

Under the asset purchase and license agreement, Novo Nordisk will be granted exclusive global rights to develop and commercialize zaltenibart.

Seattle-based Omeros is eligible for near-term milestone payments of up to \$2.1 billion, including potential development and commercial milestones on top of tiered royalties on net sales. The figure includes \$340 million in upfront payments.

Omeros shares more than doubled Wednesday after the deal was announced. Novo Nordisk shares climbed 0.9% in Wednesday's trading in Denmark.

The agreement marks a vote of confidence from the Danish pharmaceutical giant in zaltenibart following positive trial data in paroxysmal nocturnal hemoglobinuria—a rare, acquired blood disorder. The companies said the can-

didate drug has potential applications across therapeutic areas, including renal diseases.

"Novo Nordisk is in a strong position to build on the work done by Omeros to maximize the value of this asset and develop zaltenibart into a differentiated and potentially best-in-class treatment approach for a number of rare blood and kidney disorders," said Martin Holst Lange, chief scientific officer and executive vice president of research and development at Novo Nordisk.

Novo Nordisk said it plans to launch a late-stage Phase 3 study for zaltenibart in paroxysmal nocturnal hemoglobinuria and look into further development for other rare blood and kidney disorders once the deal is complete.

The group has previously pledged to broaden its pipeline of rare-disease drugs and late last year announced plans to invest \$1.2 billion in new production facilities in Denmark.

The deal with Omeros is subject to certain conditions such as regulatory approvals and is expected to close in the fourth quarter.

—Dominic Chopping

ABBOTT LABORATORIES Drugmaker Backs Full-Year Outlook

Abbott Laboratories backed its full-year outlook after posting higher sales in the third quarter, boosted by sales of its nutrition shakes and drinks for adults.

The healthcare-products maker on Wednesday posted a profit of \$1.64 billion, or 94 cents a share, roughly flat from a year ago. Stripping out one-time items, adjusted earnings were \$1.30 a share, in line with analyst expectations, according to FactSet.

—Connor Hart

J.B. HUNT Intermodal Business Is More Efficient

J.B. Hunt Transport Services logged higher income in the third quarter on efficiency in its intermodal business—combined truck and rail.

The Lowell, Ark., logistics company posted a profit of \$170.8 million, or \$1.76 a share, compared with \$152.1 million, or \$1.49 a share, a year earlier. Analysts expected \$1.46 a share, according to FactSet. Revenue was roughly flat at \$3.05 billion. Shares rose 12% in aftermarket trading to \$156.

—Katherine Hamilton

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Altice Turns Down \$20 Billion Offer From Peer Group

By NAJAT KANTOUAR

French telecom operator **Altice**, owned by billionaire Patrick Drahi, rejected a joint nonbinding offer to buy a large part of the company for €17 billion, equivalent to \$19.74 billion, submitted by peers **Bouygues**, **Orange** and Free-iliad Group.

The beleaguered telecom company said Wednesday that it immediately rejected the offer. Both Orange and Bouygues acknowledged Altice's decision to reject the joint offer.

Orange shares climbed 3.3% and Bouygues shares advanced 7.4% in Wednesday's European trading. In the year to date, shares of both companies have risen more than 40%. Altice shares advanced 0.4% on the New York Stock Exchange.

The three French telecom majors put in a nonbinding

offer on Tuesday for most of the assets of Altice's SFR. The deal didn't include SFR's stakes in Intelcia, UltraEdge, XP Fibre nor Altice Technical Services.

Under the deal, Bouygues and Free-iliad would have overseen Altice's business-to-business company, while the three companies would share the business-to-consumer company. Other assets and resources, such as infrastructure and frequencies, would have been shared among all three companies.

Bouygues would have taken SFR's mobile network in less densely populated areas, the companies said.

Morgan Stanley analysts wrote in a note last month that French telecommunications companies could look to consolidate, given that the country ranks among Europe's most competitive telecoms markets.

HPE Expects Revenue Growth to Slow in 2026

By KELLY CLOONAN

HPE expects revenue growth to slow in its next fiscal year as it targets higher-growth businesses. The company said Wednesday it expects revenue to grow by between 5% to 10% in fiscal 2026, including eight months of Juniper results before the acquisition closes. Analysts polled by FactSet were looking for growth of 17%.

The company last forecast revenue growth of 14% to 16% for the current fiscal year, which ends Oct. 31.

HPE also projected adjusted earnings per share of \$2.20 to

\$2.40 for its next fiscal year, behind analyst forecasts of \$2.43.

The outlook comes as the company plans to shift its portfolio to higher-growth, higher-margin businesses to improve long-term profit.

The company plans to focus on opportunities in networking, cloud and artificial intelligence, and expects to gain share in some markets as a result, Chief Executive Antonio Neri said. By fiscal year 2028, HPE expects earnings per share of about \$1.93 and adjusted earnings per share of at least \$3.

Shares for HPE fell about 10% after hours.

ASML Logs Strong Orders Amid AI Spending Frenzy

Chip-gear maker gets lift from high demand for advanced semiconductors

By MAURO ORRU

ASML Holding posted better-than-expected orders of its chip-making equipment for the third quarter as demand for sophisticated semiconductors to power artificial intelligence shows no sign of abating.

The Dutch group reported orders of €5.40 billion, or \$6.27 billion, up from €2.63 billion a year earlier and above analysts' forecast of nearly €5.36 billion, according to consensus estimates by Visible Alpha.

The company, which sells chip-making tools to the likes of Intel and **Samsung Electronics**, booked €3.60 billion in orders for its extreme ultraviolet lithography machines, high-end systems that enable semiconductor producers to print the most intricate layers on chips. Analysts had forecast €2.22 billion in EUV orders.

"We have seen continued positive momentum around investments in AI, and have also seen this extending to more customers," Chief Executive Christophe Fouquet said.

ASML shares in Amsterdam gained more than 2% on Wednesday. The company is Europe's largest by market value. Shares are up nearly 30% so far this year, lifted in recent weeks by a string of partnership announcements from major tech companies.

Nvidia and Intel agreed to jointly develop data-center and personal-computing products. Samsung Electronics and OpenAI reached an initial agreement to establish AI infrastructure, while the ChatGPT maker also struck a multibillion-dollar deal with Advanced Micro Devices to collaborate



ASML's shares are up nearly 30% this year, lifted by a string of partnership announcements.

on AI data centers.

ASML investors have welcomed these partnerships amid expectations that companies will need to purchase more semiconductor-making tools to produce the sophisticated chips needed to power AI.

Meanwhile, a trade deal between the European Union and the U.S. that set a 15% tariff ceiling for semiconductor exports brought much-needed stability to transatlantic trade. ASML spooked markets ahead of the deal in July, when it said it couldn't guarantee growth next year because of tariff-related uncertainty.

Fouquet said Wednesday that sales next year shouldn't be below the 2025 figure. Demand for EUV machines is expected to increase, though appetite for less-advanced deep ultraviolet lithography systems that ASML is allowed to ship to China should decline, he said. ASML will provide clearer 2026 guidance in January.

The company remains exposed to the volatile relation-

ship between the U.S. and China, a key market that last year accounted for about 36% of its sales, according to ASML's annual report.

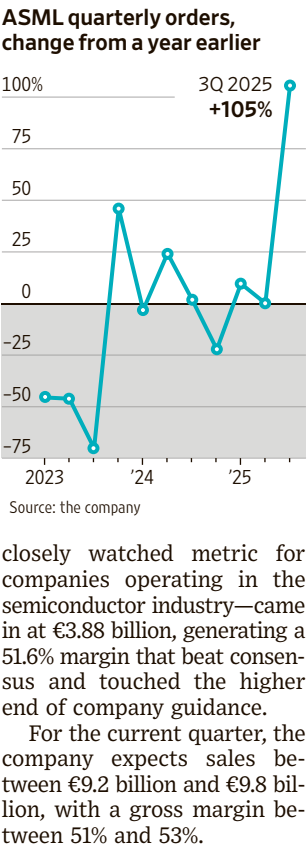
President Trump said last week that he would impose an additional tariff of 100% on China as well as new export controls on critical software products after Beijing placed restrictions on the export of rare-earth minerals.

Fouquet said he expects sales in China to decline significantly next year compared to 2024 and 2025.

The group confirmed its guidance for 2025, projecting sales growth of around 15% on year to roughly €32.50 billion and a gross margin of about 52%.

ASML reported sales of €7.52 billion for the quarter, up from €7.47 billion a year earlier. The figure is below analysts' forecast but in line with company guidance.

Net profit grew to nearly €2.13 billion from €2.08 billion a year earlier, beating market expectations. Gross profit—a



Driverless Taxis to Take On London's Storied Black Cabs

By STEPHEN WILMOT

London's famous black cabs are about to get some new competition: robotaxis.

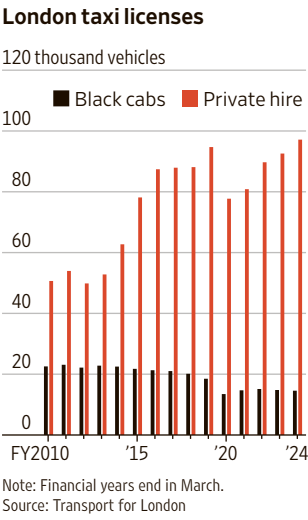
Waymo said Wednesday it would launch a fully autonomous ride-hailing service in the U.K. capital next year, marking the Alphabet-owned company's European debut. Uber also is planning to roll out a London robotaxi service after striking a partnership with local autonomous-driving startup Wayve.

Robotaxis are set to become the newest cog in a centuries-old transport machine that includes many services that were groundbreaking in their day, such as the world's first underground railroad and its first regulated taxi service.

Driverless taxis are rapidly becoming a familiar sight—sometimes even a tourist attraction—in tech-friendly American cities such as San Francisco, Los Angeles and Austin, Texas. In August, Waymo also received a permit to start testing with safety drivers in New York City.

But London's mix of medieval alleyways, Victorian terraces and modern roundabouts are set to pose a new challenge.

Waymo said a small fleet of Jaguar I-Pace vehicles fitted with special sensors is already in transit and will start navigating through London in the coming weeks. Initially, humans will do the driving to map the city's streets and gather data.



As the boxy people carriers have dwindled in London, vehicles regulated for "private hire"—which include services like Uber that must be pre-booked—have proliferated and now number more than 96,000.

Black-cab drivers have to memorize London's labyrinth of streets and pass a test known as "the Knowledge," a feat sometimes seen as an anachronistic barrier to recruitment in the age of the sat-nav.

Steve McNamara, general secretary of the Licensed Taxi Drivers Association, which represents the famously opinionated cabbies, attributed their decline to the pandemic and said numbers would stabilize in the coming years. Robotaxis aren't a threat for now, he said.

"I've got no confidence in the software being as smart as it needs to be to work in a city like London," McNamara said, noting its convoluted street network, which emerged from a patchwork of medieval villages.

London's cabbies were fierce opponents of Uber after it launched in London in 2012, blocking streets and launching legal challenges. Eventually, though, relations settled down as ride-hailing companies stopped pouring money into a ruinous price war and black cabs improved their service by adopting card machines and smoother-running electric vehicles.

"Uber is no longer the bogyman it was," said McNamara.

Shopping With AI At Walmart

Continued from page B1

tion to happen within ChatGPT, the retailer is sharing access to purchase data.

That is a powerful source of consumer and product insights when collected on Walmart's scale.

Walmart and other large retailers have traditionally worked to keep purchase data for themselves, using it to expand sales or sell to advertisers. OpenAI will now have access to that data for Walmart's sales on ChatGPT.

OpenAI has unveiled a partnership with Walmart and

other companies to design an AI training-certificate program.

At a recent conference at Walmart's headquarters, executives from Walmart and OpenAI said AI would significantly change the job market.

"It's very clear that AI is going to change literally every job," McMillon said.

News Corp, owner of The Wall Street Journal, has a content-licensing partnership with OpenAI.

THIS LAMP IS A SIGHT FOR SORE EYES

"I couldn't read the paper anymore. I would scan the headlines and could barely finish the articles. So when I saw the ad, I had nothing to lose. And the KIS lamp did all that it said-eliminating eyestrain and fatigue."

—Jack D. Woodland Park, N.J.

The Keep It Simple Lamp

MyLight has combined classic lamp design with a revolutionary light source. The combination delivers exponentially more light for reading or any other task.

Underlighting is overrated

In your lamps, the new "retrofit" CFL and LED bulbs do not produce the same amount of task light as ordinary bulbs. Just as we've gotten older and our eyesight has declined, **OUR LIGHT HAS FAILED US.**

YOU NEED:

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- Less glare in your field of vision



The KIS™ Lamp and LampLight light source

Swing arm extends 6".

Floor Lamps available in Satin Brass (SHOWN), Gun Metal Bronze and Brushed Silver

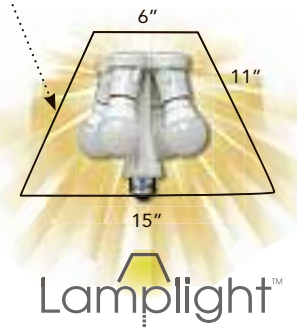
Height of floor lamp adjusts from 43" to 59"

US PATENTS 10,378,698 10,422,488

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Its patented LED bulb array may appear to be "upside down"—but the 4 bulb spread of light is actually down and out, perfect for task light.



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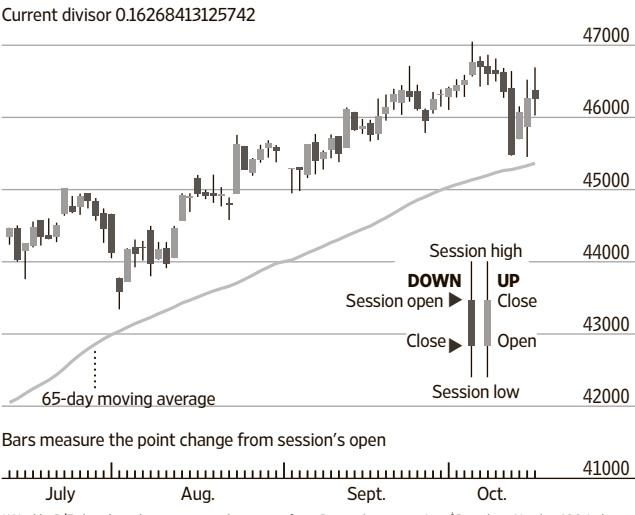
EQUITIES

Dow Jones Industrial Average

46253.31 ▼17.15, or 0.04%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio 24.88 26.53
P/E estimate * 22.09 21.35
Dividend yield 1.60 2.00
All-time high 46758.28, 10/03/25

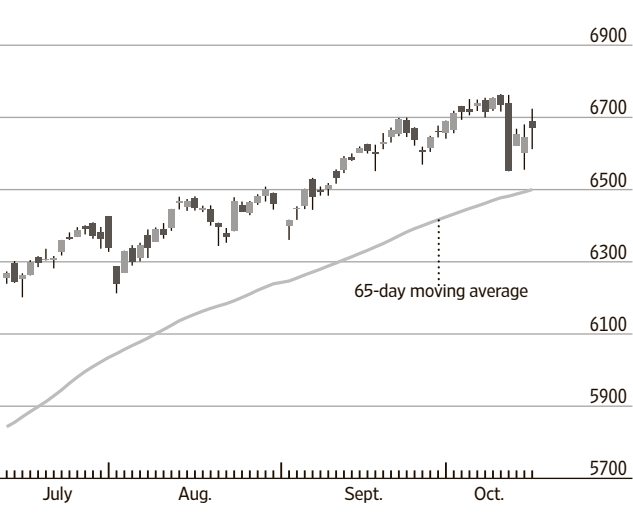


S&P 500 Index

6671.06 ▲26.75, or 0.40%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio * 25.65 24.68
P/E estimate * 22.27 23.75
Dividend yield * 1.15 1.27
All-time high 6753.72, 10/08/25

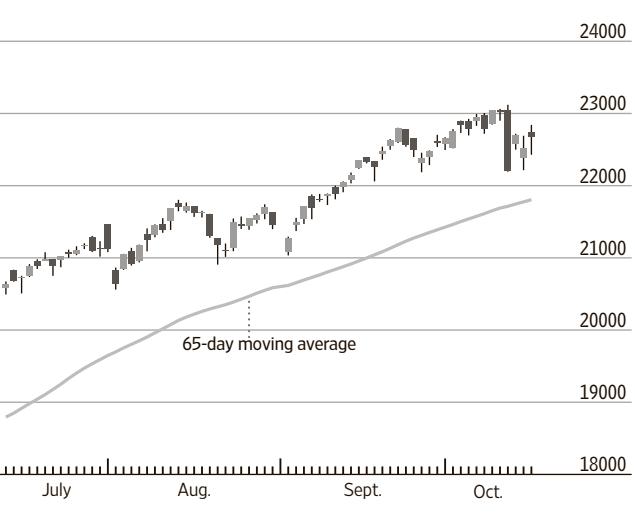


Nasdaq Composite Index

22670.08 ▲148.38, or 0.66%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio ** 33.55 32.12
P/E estimate ** 29.15 30.37
Dividend yield ** 0.64 0.79
All-time high: 23043.38, 10/08/25



Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	High	Low	% chg	YTD	% chg 3-yr. ann.
Dow Jones										
Industrial Average	46693.34	46027.23	46253.31	-17.15	-0.04	46758.28	37645.59	7.4	8.7	16.0
Transportation Avg	15632.36	15402.83	15496.56	-0.26	-0.002	17754.38	12637.04	-6.4	-2.5	7.4
Utility Average	1172.67	1159.86	1168.30	12.21	1.06	1168.30	953.88	9.4	18.9	11.3
Total Stock Market	66657.87	65520.99	66111.75	275.84	0.42	66840.30	49067.76	14.1	13.2	22.4
Barron's 400	1391.83	1371.74	1380.83	3.29	0.24	1405.16	1058.38	9.4	10.3	17.0
Nasdaq Stock Market										
Nasdaq Composite	22841.69	22427.79	22670.08	148.38	0.66	23043.38	15267.91	23.4	17.4	30.0
Nasdaq-100	24933.23	24496.07	24745.36	166.04	0.68	25136.62	17090.40	22.7	17.8	32.3
S&P										
500 Index	6724.12	6612.11	6671.06	26.75	0.40	6753.72	4982.77	14.2	13.4	23.0
MidCap 400	3288.42	3230.54	3255.01	1.53	0.05	3390.26	2560.93	1.9	4.3	13.2
SmallCap 600	1466.82	1442.87	1454.39	11.84	0.82	1544.66	1106.12	0.8	3.3	10.1
Other Indexes										
Russell 2000	2541.67	2490.56	2519.75	24.26	0.97	2519.75	1760.71	10.2	13.0	14.4
NYSE Composite	21736.27	21431.78	21570.92	70.67	0.33	21765.00	17188.46	8.8	13.0	16.6
Value Line	635.73	625.74	629.64	1.96	0.31	656.04	495.50	0.02	3.1	8.3
NYSE Arca Biotech	6515.39	6395.80	6481.81	77.14	1.20	6564.21	5060.12	9.0	12.8	12.0
NYSE Arca Pharma	1005.01	995.54	1002.12	1.06	0.11	1081.13	860.88	-7.3	7.3	9.8
KBW Bank	151.31	148.36	149.26	0.58	0.39	154.63	104.27	21.6	17.1	15.0
PHLX ^S Gold/Silver	320.77	310.49	318.47	11.36	3.70	318.47	136.24	96.5	132.2	48.9
PHLX ^S Oil Service	63.31	61.76	62.47	0.79	1.29	82.01	50.70	-20.1	-14.0	-2.2
PHLX ^S Semiconductor	6780.73	6632.14	6767.06	196.73	2.99	6860.20	3562.94	31.2	35.9	46.3
Cboe Volatility	22.44	19.11	20.64	-0.17	-0.82	52.33	12.77	5.4	19.0	-13.6

§Nasdaq PHLX

Sources: FactSet; Dow Jones Market Data

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After-Hours % chg	High	Low
AMC Entertainment	AMC	10,728.4	2.84	0.02	0.53	2.84	2.82
Bitfarms	BTF	10,374.3	6.23	-0.24	-3.71	6.59	5.85
Bank of America	BAC	8,658.3	52.26	-0.02	-0.04	52.33	52.26
SoFi Technologies	SOFI	6,916.9	28.04	0.01	0.02	28.12	27.98
Wipro ADR	WIT	6,025.9	2.76	0.02	0.73	2.77	2.71
NVIDIA	NVDA	5,471.2	180.48	0.65	0.36	181.98	171.28
Broadcom	AVGO	5,365.1	352.70	1.37	0.39	353.33	350.96
SPDR S&P 500 ETF Trust	SPY	4,893.5	665.02	-0.15	-0.02	670.29	664.58

Percentage gainers...

JB Hunt Transport	JBHT	437.7	154.25	15.42	11.11	158.99	135.60
Fossil Group	FOSL	52.6	4.00	0.25	6.67	4.00	3.56
HCM II Acquisition	HOND	80.5	28.70	1.60	5.90	28.93	27.02
Solidion Technology	STI	53.1	23.00	1.25	5.75	23.50	21.20
Critical Metals	CRML	1,497.2	23.90	1.18	5.19	24.52	22.72
...And losers							
Hewlett Packard Ent	HPE	2,353.2	22.31	-2.73	-10.90	25.36	22.15
TechCreate Group	TCGL	186.6	4.50	-0.43	-8.72	5.49	4.30
Australian Oilseeds	COOT	4,675.8	2.48	-0.16	-6.06	3.40	2.41
Omeros	OMER	1,085.5	9.94	-0.48	-4.61	10.47	9.60
Defiance Tgt 2X Lg HIMS	HIMZ	204.5	25.01	-1.12	-4.29	26.15	24.93

Trading Diary

Volume, Advancers, Decliners		NYSE	NYSE Amer.
Total volume*	1,160,105,969	47,774,611	
Adv. volume*	655,929,293	24,844,295	
Decl. volume*	492,943,502	22,815,674	
Issues traded	2,857	293	
Advances	1,703	164	
Declines	1,076	118	
Unchanged	78	11	
New highs	137	32	
New lows	24	4	
Closing Arms ¹	1.09	2.24	
Block trades ¹	3,778	425	
NYSE Nasdaq NYSE Amer.			
Total volume*	11,374,851,061	453,517,857	
Adv. volume*	7,129,477,044	291,342,949	
Decl. volume*	4,190,211,689	142,511,533	
Issues traded	4,872	2,391	
Advances	2,821	1,809	
Declines	1,926	538	
Unchanged	125	44	
New highs	314	173	
New lows	58	26	
Closing Arms ¹	0.86	2.32	
Block trades ¹	82,633	2,663	

*Primary market NYSE, NYSE American, NYSE Arca only.
¹(TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	985.42	7.10	0.73	17.1
	MSCI ACWI ex-USA	404.83	5.34	1.34	24.2
	MSCI World	4302.27	24.53	0.57	16.0
	MSCI Emerging Markets	1365.69	26.71	1.99	27.0
	MSCI AC Americas	2526.92	10.79	0.43	14.2
Canada	S&P/TSX Comp	30637.12	283.51	0.93	23.9
Latin Amer.	MSCI EM Latin America	2469.19	38.62	1.59	33.3
Brazil	Bovespa	142603.66	920.67	0.65	18.6
Chile	S&P IPSA	4740.51	51.63	1.10	31.1
Mexico	S&P/BMV IPC	61637.54	851.92	1.40	24.5
EMEA					
Eurozone	Euro STOXX	567.77	3.23	0.57	11.8
Eurozone	Euro STOXX	590.51	3.99	0.68	16.9
Belgium	Bel-20	4978.80	22.99	0.46	16.7
Denmark	OMX Copenhagen 20	1590.91	14.05	0.89	-24.3
France	CAC 40	8077.00	157.38	1.99	9.4
Germany	DAX	24181.37	-55.57	-0.23	21.5
Israel	Tel Aviv	3248.99	16.59	0.51	35.7
Italy	FTSE MIB	41906.90	-168.76	-0.40	22.6
Netherlands	AEX	955.21	5.79	0.61	8.7
Norway	Oslo Bors All-Share	1881.15	11.88	0.64	14.4
South Africa	FTSE/JSE All-Share	111634.60	759.21	0.68	32.7
Spain	IBEX 35	15570.30	-16.10	-0.10	34.3
Sweden	OMX Stockholm	1007.62	6.17	0.62	5.6
Switzerland	Swiss Market	12529.58	94.77	0.76	8.0
Turkey	BIST 100	10464.48	148.08	1.44	6.4
U.K.	FTSE 100	9424.75	-28.02	-0.30	15.3
U.K.	FTSE 250	22020.96	-7.22	-0.03	6.8
Asia-Pacific					
Australia	MSCI AC Asia Pacific	222.39	4.23	1.94	22.4
Australia	S&P/ASX 200	8990.90	91.48	1.03	10.2
China	Shanghai Composite	3912.21	46.98	1.22	16.7
Hong Kong	Hang Seng	25910.60	469.25	1.84	29.2
India	BSE Sensex	82605.43	575.45	0.70	5.7
Japan	NIKKEI 225	47672.67	825.35	1.76	19.5
Singapore	Straits Times	4368.42	13.90	0.32	15.3
South Korea	KOSPI	3657.28	95.47	2.68	52.4
Taiwan	TAIEX	27275.71	482.56	1.80	18.4
Thailand	SET	1286.69	20.31	1.60	-8.1

Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Omeros	OMER	10.42	6.32	154.15	13.60	2.95	151.7
Soluna Holdings	SLNH	4.29	1.50	53.76	4.78	0.36	7.5
Veritone	VERI	8.39	2.93	53.66	9.42	1.22	88.1
Sadot Group	SDOT	7.72	2.53	48.75	57.00	5.00	-74.3
Arcadia Biosciences	RKDA	5.45	1.76	47.70	10.31	2.53	96.0
Sound Group ADR	SOGP	19.05	5.88	44.59	37.00	1.18	838.4
Fossil Group	FOSL	3.75	1.10	41.51	4.40	0.86	209.9
Evaxion ADR	EVAX	11.01	3.17	40.43	15.50	1.20	-18.7
iRobot	IRBT	5.37	1.44	36.64	13.06	1.76	-32.8
Sana Biotechnology	SANA	5.92	1.47	33.03	7.30	1.26	40.0
Defiance Tgt 2X Lg HIMS	HIMZ	26.13	6.37	32.24	57.00	9.00	...
TE	TE	5.24	1.23	30.67	5.26	0.92	389.7
Bitdeer Techs	BTDR	25.90	5.78	28.73	27.80	6.84	210.2
ATIF Holdings	ZBAI	10.54	2.34	28.54	45.00	4.83	-34.9
Absci	ABSI	5.00	1.10	28.21	6.33	2.01	21.1

Most Active Stocks

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Genprex	GNPX	922,760	9389.0	0.84	232.67	3.97	0.14
AirRWA	YYAI	472,477	759.2	0.13	-10.40	6.71	0.11
Direxion Dly Semi 3 Bear	SOXS	346,790	86.5	4.07	-9.15	53.43	4.06
Vivakor	VIVK	307,986	9506.8	0.30	57.14	1.63	0.18
Nuburu	BURU	242,645	139.6	0.34	-19.15	1.60	0.12
NVIDIA	NVDA	211,781	21.9	179.83	-0.11	195.62	86.62
Theriva Biologics	TOVX	192,766	21875.6	0.84	92.09	2.64	0.37
Australian Oilseeds	COOT	183,404	10387.6	2.64	173.58	4.50	0.45
Plug Power	PLUG	182,330	90.0	3.85	-4.94	4.58	0.69
Recursion Pharm	RXR	179,174	497.4	6.79	15.28	12.36	3.79

* Volumes of 100,000 shares or more are rounded to the nearest thousand

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Percentage Losers

Company	Symbol	Latest Session			52-Week		
		Close	Net chg	% chg	High	Low	% chg
Aqua Metals	AQMS	13.94	-15.68	-52.94	39.40	3.37	-55.3
Electra Battery Materials	ELBM	2.31	-2.40	-50.96	8.70	0.77	-5.9
Pixelworks	PXLW	7.81	-7.16	-47.83	15.42	4.67	-23.6
Largo	LGO	1.44	-1.08	-42.86	2.84	1.12	-26.9
Avalon Holdings	AWX	3.23	-1.82	-36.04	5.43	2.10	17.9
Greenwave Tech Solns	GWAV	12.20	-5.35	-30.48	119.90	6.02	-74.0
Westwater Resources	WWR	2.47	-1.01	-29.02	3.75	0.45	37.6
Toppoint Holdings	TOPP	1.47	-0.53	-26.50	4.50	0.97	...
Mercury Fintech Holding	MFH	14.83	-5.35	-26.50	36.77	1.03	737.5
American Resources	AREC	5.01	-1.80	-26.43	7.11	0.38	391.2
Critical Metals	CRML	22.72	-7.25	-24.19	32.15	1.23	223.2
Nova Minerals ADR	NVA	54.58	-17.27	-24.03	81.40	7.00	658.0
Solidion Technology	STI	21.75	-6.25	-22.32	55.00	2.94	20.9
Volato Group	SOAR	3.16	-0.86	-21.39	19.06	1.14	56.3
Safe & Green Holdings	SGBX	3.02	-0.82	-21.35	122.88	3.00	-95.8

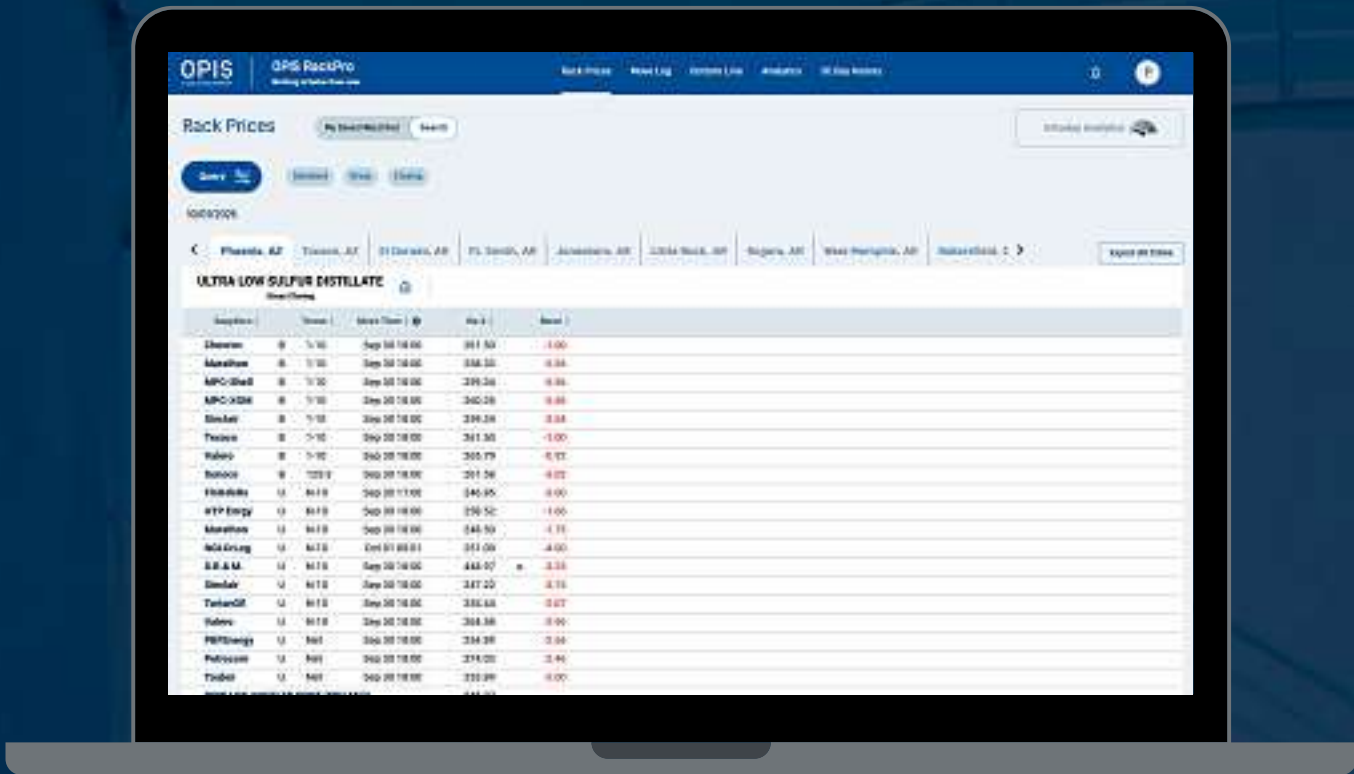
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MARKETS

U.S. Stocks Trade Mostly Higher

By DAVID UBERTI

Stocks finished mostly higher after big banks posted encouraging results, thanks in part to booming business in dealmaking and trading.

Morgan Stanley shares jumped 4.7% after better-than-expected results, while **Bank of America** similarly vaulted 4.4%.

The Nasdaq Composite Index advanced 0.7%, while the

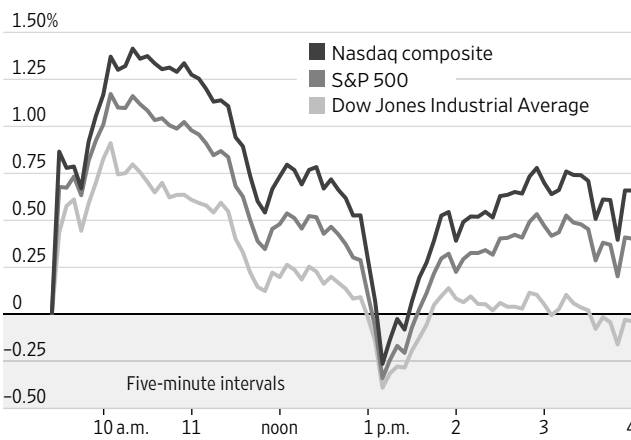
WEDNESDAY'S MARKETS

S&P 500 increased 0.4%. The Dow Jones Industrial Average lost 17 points.

The news isn't all rosy, however. The latest edition of the Federal Reserve's beige book, which compiles anecdotes from central bankers around the country, reported mounting price pressures and elevated uncertainty that continued to weigh down activity.

And similar to a Friday sell-off sparked by trade-war fears, investors on Wednesday unloaded shares in regional banks that are more exposed to economic disruptions than their Wall Street counterparts. The KBW Nasdaq Regional Banking Index dropped 2.3%. Shares of **PNC Financial Services** fell 3.9% after it dis-appointed analysts with a soft

Index performance on Wednesday



Source: FactSet

outlook for the rest of the year.

"While there are obvious potential downside risks to the U.S. economy, our customers remain on solid footing," PNC Chief Executive Bill Demchak said on an earnings call.

Chip shares revved up after the latest round of artificial-intelligence-linked deals. Chip designer **Advanced Micro Devices** this week teamed up with **Oracle** to bring online a large data-center cluster that uses tens of thousands of AMD chips. The firm's shares catapulted 9.4%. Meanwhile, a BlackRock-led investor group

said it would buy a big privately held data-center operator for \$40 billion including debt.

Also in technology, Amsterdam-listed shares of ASML rose 3%. The Dutch maker of chipmaking equipment reported better-than-expected orders as demand for the tools needed to power AI shows no sign of abating.

Luxury stocks advanced, too, after LVMH reported improvement in its sales for the third quarter. LVMH's shares climbed 12% in Paris. Kering, which owns Gucci finished nearly 5% higher. Switzerland-listed shares of Cartier parent

Richemont advanced more than 6%.

In bond markets, a moderate selloff reversed the 10-year Treasury yield's decline toward 4%, leaving it to settle at 4.045%.

Precious metals continued a record run driven in part by concerns for inflation and the value of traditional currencies. Most-actively traded gold futures on Wednesday closed at \$4201.60 a troy ounce, their 47th record of the year.

Oil traders continued selling off crude, driving down prices to some of their lowest levels since the pandemic. A gradual boost in supplies from OPEC, coupled with continued record production from American drillers, helped drag benchmark U.S. futures to \$58.27 a barrel, their cheapest closing price since May.

AUCTION RESULTS

Here are the results of Wednesday's Treasury auction. All bids are awarded at a single price at the market-clearing yield. Rates are determined by the difference between that price and the face value.

17-WEEK BILLS	
Applications	\$198,199,677,600
Accepted bids	\$69,188,942,600
" noncompetitively	\$396,768,100
" foreign noncompetitively	\$0
Auction price (rate)	98.740583 (3.810%)
Coupon equivalent	3.912%
Bids at clearing yield accepted	92.62%
Cusip number	9127975R9
The bills, dated Oct. 21, 2025, mature on Feb. 17, 2026.	

◆ Fed speakers: Fed governors Michelle Bowman, Miran, Waller and Michael Barr.

EARNINGS EXPECTED:

A.M.:
Bank of New York Mellon
Charles Schwab
Travelers
U.S. Bancorp
Taiwan Semiconductor Manufacturing

P.M.:
CSX

Refinancing Needs Fall and a Risk Nears

By ISAAC TAYLOR

Refinancing needs for U.S. companies over the next five years fell 5.6% from last year's level to \$1.9 trillion, the first drop since 2018, and that should support a lower default rate forecast for next year, according to a report from Moody's.

"It's a pretty favorable environment," said Botir Sharipov, a vice president with the credit-ratings provider, referring to good market conditions for lenders and borrowers.

"Our team does expect the credit spreads to widen closer to their historical averages over the next few quarters," he added, referring to the difference in low-risk debt such as U.S. Treasurys and rates charged to borrowers. Wider spreads can improve the profitability of lending while increasing the costs of borrowing.

"Barring any sort of unforeseen event, we expect the conditions to remain accommodating" and supportive of lending activity, he added. Lower U.S. interest rates have supported greater refinancing activity, the company said.

But the report, based on more than 3,000 rated debt securities that mature in 2026 to 2030, shows maturities peaking in 2028—a year sooner than was the case the last time Moody's sampled the market last year. This so-called maturity wall's advance heightens the risk that an unexpected shock could push up the default rate, Moody's said. Sharipov noted there is a significant amount of debt rated at the most speculative, or highest risk, end of its scale and that combined with the advancing maturity wall makes the market more vulnerable to shocks.

The decline in expected refinancing needs reflects heightened refunding activity mainly in leveraged loans as interest rates declined and spreads tightened. But the spreads charged for riskier debt are expected to widen over the coming 12 months, keeping refinancing costs elevated for this segment, Moody's said.

Refinancing risk for leveraged loans is amplified by the pull-forward effect, in which companies refinance several portions of debt in a single credit agreement when the

first part matures. Typically, the first segment to mature involves revolving debt but borrowers seek to refinance longer-dated credits alongside revolvers, Moody's said.

With this effect, debt maturities next year are set to reach \$237 billion, or more than five times the amount anticipated based on lending terms and surpassing the \$231 billion in such refinancings a year ago, the report shows. Part of the rise stems from borrowers' amend-and-extend activity in 2022 and 2023.

"There are two reasons that happens," said Zia Uddin, president of Monroe Capital. "If you have a company that is the living dead, meaning there's going to be a problem, then amend-and-extend is just kicking the can down the road."

On the other side of the coin, just because a performing asset pulls forward its refinancings, that isn't necessarily a bad thing, he added.

The debt-securities report shows maturities peaking in 2028.

Companies often refinance several debts when the first matures. The pull-forward activity could bring 2026 to 2028 bank debt maturities to nearly \$1 trillion, versus about \$650 billion under their lending agreements.

Despite the potential risks, borrowing through bank debt and bonds remains strong as a result of favorable market conditions and robust demand, Moody's said. Credit spreads remain tight compared with historical levels, despite a temporary widening in March and April amid tariff uncertainty.

Distressed companies hold less debt maturing next year and in 2027, 19% compared with 22% maturing in the first two years of last year's review period. Borrowers now in distress—whose debt is rated Caa or lower by Moody's—hold \$23 billion of debt that must be paid off or refinanced next year and \$42 billion maturing in 2027, down from \$26 billion and \$53 billion, respectively, last year.

The lower amount of distressed company debt in the new study supports the expectation of a decline in the default rate in the coming 12 months, Moody's said.

Isaac Taylor writes about the private-credit industry for WSJ Pro.

TotalEnergies Expects Higher Oil Output

By ADAM WHITTAKER

TotalEnergies expects higher oil-and-gas production and a jump in margins but said earnings in its integrated liquefied natural-gas division will be hit by maintenance work.

The French energy major said Wednesday that it expects to produce 2.5 million

barrels of oil equivalent a day for the third quarter, a 4% on-year rise that compared with guidance of more than 3% growth.

In line with analysts' expectations, TotalEnergies benefited from a sector-wide uptick in refining margins from July to September. Margins increased to \$63 a metric ton from \$15.4 a ton last year, de-

livering a \$400 million to \$600 million boost to earnings in its downstream division.

Despite the uptick in production, average Brent crude prices over the period averaged \$69.1 a barrel, down from \$80.3 a barrel.

The company said planned maintenance work at the Ichthys LNG plant in Western Australia removed around

50,000 barrels of oil equivalent a day from production at its integrated LNG division.

The company has been seeking to rein in rising debt. It expects \$500 million in divestment proceeds while its gearing ratio should improve by 0.5% to 1% compared with the end of the second quarter.

Shares climbed nearly 4% in European trading.

Cease-Fire Set to Lift Israeli VCs, Startups

By YULIYA CHERNOVA

As soon as the cease-fire between Israel and Hamas was in sight last week, Lee Moser, who runs two Israeli venture funds, said she felt a change in sentiment from limited partners.

"A lot of people are coming back to the table," Moser said, adding that she started hearing from LPs who were waiting for the war to halt before investing in Israel.

Moser is in the U.S. raising capital for her funds and says she has about 30% more meetings scheduled than she expected. She is a founder and general partner of Protego Ventures, which invests in growth-stage defense-tech startups based in Israel, and a managing partner and founder of AnD Ventures, which invests in early-stage Israeli startups across sectors.

On Friday, a U.S. family office wrote a check for Protego, Moser said. The LP told her they were waiting for the war to wind down and recent events led them to finally invest in the fund, she said.

Israel has been at war with Hamas, which attacked the country on Oct. 7, 2023. The parties entered a cease-fire on Friday.

Global investors were already stepping up their deal-making in Israel, according to a report by nonprofit Startup Nation Central. In the first half of this year, 70% of fund-

ing rounds for Israeli startups included foreign investors, up from 58% in the year-ago period.

Many venture capitalists expect the momentum in the country's tech market to accelerate if the war ends.

Some investors placed deals in Israel on hold until the end of the conflict's hot phase, said Rafael Gold, managing general partner of venture firm VentureIsrael. They did so over a "perceived risk of investing in what they viewed as a 'war zone,'" said Haim Sadger, founding partner of Tel Aviv venture firm S Capital VC.

At the same time, there have always been entities that have chosen to boycott Israel. That "won't shift because of a cease-fire—it didn't start with this war and won't end with it," Gold said.

Israeli venture funds are on track to raise about as much this year as last, according to a report by IVC Research Center, a research firm focused on the Israeli venture market, together with law firm Gornitzky GNY and accounting firm KPMG.

"The conflict may have had a chilling effect, but only on the margin," said Gil Dibner, founder and partner at London-based Angular Ventures, which invests in Israel.

Yuliya Chernova writes for WSJ Pro's Venture Capital newsletter.



JOSE A. ALVARADO JR. FOR WSJ

Revenue at the company—which provides financing for purchases such as appliances and aftermarket auto expenses, such as tires and maintenance—edged 0.2% higher.

Synchrony Financial Reports Higher Profit and Revenue

By CONNOR HART

Synchrony Financial logged higher profit and revenue in the third quarter as it returned to purchase volume growth, driven by stronger spending trends.

Synchrony, once part of General Electric, posted net earnings of \$1.06 billion, up from \$768 million a year earlier.

On a per-share basis, earnings of \$2.86 came in ahead of the \$2.23 that analysts polled by FactSet had expected.

Revenue at the company—which provides financing for purchases such as appliances

and aftermarket auto expenses, such as tires and maintenance—edged 0.2% higher to \$3.82 billion. Wall Street had modeled \$3.8 billion.

Net interest income rose 2.4% to \$4.72 billion, in line with analyst views.

Purchase volume climbed 2.3% to \$46 billion, while average active accounts slipped 3% to 68.3 million.

"Our purchase volume growth was driven by improving trends across credit grades and generations, reflecting the resilience of our customers and the compelling utility and value that Syn-

chrony provides as they navigate the continued uncertainty in the broader environment," Chief Executive Brian Doubles said.

He added that the company's credit performance has exceeded expectations so far this year.

During the third quarter, the company's provision for credit losses decreased \$451 million to \$1.1 billion, driven by a reserve release of \$152 million—compared with a build of \$44 million last year—and lower net charge-offs—which fell to 5.2% of total average loan receivables from 6.1% a year earlier.

S&P Global Buys Data Firm for \$1.8 Billion

By ROBB M. STEWART

S&P Global struck a deal to buy markets data and analytics firm With Intelligence for \$1.8 billion, expanding its data coverage and reach across private markets.

S&P Global said Wednesday it reached an agreement with a group led by majority investor Motive Partners to acquire With Intelligence.

Combining With Intelligence's proprietary data, benchmarks and workflow solutions with S&P Global's expertise and brand in private markets intelligence and analytics will create one of the most comprehensive data offerings for alternatives and private markets participants, S&P Global said.

With Intelligence was founded by Charlie Kerr in 1998.

The business is expected to generate \$130 million in revenue in 2025, according to S&P Global.

S&P Global said the transaction, which is expected to close in 2025 or early 2026, is expected to be slightly dilutive to earnings per share but boost adjusted per-share earnings in 2027.

Adjusted earnings excludes the impact of amortization of acquired intangibles and deal-related costs.

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FINANCIAL ANALYSIS & COMMENTARY

AI Bubble Inflates Energy Stocks

Concept shares with no revenue have soaring valuations

Forget about the froth in technology valuations. The real excess might be building up in energy stocks.

For all the fears about stretched tech shares, many of those companies are hugely profitable ones that will keep chugging along even if the artificial-intelligence boom doesn't have legs. Not so in the energy sector. A group of non-revenue-generating energy companies collectively ballooned in value to more than \$45 billion in hopes that tech companies will one day pay for their yet-to-be-built power.

The biggest of these is **Oklo**, the OpenAI CEO Sam Altman-backed nuclear startup whose shares rose about eightfold year to date. The company has a market cap of roughly \$26 billion, making it the biggest U.S.-incorporated public company that generated no revenue in the past 12 months, according to S&P Global Market Intelligence data.

Oklo is developing small modular nuclear reactors that use a nonwater coolant—liquid metal sodium—and an enriched type of uranium fuel that is in limited supply. It has yet to get a license from the U.S.

Nuclear Regulatory Commission or binding contracts with power purchasers. Wall Street analysts don't expect the company to generate substantial revenue until 2028.

Another zero-revenue company is **Fermi**, which was valued at roughly \$19 billion upon its public debut this month. Only two other no-revenue companies had larger market caps than Fermi on their first day of trading after an IPO, adjusted for inflation, according to Jay Ritter, finance professor at the University of Florida. These are electric-vehicle maker **Rivian**, which went public in 2021, and Corvis, an optical network equipment maker that went public during the dot-com bubble.

Fermi is backed by former energy secretary Rick Perry and helmed by Toby Neugebauer, the former chief executive of the failed anti-woke bank startup Glorifi. It plans to build out 11 gigawatts of power for data centers, roughly the amount of capacity in New Mexico. Though its shares haven't sustained their initial pop after listing, Fermi commands a market capitalization of over \$17 billion. That isn't too far

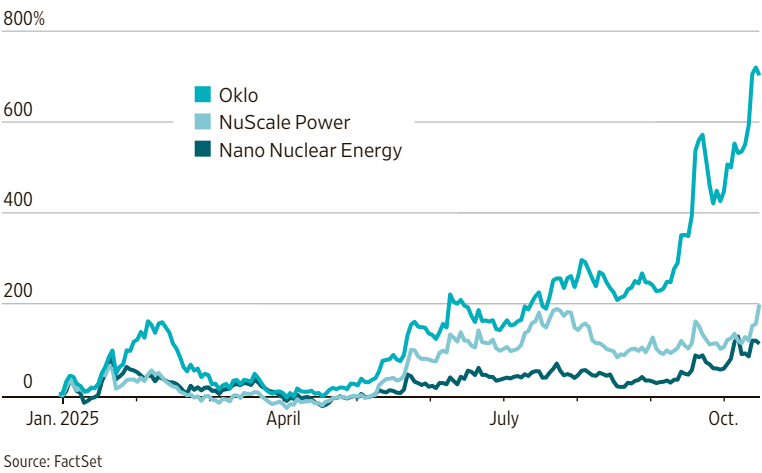
from the valuation of Talen Energy, a company that owns an operating power fleet of about 11 gigawatts.

Fermi plans to meet that 11GW target using natural gas, nuclear, solar and battery power. It has a way to go: So far, it secured natural-gas equipment that would cover 5% of its total capacity goal. It hasn't lined up any binding customer contracts.

Companies developing even smaller "micromodular" nuclear reactors are commanding hefty market caps despite their lack of revenue. Shares of **Nano Nuclear Energy**, which made its markets debut last year, have more than doubled so far this year. The company is valued at more than \$2 billion. **Terra Innovatum**, which went public last week through a SPAC merger, is valued at over \$1 billion.

Others swept up in the AI excitement generate revenue but aren't expected to turn a profit for many years. Such companies include nuclear small modular reactors company **NuScale Power**, which earns some engineering and licensing fees for an SMR project in Romania. Its shares surged 155% so far this year.

Share-price performance, year to date



Hydrogen fuel-cell company **Plug Power's** shares, which was in the gutter for many years, surged 90% this year to \$4.8 billion on AI excitement. Neither company is expected to turn a profit until 2030, according to analysts polled by FactSet.

One reason investors are piling into more-speculative energy companies could be because profit-generating ones command lofty multiples. Fuel-cell company **Bloom Energy's** shares rallied more than 400% in the year to date and are valued at 133 times forward earnings. The company added about \$5.4 billion in market cap on Monday after **Brookfield Asset Management** said it would invest up to

\$5 billion to deploy Bloom's technology. Nuclear-fuel company **Centrus Energy** is valued at 99 times forward earnings.

Arguably, more commercial interest might be just what was needed to help expensive or unproven technologies take off. But based on the record of zero or minimal revenue EV startups that went public in 2020, (remember Nikola, Fisker and Lordstown?), it is likely that many such companies will fizzle rather than pop.

If the AI bubble ever deflates, these energy companies with no revenue have the farthest to fall and little in the way of a cushion.

—Jinjo Lee

Was It Something They Said? CEO Comments Fuel Wild Moves

Talk is no longer cheap.

It isn't just Truth Social posts about tariffs or testimony from Federal Reserve officials that send stocks careening lately. With valuations based as much on stories as hard numbers, the past year has seen more than its share of wild moves after commentary from executives. In January, Nvidia Chief Executive Jensen Huang said "very useful quantum computers" were more than 15 years away. Four hot stocks developing the technology each plunged by 35% or more. A month earlier, a comment by Google

CEO Sundar Pichai about its quantum-computing efforts, amplified by a social media "Wow" from Elon Musk, helped add a quarter of a trillion dollars to its market value.

With earnings season gearing up, be on the lookout for more strong reactions. One reason is investors are in something of a vacuum with most U.S. economic data on hold during the shutdown. Another is that the largest single driver of domestic investment is AI-infrastructure spending, much of it by members of the Magnificent Seven.

"Mag 7 earnings are basically

macro events," says Michael Metcalfe, head of macro strategy at investment firm State Street.

There's almost nowhere to go but down for investment funds' bets on U.S. stocks—especially AI-related ones: Their allocation to equities as a proportion of portfolios is at its highest since November 2007, just before a brutal bear market. That doesn't mean one is imminent, though Metcalfe points out State Street's measure of risk appetite, which is based on flows, is elevated.

The AI boom is raising questions, but the companies spending that

money aren't short on cash. The same can't necessarily be said for U.S. households. "The real economy's strain is starting to show beneath the surface of market euphoria," wrote Bob Elliott, CEO at Unlimited Funds. He cited weakness in sectors outside tech that traditionally provided early warnings.

Questions are swirling about the health of low-income consumers amid rising prices. Overdue subprime auto loans recently hit their highest level on record and almost one-fifth of loan or lease payments now exceed \$1,000 a month.

Retailers are a natural place to take consumers' temperature, though some will be careful to keep their commentary about the impact of tariffs neutral. Walmart was lambasted by President Trump in May when it said it would have to start passing on some price increases.

Smaller retailers might be less guarded. So might executives at other businesses that can provide clues about Main Street's health—sectors like travel, dining, entertainment or housing. Now any day can be like "Jobs Friday."

—Spencer Jakab

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